

Titan Company Ltd. (TITAN)

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Call: May 2023

Titan Company Limited

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The General Manager, DCS – CRD

BSE Limited

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Scrip Code: 500114 The General Manager, DCS – CRD

National Stock Exchange of India Ltd

Exchange Plaza, Bandra-Kurla Complex, Bandra (East), MUMBAI - 400 051

Symbol: TITAN

Dear Sirs,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Audited Financial Results (Standalone and Consolidated) for the fourth quarter and year ended 31st March 2023 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly, For TITAN COMPANY LIMITED

Dinesh Shetty General Counsel & Company Secretary Encl. As stated

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"Titan Company Limited

Q4 FY23 Earnings Conference Call"

May 3, 2023

MANAGEMENT : M R. C. K. VENKATARAMAN – MANAGING DIRECTOR , TITAN COMPANY LIMITED

MR. ASHOK SONTALIA – CFO, TITAN COMPANY LIMITED

MR. AJOY CHAWLA – CEO, JEWELLERY DIVISION

MS. SUPARNA MITRA – CEO, WATCHES AND WEARABLES DIVISION

MR. SAUMEN BHAUMIK – CEO, EYECARE DIVISION

MR. MANISH GUPTA – CEO, FRAGRANCES AND FASHION ACCESSORIES DIVISION

MR. AMBU J NARAYAN – CEO, INDIAN DRESS WEAR DIVISION

MR. KURUVILLA MARKOSE – CEO, INTERNATIONAL BUSINESS DIVISION

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Moderator: Ladies and gentlemen, good day and welcome to the Titan Company Limited Q4 FY23 earnings conference call. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C. K. Venkataraman – Managing Director, Titan Company Limited. Thank you and over to you, Mr. Venkataraman.

C. K. Venkataraman: Thank you very much and good evening to everyone on the call. It was a very satisfying quarter Q4 FY23. We passed many milestones through the quarter; Rs. 30,000 crore milestone for Jewellery, Rs. 5,000 crores for Watches & Wearables, Rs. 1,000 crores for EyeCare, Rs. 500 crores for International business, Rs. 200 crores for the Perfumes business; all in all, a very very satisfying quarter. All the mature businesses continue to grow at a very satisfactory and ambitious rate. All the emerging businesses growing at a scorching pace including the women's bags and the Taneira business establishing themselves strongly; internationally becoming very prominent in the NRI/PIO space in the GCC and in the United States. All in all, a fantastic quarter and I would like to thank all the employees of Titan Company, TEAL, CaratLane, and all other subsidiaries as well as all our partners in the manufacturing side, their employees, all the partners in the retail and distribution side and their employees, and all other partners who work in some way or the other in support of Titan Company and its subsidiar

ies for continuing to deliver exceptional standards in customer experience, innovation, operational excellence, and through all that to deliver great sales and profit growth. And of course, my thanks to all of you on the call, as always challenging us, wishing us well, encouraging us, and asking the sharp questions that you ask all the time. My part in this part of the call is concluding and we can move into the Q&A.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta: Sir, my first question was on the jewellery side. Has the moderation seen in customer demand in March because of the sharp gold price rise? Has that weaned off in April? And could you give us some sense on how the growth trends are behaving?

Ajoy Chawla: You are right. March saw a softening and it continued into the first half of April. I think gold price volatility has usually kept many people on the fence, but as soon as the festive period started and the offer started for Akshaya Tritiya, we saw a lot of people coming to the market and thereafter, it was very good. I think the volatility piece in demand linked to gold price volatility continues. In the festive season and wedding season, and let's say there are opportunities and occasions to buy, it's very good. And then, if there is some nervousness, it TITAN COMPANY

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tends to fall. But overall, I would say it was a very good Akshaya Tritiya for us and it's in line with what we think, what our plans are for the year.

Avi Mehta: And would you be able to share some plans for the year or what your thoughts are? Any numbers over there?

Ajoy Chawla: No, I don't think we can share numbers, but you guys are well aware of our longer-term plan, and in some ways, our annual plans are pegged to the long-term plan that we had set out during the investor day. And in that context, therefore, we are on line with that.

Avi Mehta: The other bit, sir, there is this change in the franchisee rates which was carried out during the quarter. If you could give us some sense on what exactly it was and give us an idea of what is the impact that we should expect on margins and growth?

Ajoy Chawla: This is a very operational matter. Terms of trade between the principal and the franchisees are typically to ensure healthy returns and good profitability for the franchisee. Just so that all of us are clear, when it comes to the jewellery and Tanishq franchisees, we are best in class returns and in fact people make exceptionally good profits and returns on investment, so much so that most of the franchisees want the second, third, fourth, fifth store and we are unable to fulfill their desire because we have.... Even they are happy to take the next store 100 km away or 200 km away in another city, even international. We have actually had a huge request from all our franchisee community to give higher things. Just to share with you, best-in-class returns across

all forms of retail that might be there and I won't be surprised if it's across the world. This old structure was about 15 years old and the nature, scale, product mix of the business has

significantly changed in the last 15 years; the slabs have changed, everything has changed. So, we needed to align and, in a way, update it and the other important piece is the product mix which is profitable, which works well for the company, as well as works well for the franchisees needs to be aligned in the same way so that all of us are firing in the same direction. And that is something which we wanted to structurally change. We also wanted to introduce new categories of complexities of products, because we are seeing that opportunity to in a way gain in different complexities of g

old. So, many structural changes, all driven towards aligning growth and profitable growth for both the associate and us. Also, during the last couple of years, the division has invested significantly in both inventory as well as gold rates to deliver terrific growth and this investment has come significantly from the organization as well. So, in a way, this was kind of a restructuring. Absolutely very limited impact in terms of profitability to us. In fact, many franchisees have gained, and some may have lost. But actually, we don't know because the mix they will sell in the current year or in the next year will determine the exact gains or losses. And in our estimate, many of them will actually gain. And there is no significant impact on the company in terms of sheer margins or whatever. Nothing much. It's an operational piece actually. TITAN

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Avi Mehta: If I may summarize or paraphrase the way it is, that this is to modify the incentives to move product mix upwards and should not result in any impact to the franchisee profitability. Would that be a fair statement to make, sir?

Ajoy Chawla: It is difficult to conclude because we have some 200 odd franchisees in the system. Some may lose depending on what mix they sell, and many others may gain. So, it's very difficult to conclude it in one line. And in any case, we have been a very fair partner. Even if somebody actually loses, we will invest a lot more in ensuring growth. So, that's not something we worry about.

Avi Mehta: And sir, if with your permission, just one last bit on the watch side. We saw very strong growth, but margins were below the range that we were looking at of 13-14%. Would you revisit this target, or could you share with us how you see this internally?

Suparna Mitra: The strong revenue growth was also because of a lot of investments, etc., and there were some actuarial calculations which came and hit our overall profits. But we are quite satisfied with the margin, and it is in line with what I have indicated in previous investor calls also, that margin for the watches business this year for example is likely to be in the 12-13%. It is in that range.

Moderator: The next question is from the line of Nitin Jain from Fairview Investment. Please go ahead.

Nitin Jain: My first question is on the jewellery business. Some of your national competitors like Kalyan and Malabar, have moved to one nation, one gold price policy. Does that lead to any change in the gold rate premium that Tanishq has been charging historically? And what would be the impact on EBIT margins going forward? And my next question is on the dividend payout. While the quantum has increased this year, the payout ratio has actually declined. Comments on that please.

Ajoy Chawla: On the one nation, one gold rate, actually this is now a 16-month-old story. Malabar had started it around Diwali the year before last in FY22 and thereafter many local players, maybe not one but lowest gold rate offering. That is actually for the customer it will be in the lowest gold rate

offering if that is more relevant. The one India, one gold rate is more of a broader statement. Kalyan also responded in many markets in that way and has eventually figured out that he wants to stick to one because the Kerala Jewelers Association had some kind of conversation and for some reason, their gold rates were much lower than the rest of the market. We have chosen not to go down that path. We have instead looked at what is a relevant competitor in different markets. Historically, we have seen there is a wide dispersion of gold rates across the country. Local jewellery associations actually declare the gold rate, and everybody plays according to that. And therefore, we have chosen to optimize along those routes. Some of those are getting rationalized over a period of time and we are in a way ensuring

g that we remain competitive

market by market. So, consequently, I have mentioned in previous investor calls we have therefore seen a gradual reduction in the gold rate markup side of the gold jewellery margin, but TITAN

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we have been managing it through product mix, through making charges, and through other initiatives to try and ensure that we still continue to live up to good GCs and therefore good EBIT margins. That process is on. So, I won't be able to comment much on GCs further. We have already taken fair amounts of corrections in the past and yet been able to deliver the EBIT

margin that we have been committing to and we still stay by that. Irrespective of the competitive intensity, we are expecting to sustain our EBIT margins. We are not too worried about any further dilution even if there is here and there mix related and product engineering related as many other operating leverage related initiatives are in place to ensure that we continue to deliver healthy margins in this business.

Ashok Sonthalia: Our dividend policy suggests that we will maintain a dividend payout between a band of 25% to 40% and this year dividend declaration while it is substantially increased over the last 2 years, is about 26.6% of the profit margin and Board consider every aspect of our requirement and growth, and what kind of investment plans we have, and what is the cash balance on the balance sheet, etc., and then accordingly decide a number which is within the band. It's a decision keeping all these considerations in mind.

Moderator: The next question is from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: My question is for Ajoy. Ajoy, congrats. This quarter, you have done a 19% same-store sales growth in the jewellery division. My question is that a large part of this 19% is coming because there is a big inflation in the gold price. If let's say the gold price going ahead were to stabilize and at some point, of time the Y-o-Y gold price inflation if it comes close to zero, in that kind of a scenario, what would be a sort of normal or a stereotypical target SSSG that you would tend to have in a flat gold price scenario? That's my first question.

Ajoy Chawla: We have had these conversations a couple of times – once in person and a couple of times on the call. We would still like to suggest that for us, volume is not linked to grammage and therefore, gold price inflation is equal to.... The way we look at it is the number of customers and the average ticket size. Just because there is a 19% like-to-like growth and even if there was technically a very high gold price related inflation, it doesn't translate it exactly that way. Just to give you a sense, if I look at 19% same-store growth in value, we have had overall buyer growth of around close to 16%. On same store, that number would be closer to maybe 10-11%. Typically, if gold price was not to inflate, there is nothing to say that we can't continue to gain number of customers because we continue to gain a significant number of new customers. Even in quarter 4, our new-to-repeat is 50-50. We have grown pretty equally in both segments. Gold price inflation may be helping in ticket size but it's not necessarily so. People also enrich in terms of product mix. As long as we are continuing to get more customers and there is customer growth for every store, especially same-store growth and then there is a ticket size increase which may happen due to product mix enrichment; not just only because of grammage but the kind of products they buy, studded ratios, and more complex products, etc. We are not worried about this. Therefore, same-store growth, it is our endeavor we should continue to deliver double-digit TITAN COMPANY

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same-store growth. That's how every store and business can really pro

sper, and we are targeting

certainly much more than this double digit or whatever. We are targeting good double-digit growth going forward for same stores. So, it is nothing to do with the gold price for us, just to clarify.

Percy Panthaki: My next question is on the retail area addition in jewellery – the square feet. What percentage of addition are you planning annually for FY24 and FY25?

Ajoy Chawla: I don't have a square footage number, but I can just share with you that – if I just look at quarter 4 – we have added 11 new stores, but we have also significantly expanded the existing 10 stores.

And when I say significant expansion of these 10 stores, it is either a 25-30% increase in the retail area, or on an absolute level I believe 1,500 to 2,000 square feet. So, effectively, if I look at both these figures together, we seem to have added a lot more square footage than would be evident from the sheer number of stores. We have quite a few stores even in the current year where we are looking at significant retail expansion. I think another 15 to 20 stores will see significant retail expansion. In addition to that, we expect to certainly add 40+ new stores. The opportunity is not the limit. For us, here our ability to execute, find the right places, ensuring they are built to suit, and everything is working well. The opportunity is much larger than that, but typically, we have set out around 40 stores. The opportunity space over the next 2 years, if you ask me could be 100 new stores as well. But a lot depends on how much we are able to execute. Historically, we seem to have been able to execute 30 to 40 in a year, but in addition to that, we will do this retail expansion program as well which we have commenced strongly from the last 12 months. I hope that answers. I don't have a square footage percentage to help you with.

Percy Panthaki: Last question on Eyewear. Margins even if I adjust for that Rs. 8 crores one-time, margins are sort of in the mid-single digits. I thought we had this model now very well established where we would be doing a low-to-mid teens kind of EBITDA margin in Eyewear. What really went wrong this quarter?

Saumen Bhaumik: If you look at the last 6-7 quarters, you would have realized that what we said mid-teens I think we have held onto this more or less. The exception was last year's quarter 4 and, in a way, a

similar case is this year quarter 4. Just to spend a minute on quarter 4. We had a very good month of January – in fact the second best in our history – but the second half of quarter 4 slowed down and it in a way sort of affected sales. A few other things also happened simultaneously. We needed to clean up a few things. For example, in the last 2-3 years, many of our franchise stores accumulated stock, especially lenses which were kind of supposed to be used but discolored so we had to take them back. Then, in our distribution system also, we need to make sure that there isn't any unnecessary stockpile up because you are making a change in our product portfolio. So, we needed to give a month's gap really to sort of downstock a bit so that a new portfolio of products can go to the trade channel with a restructured margin so that we actually have a greater level of penetration. All that has cost a sale compression to a level of over 70% of what we had TITAN COMPANY

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budgeted. That's one side of the story. And the other side is GC actually held. On the cost front, a few annualized figures came in whether it is employee related actuarial that was mentioned once. We also opened I think 18-19 company stores which were not budgeted earlier. So, as a result, both on the rent front in quarter 2 and mostly in quarter 3 and quarter 4, as a result both in rent as well as employee cost, you would have seen the impact of it. Obviously, we will gain from this edition significantly

not only in the coming year both on the margin side and otherwise. Apart from that, we had to shut down about 22 stores in quarter 4 which was not really working out and a few stores that happened at the end of quarter 3. All put together, there are a few one-time exceptional costs that have come. And this apart, also we decided that it is appropriate to sort of share some of our wealth that we have created with our franchisees who lived with us during the most difficult times of last year. That is the Rs. 8 crores that we have spent. All put together, there is a one-time impact in the PBT but if I adjust for all these things and if I look at what we did to make FY24 to have a great clean beginning, I think thankfully we are seeing it in the month of April. We had the best month in our history.

Moderator: The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jaykumar Doshi: My first question is on margins. Even adjusted for one-offs that you had in the first half of this year; you ended the year with a little over 13% jewellery EBIT margin for standalone business.

And whatever I gathered from the earlier response is that the gold rate is not a concern anymore.

So, I assume that there is no further margin pressure. Given that backdrop, are you confident of maintaining margins at similar levels in FY24 assuming the growth shapes up on your expected lines?

Ajoy Chawla: First of all, I think these margins vary by quarter based on the mix.

Jaykumar Doshi: I was referring to FY24 versus FY23.

Ajoy Chawla: In the full year FY23, we have got an EBIT margin of 13.7%. There is an impact which is there this year of around 0.6% to 0.7% which is on account of custom duty gain which was not there last year which is there in this year and that won't be there next year. Also, there is a certain element of stock gains on account of diamond inventory which is also sitting in this. So, this 13.7 has the benefit of almost about a percentage between these two elements, both of which we don't anticipate to see in the next year. In a way corrected or normalized or adjusted, whichever way you say, it will come between the 12.5% to 13% which we have been talking about. And we expect to sustain this, given competitive intensity, given the growth opportunities in different categories and markets in which we are growing.

Jaykumar Doshi: Just a follow-up on your earlier comment. The demand trends over the past few days does it give you confidence that the softness that you had called out in the quarter and business update is now behind us and hopefully this trajectory of healthy growth should continue going forward? TITAN COMPANY

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Ajoy Chawla: If I think about it, volatility is here to stay. We have seen it now over the last 3 or 4 quarters. When the going is good, it is really good; and then when there is no reason, people kind of hold back; if gold prices spike, there is some degree of nervousness, etc., but we have kind of learned to play that game and we think we are broadly on course for what we see. It's difficult to give you an accurate view because as I said the first half of April was dull, but the second half was fantastic. May and June promises to be good because there are a lot of good wedding dates. So, yes, we are hopeful that we should be able to deliver to the plans we have laid out, volatility notwithstanding.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities. Please go ahead.

Manoj Menon: Some of the questions which I have, I got some part answers, but allow me to repeat; this is repeat actually.

Ajoy, first thing is on the 15 odd percent buyer growth, 10% customer growth at the same-store level, could you help us have some time series understanding of these numbers, let's say over the last decade?

Ajoy Chawla: Time series over the last decade I don't have....

Manoj

Menon: What I mean is this 10% would you call it in the top quartile, bottom quartile, or mid quartile in terms of your own historical customer growth numbers?

C. K. Venkataraman : Actually, on the call, Manoj, even I don't have that for the last decade like that. What we can do is come back to you on that.

Ajoy Chawla : And also, Manoj, the other piece is, this is on average figure across so many stores. If you look at it, newer stores will have much better same-store growth until they stabilize. But if you ask me a 10% customer growth for a mature store, I would be very happy. Whether top quartile or not, I don't know; which decile, which quartile, I don't know; but generally, will be happy. But you made us think; we will think about the data and come back.

Manoj Menon: The reason I asked because based on historical understanding, let's say your retention power is very very high of the customer, it essentially means that when you have recruited new consumer of this magnitude, would it be fair to say that the customers It actually affects my DCF very positively. We will have a conversation separately. Secondly, on the gold price premium bit, we have also done some primary research on it. Is it fair to say that with all the discussions about let's say you having a nuanced approach, competition playing a price card, etc., is it fair to say that there is already an equilibrium which exists because at the end of the day, your 20% growth is with this let's say "headwind"?

Ajoy Chawla : Yes, you could say that because the competitive intensity on gold rate and pricing have been pretty intense over the last 15 to 18 months. So, to some extent, you can say there is equilibrium. Whether it will intensify further, don't know, can't say. By and large, no. TITAN

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And just wanted to clarify the previous one. When we talk about customer growth or buyer growth of 10%, it is not all are not new customers. Many of them will be repeat and many will be new. The ratio will vary.

C. K. Venkataraman : We are not acquiring 10% on the total base. On the new base, we may be acquiring 10% more.

Ajoy Chawla : New to repeat growths are the same. In a sense, we are still getting 50% of our contribution on the overall chain from new customers and 50% from repeat. That percentage will vary based on older stores and newer stores and all that is what Venkat clarified .

Manoj Menon: Secondly, on the recycled gold or the gold exchanges have been stable at around 40 odd percent for a while.

And I do recall your dialed up or rather you have used this to dial up let's say to counter the customer acquisition with a low margin charge product, etc. The context what I am trying to understand is, do you think directionally, this should go to 50 over the next few years or do you think it can...? Which direction I should take it? Stable? Up? Down?

Ajoy Chawla : It has been pretty stable for us. Between 30 -33% has been the contribution of gold exchange which is non- Tanishq gold and about 9-10% is the Tanishq exchanged. We are actually seeing a correlation between exchange gold and wedding, and we are trying to use that lever to further increase the excitement around wedding. Therefore, we think it should go up, but whether it is going to go up dramatically, we don't know. But certainly, we think it will be great.

C. K. Venkataraman : The more we are able to increase the share of the gold exchange program, the GEP, actually it will push the growth of the brand because the size of the exchange, the extent of upselling that happens with , when people discover the value of Tanishq exchange itself as well as the products and all that, the upsell potential is also high. There is a good correlation between the increase in the share of exchange and the growth of the brand in total. So, we will continue to push that, but it is a very complex final thing t

o actually happen, and therefore, the result we know only when we actually see it.

Manoj Menon: The only reason I asked because at this rate of 40% because there is a cost aspect also there because you are buying and selling gold at the same price versus selling on cash which will help you get that extra bit of let's say brand premium. The third and if I may, just one quick one.

Ajoy, you mentioned about the.... I let's say focusing again or rather even more doubling down on the wedding part of the business, where do you put the inventory and the store at this point in general? Is it optimal or do you think there is a requirement to let's say work with a slightly lesser turn or higher inventory for you to drive this wedding business?

Ajoy Chawla: You are right. The wedding business requires us to have more inventory, especially because it is so regional and optimizing that doesn't become easy and the more, we go deeper, which we are already quite deep in many markets. In general, given what is required, it is turned dilutive.

And we believe that we have not yet reached the optimal. Wedding hardly contributes to around TITAN

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20% of our business. So, there is scope, and we are, in fact, doing it selectively in select communities and select markets. And seeing the result of that and then progressing to the next set of communities and markets. Therefore, we are phasing it and learning along the way. But definitely it requires a little bit more inventory whichever community or market we choose to go deeper in.

Moderator: The next question is from the line of Tejas Shah from Spark Capital. Please go ahead.

Tejas Shah: Sir, a couple of questions. Both pertain to jewellery. First, could you please provide revenue share of wedding jewellery for fiscal '23? And considering the backlog of weddings that occurred during FY23, what is your outlook for the wedding calendar for FY24?

Ajoy Chawla: For the year FY23, weddings have been actually a relative underperformer. It is around 19% of the total jewellery that we have sold compared to 20% last year. Actually 20% has been steady.

And this is largely linked to quarter 1 of FY23 not really firing as well for wedding and we had to pivot towards other product mix. In the second half, the wedding response was better.

Tejas Shah: Would we have lost market share in wedding jewellery this year?

Ajoy Chawla: I am not so sure because we have gained overall market share, and therefore, internal contributions may not give you a better picture. In fact, I would believe we may have either sustained or marginally gained because in certain markets, we have seen good growth, and in those markets, we get actually decent wedding share. So, I wouldn't say we have lost share, but I would say the scope to grow much faster is there but opportunity in FY24 certainly we have taken a much more aggressive growth target on wedding. Not just for this year but over the next

3-4 years and therefore we hope to gain further. We have, as I said, investing in select markets and select communities to dial it up even further including exchange, etc., besides inventory. Right now, we would say this year was a percentage lower in contribution. We would like it to be a couple of percentage points higher in the coming year.

Tejas Shah: And sir, how is the wedding calendar looking for FY24?

Ajoy Chawla: So far, so good. Quarter 1 is certainly looking good, and H2 is always reasonably good because it has also a lot of NRI weddings, a lot of metro weddings, etc. So, so far, the calendar is looking good. And quarter 1 is always a little bit of a googy because it's very heavily dependent on the dates specifically because a lot of rural weddings, etc., are there.

Tejas Shah: And the second and last question. Sir, if you can share some insight of the profile of the new customers we are recruiting, as in

which region it will be highest or in which category they normally get recruited? Is it wedding, studded, or low-end diamonds? TITAN COMPANY

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Ajoy Chawla: Regionally, I don't think I can share because a lot depends on the expansion across different regions. So, newer stores also give us a lot of new customers. But typically, we tend to get new customers in the sub-50,000 price band or sub-1 lakh because gold prices have gone up.

Secondly, we get a lot of new customers in gold because we are gaining share from other players and typically, they could be buying gold from there. And the studded ratio is very low for other players. Off late, we are also seeing a lot of new customer growth in the sub-50,000, both for Tanishq, for Mia, and for CaratLane because there's an emergence of a younger audience, who is buying fine jewellery. That is more in the last maybe 1 year it's a little more prominent. But typically, yes, it is price band and more gold if you were to ask me. Weddings – new wedding buyers are rare, though, not entirely absent, but the median is sitting in the daily wear category.

Moderator: The next question is from the line of Amit Sachdeva from HSBC. Please go ahead.

Amit Sachdeva: Sir, my question is for Ajoy. I see that bullion sales in this quarter were quite large, nearly 50% of the full year bullion sales, but full year bullion sales is nearly more than twice that of FY22. So, it seems like it's a bit of a.... Is it like an assortment intensity rising or refresh rate is rising?

My question is whether there is a part of old inventory being melted or excess gold being sold? And whether that jewellery margin accounts for all that value loss that may have happened if you have melted the jewellery back? And are you doing it increasingly more? Maybe the refresh

rate is higher? Can you sort of describe what is the strategic intent here and how we should read it in terms of growth acceleration or inventory being refreshed and things like that? Or is there something I am digging too much into it?

Ajoy Chawla: Amit, a good question. I will clarify. There are two observations which might help you follow it. This is the year when we have started importing CEPA gold. There is an agreement between UAE and India and there is a 1% custom duty benefit for taking in CEPA gold. There is a quota, and you have to apply. In the current year, and most of it in the last 4-5 months, we imported a substantial quantum of CEPA gold, in several tonnes. And that gold is imported on spot basis and then there is some contango, etc. Consequently, to manage the capital employed, we have been now following a strategy of ensuring that we try to maintain GOL as a proportion of the

overall inventory at a certain percentage. And because a lot of this kind of came in as a lump towards the last 4 -5 months, we had to do a little bit more of bullion sale to manage the capital employed. It 's nothing to do with the previous set of doubts or thoughts you had. We also did a little bit of proactive spot buying in quarter 3 when suddenly CAD deficit, etc., was beginning to worry and we thought let 's protect ourselves from any gold-related restrictions. That also maybe added a little bit.

On the broader point that you mentioned that with refresh rates changing, etc., we typically tend to look at melting and provision as two-line items and we try to relate that as a percentage to the

NSV. It has been fairly stable over the last 4 or 5 years and it 's not significantly changing upward or downward. So, the melting as a percentage of the total and therefore potential value loss, etc., TITAN COMPANY

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is broadly consistent. Nothing much to worry about and I don't think it's something which is going to affect our margins for sure.

Amit Sachdeva: Thanks so much, Ajoy, for clarifying this. Very

helpful. I was just wondering whether there is

some bigger intent here, which is not visible in general, but it might have implications. But thank you so much for that. My second quick question, if I may ask about, which you have obviously clarified in terms of trade issue between L2, L3s and thin gs, but is this larger intent is to sort of since you have to make the gold price competitive, it is sort of an effort to pass it along to all the channel partners and everybody mitigate costs and sort of navigate it. Or what is the genesis of it? Or it is like value capture is too high since the gold price is high that it needs to be balanced out. In that case, are you investing the gains back into the business for growth? Or what is the real intent here? Just wanted to understand.

Ajoy Chawla: Again, two comments. One is that we invested ahead in terms of both the gold rate and inventory even before we made these changes. So, our investments over the last couple of years have been high and will continue to be high. We are all investing for growth, even not trying to recover.

The second piece is, we are actually trying to moderate the product mix in a different way to manage the gross margins. Because, let 's say, if you are losing out on gold rate, the best way to gain is by being able to give a richer mix or a more higher complexity mix, etc., and do some product engineering. If we have to do that, then we have to ensure that both of us as well as the partners are aligned in the same direction. There is no point in me supplying it if that doesn't sell. If the incentives are better or the margins are better on higher complexity or medium complexity products, then we are aligned in the same direction. That will give a better margin to us and a better margin to them as well. And therefore, this entire exercise was aligning us and them in the same direction going forward, and we are seeing a lot of work going on in the product mix. And as I said, it was a 15 -year-old T OT. At that time, we didn 't have many of the products at all that we are today selling. So, actually, there is nothing about trying to share and capture value. It is purely about aligning towards a more profitable future.

Amit Sachdeva: Just very quickly, Ajoy, if I may ask about the international expansion piece and it seems that domestic is 21%, but overall is 23%, which means International is already adding 2 percentage roughly growth rate to the overall mix. It seems to me that International is going pretty well.

And can you share the number of stores you plan to open this year and whether L2 or L3 format is gaining momentum there as well or is largely L2 and your own store? Can you give us some color on international piece, the ambition for this year?

Kuruvilla Markose : This is Diny here. You are right that International is going pretty well. Wherever we have been able to open stores, the response has been quite overwhelming and very very positive. We are up to 7 stores now, six in the UAE and one open in the US since December. And in the coming year, we are looking to add quite a few more. We are planning to expand to roughly around 25 stores cumulative by the end of FY24. Large number of them across the GCC region, in UAE as TITAN

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well as other countries around Qatar, Bahrain, Oman are all possibilities. And also, expanding our footprint across the US. That is the plan.

Amit Sachdeva: Is L2 or L3? Which is the format you are essentially using? Or is it your own capital?

Kuruvilla Markose : We have all 3 formats. We started out with L1 in the UAE, essentially for us to sort of get our hands dirty and understand how the business works because we are doing this for the first time in an international geography. But we also have L2 in the US and now we are opening some L3 as partners are gaining greater confidence. Like Venkat said earlier on the call

I, a lot of our partners or franchisees in India are asking for a chance to be given to them to operate a store in international markets. We are also now finding a lot of local partners, meaning people who were not in any way connected with Tanishq or Titan earlier, who are also coming forward on the strength of what they have seen. We recently announced a tie-up with Sharaf Group who runs the Sharaf DG chain of stores in the UAE. They have come forward as a partner to work with us as franchisees for stores that will be Tanishq branded. They will be like any other partner operating a store for us.

Amit Sachdeva: And I am sure the qualitative strategy will emerge eventually for non-Indian population as well. But is there a plan towards that end as well that when you go to the US market, there is a large, very different kind of mix as well that exists, very high margin? Are you still an Indian diaspora and that's what the reason of being there as well? Is the customer mix and product mix going to be very different or is very different already?

Kuruvilla Markose: At this point, it is almost 98% Indian. We get a lot of South Asians in our stores in GCC, but predominantly Indian. And that's the beachhead that we are attempting to establish. But like you said, obviously, the market in many of these geographies for the non-Indian consumer is much larger, much bigger, and hopefully much more profitable, and therefore we would certainly want to go after that. But at this point in time, the primary focus and objective is to develop a very very strong competitive and high-quality offerings for Indian consumers; give them a really superlative experience. But just to give you an indication in the Titan Eye+ format that we have launched in Dubai, we are getting up to 25-30% non-Indian customers. That's because we are present in a mall location and certainly the products that we have to offer and the strength of value offering from India seems to be working very very well. Early indications are very very positive.

C. K. Venkataraman: Amit, Venkat here. The other opportunity is that all the Indians that we are currently acquiring as customers also have a pretty decent non-Indian jewellery that they buy, not just the Indian jewellery that they buy to wear with Indian clothes, Indian occasions and all that. For example, brands like Signet and Kay's and Jared's and why not even Tiffany and brands like that. We want to become a one-stop shop for all Indians, apart from the point that Diny made about non-Indians but even among Indians. With the product lines that we are currently going with from Tanishq, Mia, and Zoya and all that satisfy substantially the needs of the Indian consumers. But TITAN COMPANY

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the non-Indian needs of the Indian consumers is also a pretty decent opportunity. And Diny and team are working to understand that better, create product lines to cater to those needs and therefore maximize the share of wallet and the total share of jewellery purchase as well.

And one last point. Many people have spoken, asked questions relating to the terms of trade change. And I would just request all of you to sort of step back on and see the subject as which Ajoy has said, but I am just saying it again to reinforce it. It's an operating aspect of the business.

And frankly, the questions are sort of ending up making it look like a strategic or a business model kind of subject which it is not. It is an operating aspect. As long as we continue to deliver

best-in-class returns to our partners, which even after this we are delivering, I would wager that in the Indian retail industry, Tanishq would deliver best-in-class even after this. So, therefore, it is just an operating matter and does not merit the kind of level of conversation perhaps it is going into.

Moderator: The next question is from the line of Latika Chopra from J.

P. Morgan. Please go ahead.

Latika Chopra: I had a question on Mia. I wanted to understand, what is the revenue size for this brand for FY23? And what is the split coming from the standalone stores? There are about 111 stores now. And how are you think about the store addition plans here?

Ajoy Chawla: Mia has done exceptionally well. It has gone up almost 3x in the year. Just to give you a sense, in consumer price terms, it is about Rs. 730-740 crores this year, growing rapidly. And we expect Mia to hit Rs. 1,300-1,350 crores in the coming year. About 40% of the business is coming from Mia standalone stores. The rest of it is coming from Tanishq stores because it's a sub-brand of Tanishq, and right now very negligible is coming from online. So, the opportunity and headroom online are huge because the ticket sizes are bang on.

In terms of the 110 stores or whatever that you talked about; we expect to double that by the end of this fiscal. We are going aggressively on expansion. The opportunity is huge. And this is still within the top 30-40 towns, not really going too deep: in fact, most of it is in the top 25 towns.

We see a large opportunity for Mia and fine jewellery is kind of coming of age. CaratLane has also seen that, Mia has also seen, and this is the emergence of a segment, which is very exciting.

Latika Chopra: I just wanted to also check for CaratLane. Is there a timeline or a thought process or even if there is something that you would want to acquire the rest of the stake in the company? Is this something that could happen in the immediate future, or you are pretty happy with the arrangement or ownership that you have currently?

Ashok Sonthalia: Latika, you are well aware, you have asked I think earlier also, that this matter cannot be

commented upon till we become obliged to inform with the stock exchange and which we will do. Right now, we would not like to comment on this kind of question. TITAN
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Latika Chopra: The last bit I had was on watches business. I think, if I heard it correctly, you mentioned 12-13% target margins for this segment. Could you share what has been this revenue salience of wearables in FY23 revenue mix? And what kind of margins does this operate at? And is this a reason that probably margins for this segment could be in this band?

Suparna Mitra: Latika, in quarter 4, we were about 13%, but for the overall year, we were about 10% of the total turnover. And the margins in this are slightly lower than watches. It is also reflective of the 3 decades of leadership that we have in watches that we are able to command that kind of premium. Having said that, in wearables, we are at a premium to similar comparable products from other

brands and doing well. Over a period of time with various other business decisions including Make in India, the margins will only improve. But yes, long-term, wearables present a huge business opportunity where inherently the margins are of a lower profile than watches.

Moderator: The next question is from the line of Chirag Shah from CLSA. Please go ahead.

Chirag Shah: Ajoy, I just wanted your thoughts. In a phase of rising interest rate environment and higher gold prices, I was wondering how this interplay impacts our business, 1) from a perspective of the spread in borrowing cost between gold leasing and informal sector borrowing cost. Fair to assume that this spread would have widened because the working capital cost increases for the informal sector should outpace the increasing gold leasing rates. 2) And then how does this impact franchise economics. This is of course beyond the franchise sharing agreements that you kind of alluded to.

Ajoy Chawla: You are right that informal or unorganized sector will find it more difficult with rising interest costs; as it is, bank borrowing is not easy for them. The jewellery sector is not very favored

by

banks. So, higher interest costs and tougher financial conditions will impact. From a customer point of view, in the sense, once gold rates stabilize, customers are actually comfortable coming in. But yes, in terms of maintaining a certain quantum of gold, let's say kgs of gold, it does impact. Having said that, the informal sector also does not in a way... they have gold, which is historically there, not on debt, and they typically view that as wealth. And their quantum of gold holding is also quite significant compared to us. In terms of stock turns, we are much better than most. They don't look at stock turns. I don't know, maybe if it sustains for a long enough time, it does create pressure. And certainly, those who are weak tend to become weaker and many of the independents who are strong become stronger. And we have seen that happen over the last

few years. I'm not sure if I answered all parts of your question. Is there something else....

Chirag Shah: On franchisee economics, how does the rising interest rate environment impact them?

Ajoy Chawla: For L3s, it can affect because L3s are on buy and sell and therefore there is an impact on them.

But the margins and the turns of L3 are very high and their returns on investments are pretty strong. And many of our L3s are also quite older in the system and they are getting fabulous returns. Their scale economics are very high. For the newer L3s who might have come in the TITAN

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system, yes, there is impact, but there, in fact, our new structure is enabling them even better.

So, as I was telling, some franchisees may have lost but many have gained. Many of the smaller, newer, and lower-scale franchisees are actually going to gain in some of our changes that we have made about – structural changes. So, no, it's not a big concern for us if that's what is bothering you.

Chirag Shah: And can you just give us a sense on the trend of Golden Harvest registration? And secondly, on the studded jewellery side, of course, this was an activation quarter. We have also mentioned that the lower-cost inventory of diamonds is kind of behind us. Can you just explain how does the inventory buying cycle really work on the diamond side?

Ajoy Chawla: On Golden Harvest, we have had fabulous enrollments. Quarter 2, quarter 3, Quarter 4 are very very healthy double-digit enrollments. And we have a metric called enrollment to buyer ratio, which is driven across different stores, and we are seeing fabulous percentages at their all-time highs. That is very good from a lead metric for future intent to buy jewellery at least from us.

So, we are very happy with Golden Harvest and it's actually firing very well for us.

Regarding diamond studded, yes, the activation quarter was good. Therefore, we had a better mix than last year, but it was still slightly below if I go pre-pandemic year. That year again, last

15 days, there was a lockdown and gold got affected, so I'm not able to comment. But yes, we have come close to what we used to be pre-pandemic in terms of studded ratio. We expect to

drive faster growth in studded. I mean, that 's always been the intent, but this is an.... we have delinked the two. In the sense, we no longer worry too much about the ratio as much as each segment growing at a certain pace.

I didn't follow the question on the inventory cycle, but typically studded inventory turns are lower than the gold ones, pretty much because that 's historically the case.

Chirag Shah: My question was more from the perspective of.... On the slide, you have mentioned that the consumption of older, lower cost diamond inventory got over in Q3, and we are now getting into the newer inventory buying cycle. How does the diamond inventory buying cycle work?

Ajoy Chawla: We had some gains on account of buying.... We had an opening stock of diamonds at a certain price. And then

because it had gone up, we had increased the selling prices, which was ahead of the cost hitting us. Now the consumption of all those low -cost diamonds is over and done, and

therefore there 's a normalization of the studded margins. So, the diamond inventory gains are no longer there. How does it work? We typically work on some consumption cycles, and we have to predict 3 to 4 months ahead of time to buy diamonds. And it 's one of the most challenging questions you have asked. Even I am trying to figure out whether we can do it better.

Chirag Shah: What exactly do you mean by digitally influenced sales which is now at about 18%? TITAN COMPANY

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Ajoy Chawla: Digitally influenced.... In CaratLane? You are referring to which particular segment?

Chirag Shah: On one of the few slides earlier, I think on slide #9, you have mentioned digitally influenced sales in Q4 was close to about 18%.

Ajoy Chawla: When we look at digitally influenced sales, actually there is online; people who come online and buy online.

Then there are people who come online, engage in a conversation with our live agents, etc., and thereafter, we do an omni, i.e., we hand them over to the store guys . And then there is a third element, we also do a lot of endless aisle, video call -based selling, etc. That also, we are in a way.... The customer who may have walked in in some store might see products lying in some other store. All of that, we also look at in terms of digitally influenced. And there are some other indirect attributions that we also look at in terms of people who were reached out on social media and digital, and then how many of them actually came in and bought. That is some data that also comes to us from our partners. And I think a lot of that 18% that you are seeing number t here, it is about joint closure of omni and online. And I think that 18% is a

weighted average of between CaratLane, Tanishq, Mia, all put together.

Chirag Shah: If I may just squeeze in one more to Saumen, what is the revised store rollout target for the Eyewear business now? And can you dwell a bit more on the distribution model expansion going forward, please?

Saumen Bhaumik: Chirag, we will open another 100 stores in the coming 8 to 10 months, hopefully in the first 6 months. But we are not going beyond the top 20 or 21 cities. That 's the change that we have made. Therefore, around the first half of FY24 or around that period in October-November, I think we should be around the number that we spoke about 1-1/2 years back.

On the distribution front, I think we have taken some aggressive goals here. I think we have altered our product portfolio. We have also re-engineered the terms of trade for our dealer fraternity. With this, we believe that we will be able to reach out to a lot more outlets across the length and breadth of the country. And therefore, we should be able to cater to a lot more customers. In the areas, in the district, in the towns where let 's say a retail store by itself may not be the most viable proposition.

Chirag Shah: You explained the margin part for this quarter. But if I can just get in a bit more there, you mentioned that the sunglasses growth this quarter it was about 61% versus lenses at about 20%.

So, has the product mix also impacted margins? And do you think the competitive intensity last quarter was much higher with your key competitor getting more aggressive?

Saumen Bhaumik: I think competition wouldn't have affected our overall number, both the top- line and the final thing. I think some of the things that I explained on the top-line side, one channel did not really make any contribution towards the last month. And we also had to make certain corrections in

order to prepare ourselves for FY24 . On the cost front, there are a few one -time things that have TITAN COMPANY

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hit us. So, I would broadly place the quarter 4 results in that space rather than saying that external factors impacted our numbers.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. C. K. Venkataraman for closing comments. Thank you, and over to you, sir.

C. K. Venkataraman: Thank you very much, everyone, for all the probing questions as always, and look forward to seeing you 3 months from now. Bye -bye.

Moderator: Ladies and gentlemen, on behalf of Titan Company Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. TITAN COMPANY

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

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SEC 140 / 202 3-24 8th November 2023

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Exchange Plaza,

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Dear Sirs,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the second quarter and half year ended 30th September 2023 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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Sensitivity: Internal

"Titan Company Limited

Q2 FY '24 Earnings Conference Call "

November 03, 2023

MANAGEMENT : MR. C. K. VENKATARAMAN – MANAGING DIRECTOR

MR. ASHOK SONTALIA – CHIEF FINANCIAL OFFICER

MR. SWADESH BEHERA– CHIEF PEOPLE OFFICER

MR. AJAY CHAWLA – CEO, JEWELLERY DIVISION

MS. SUPARNA MITRA – CEO , WATCHES & WEARABLES DIVISION

MR. SAUMEN BHAUMIK – CEO , EYECARE DIVISION

MR. MANISH GUPTA – CEO , FRAGRANCES & FASHION ACCESSORIES
DIVISION

MR. AMBUJ NARAYAN - CEO , INDIAN DRESS WEAR DIVISION

MR. KURUVILLA MARKOSE (DIN) – CEO , INTERNATIONAL BUSINESS
DIVISION

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Sensitivity: Internal

Moderator: Ladies and gentlemen, good day, and welcome to Titan Company Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C. K. Venkataraman, Managing Director, Titan Company Limited. Thank you, and over to you, Mr. Venkataraman.

C. K. Venkataraman: Thank you very much, and thank you, and welcome to everybody on the call. It was a very satisfying Quarter 2 FY '24 for Titan Company and its subsidiaries. The actual results are up there for you to see, and I would just like to talk about one important development during the quarter and that was the decision of Titan Company to acquire the stake of our joint venture partner Mithun Sacheti in the CaratLane Private Limited Company. And that was decided around the 20th of August and the work subsequent to that is under process.

When we partnered with Mithun in 2016, we had a certain common vision, common dream, and strategy. And I'm very happy to note that partners have ended up achieving that very well, and I would like to thank Mithun for having played his part in it.

As part of the agreement, the purchase of the Mithun stake is happening as per the shareholders' agreement of that time, and we are quite excited to be now in the next wave of growth. CaratLane, and given the profile of Indian consumers, their digitalization, their accessorization, their desiring to buy the right kind of lifestyle products, CaratLane is positioned exceedingly well to capitalize on that opportunity. And it would be part of a wholesome portfolio that the Titan's Jewellery business will have to play with. And all of us are super excited to partner with Avnish Anand, the CEO of CaratLane now, and his team in this next wave of the exciting journey of CaratLane.

So I would like to now stop here and request for all questions relating to the last quarter performance. Thank you.

Moderator: The first question is from the line of Avi Mehta from Macquarie.

Avi Mehta : Congratulations on the great performance this quarter. I had just 2 questions. The first one was, in the presentation, you've pointed to a material beneficial, material impact of Shradh being delayed from September last year to October in the current year. So 2

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Sensitivity: Internal sub-questions on that. a), is it material enough to impact the October sales? And if that is, does it make us reevaluate our expectations for 3Q sales growth?

Ajay Chawla: Hi, Avi, this is Ajay. Still, but it's very difficult for us to gauge the exact impact because this year being, it has that Malmas and then because of that Shradh got deferred. So eventually we will know, only by mid-November, because Shradh period of first 14 days of October, while it was better than the Shradh of last year, which was in

September, but how to account for how much sale has shifted from here to there, frankly, I have not been able to assess them.

But we know it's material because of the fact that pretty much, many jewellery players saw good growth in quarter 2. And we do attribute. So yes, to some extent, the first 14 days of October would be understated compared to last year's.

Moderator: Sir, sorry to interrupt you, but there's a bit of disturbance in the line. So let me reconnect your line. One moment. Ladies and gentlemen, thank you for your patience. We have the line for the management reconnected. Sir, you may continue.

Ajoy Chawla: Yes. So Avi, I was sharing that it's becoming

very difficult to estimate how this --

because which period to compare it with is becoming difficult, but, yes, to some extent, you should consider in quarter 3, there will be a catch-up of this higher growth senior may get slightly impacted. We will know the exact impact only by the time we complete mid-November and end of quarter 3.

Avi Mehta : Okay, sir. Okay.

Ajoy Chawla: Avi, I don't have a number for you.

Avi Mehta : Yes, okay. Fair enough. I understand then what you're saying. Any number for October that you would want to share or that is something that's too difficult to give us the guidance or give us an understanding of the underlying growth momentum maybe.

Ajoy Chawla: See, it's difficult. Again, October, you know, has 14 days of Shradh and 16 days of season, and then to add them up and try to arrive at growth is very difficult. It's very difficult.

Avi Mehta : It's very difficult. Okay, sir. I understood then it's not the right -- fair enough, sir. Sir, then the second question is, again, on the jewellery business only, on the diamond pricing. There has been -- we understand that there has been a sharp correction in diamond prices. a), could you comment if there is any material impact from this correction on either inventory or margins that you anticipate going forward? That's all from my side for now.

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Sensitivity: Internal Ajoy Chawla: So you are right. Diamond prices, especially in the higher caratages, in the solitaire side have come down and that's largely to do with international demand-supply situation, at the moment, supply of solitaires in the market. And we have traditionally not looked at price corrections based on this situation, but since there has been a significant impact, we have done small corrections in our pricing.

And to that extent, that may result in some margin dilution over the next maybe 7, 8 months because it's the inventory that we hold that will translate into some degree of margin reduction flowing in. Again, not able to estimate how much that will be in any quarter, but over the next 6, 7 months, we think there will be.

We also don't know whether the prices are likely to continue to remain low or go up. That's something which we are not able to estimate. So this is on solitaires and not so much on rest of the diamond-studded business. And the bulk of what we do is non-solitaire.

Avi Mehta : Okay. And sir, then materiality is not great. Is that the way -- I mean, does it change our expectation of where we were hoping full-year margins to be? Does that kind of get changed or no? It's not so material to talk about, is what I wanted to kind of appreciate better.

Ashok Sonthalia : Avi, it is not so material to talk about. I think our guidance has been 12-13%.

Moderator: Next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra : Congratulations on a great set of numbers. Just a follow-up on the point on diamond. So while you mentioned that the main fall has been in solitaires, so are you saying there is probably no need to reduce prices in the main, the lower ticket sized diamond that you sell?

And in that context, would you then basically retain some of the commodity benefits because prices there would have also fallen, though to a lesser degree? And secondly, is there any, like, impact on revenue as prices go down? In your past experience, does value tend to compensate for -- the more consumers tend to compensate for the lower value?

Ajoy Chawla: So the large part of our studded business is non-solitaire business. On that, we have not felt the need to take any price correction. It's normal utility, up and down something keeps happening. So we have not taken any price -- we don't even feel the need to look at that as a price correction. It's only in the solitaire side where we've taken a small correction. And the

refore, yes, we will hope to get the same margins on the studded business, at least on bulk of it.
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Sensitivity: Internal And the other question on more -- yes, if prices come down over a period of time, they become more accessible in theory, yes, but we've never had faced that situation. So we can't really speak out of any experience. But yes, if the prices have fallen suddenly, we think people will wait and watch on solitaires as to whether there is more softness or will it come down further or will it stabilize. So uncertainty will result in solitaire customers being a little more cautious, but that's only on the solitaire side.

Arnab Mitra : My second question was on this gap between UCP and primary sales in jewellery, which is around 27% versus 20%. So this, I presume, is mainly for the L3 sell -in timing. So does it mean that we should expect the primary sales to be higher by almost 6%-7% in the 3Q to make up for this gap?

Ajoy Chawla: No. Let me just clarify. 27% is the growth if you look at the customer price, okay? If I look at some amount of discounting etcetera , that 27% growth will actually come down to 26%. And thereafter there is a further 3% drop on account of timing difference of upstocking, downstocking this year versus last year.

Last year, festive season was in October, so the upstocking happened in September. This year, there was no such upstocking. So therefore the primary comes down further. In addition to that, there are some adjustment accounting entries, which resulted in the reporting number of NSV .

Ashok Sonthalia : Domestic is 21%, not 20%.

Ajoy Chawla: Yes. So domestic is 21%. So 27% comes down by those 2 pieces I shared, which has to do with some amount of discount payouts being a little higher, and the second piece being the primary difference. That growth gets shaved off from 27% to 26% -- 27% to 24% -- 23%. Yes. And then the balance 23% to 21% is some accounting entries which happen to come at this point in time.

Moderator: Next question is from the line of Kunal Vora from BNP Paribas.

Kunal Vora : Congrats for good numbers. Can you help us understand developments in the lab -made diamond industry? There are reports saying that this is causing the slowdown in diamond industry in China, and also the lab -made diamonds are now available at, like, as high as 90% discount to real. So what are the trends which you are seeing? And if these diamonds become more popular in India, what would be your strategy to counter this trend?

Ajoy Chawla: So let me give one broad perspective that internationally the diamond prices, especially in the higher carat age side have taken a hit on account of couple of things. There is -- I mean, bulk of it is international market. So what we understand from the diamond cutters and polishers is that there has been some kind of bullwhip effect on -- because

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Sensitivity: Internal of the timing difference of end consumer demand versus what the back end of the supply chain kind of gets to see.

So markets have started coming down sometime back, but these guys were still increasing the supply of polished diamonds and so on. And now there is a certain realization of inventories etcetera . So that's one.

Second, what I understand is most parts of the world, demand situation due to economic factors has continued to be very weak, especially including China, which is likely to remain like this for the next 1 or 2 years. Europe has been down, Japan has been down, U.S. also has been impacted.

The third factor in addition to all that is, in about 40% by volume of the U.S. market is bridal and center stone. In that, a certain proportion of diamonds have got replaced -- natural diamonds have got replaced with lab -grown. So that would be adding a little bit more to this drama.

So all t

hese 3 factors and oversupply of roughs and therefore polished stock in the market has resulted in some price correction. And this could be part of a business cycle. Some part of it may be structural, but very difficult to estimate. In India at least, we are not seeing any demand problem .

We have not heard of anything in any of our stores across all our brands where people come seeking for lab -- people want a certification that can you please ensure that you also add to your guarantee that our products are natural. So that indicates that they are keen to ascertain the authenticity of naturals. And we are, of course, selling only natural

diamonds. So in the future, what will happen, how it will happen, we are watching and we'll figure out how things play out.

Kunal Vora : Sure. That's helpful. And also I wanted to understand, if I look at like -to-like growth for CaratLane that's lower at 10% compared to Tanishq at 22%, can you help me understand this? I would have expected the growth for CaratLane to be higher because it's a new format.

Ajoy Chawla: Yes. So a couple of things here. Tanishq is operating in a market the benefits of formalization and the opportunity to gain share from many, though Tanishq is also gaining its size by virtue of operating at a low market share, high -value space, whether it's high -value studded, whether it's in gold. Therefore, you will see that the ticket size has contributed as much to the growth of Tanishq as any other as the number of buyers. So in fact, on a like -to-like basis, 50% of the growth has come from ticket size. Rest has come from buyers.

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Sensitivity: Internal In the case of CaratLane, as a conscious strategy to operate within that price segment, -- again that's where you need to give an attractive product. There's no ticket size -led growth. It's largely buyer -led growth. So that's the way it'll equate. Further, if I were to reconstruct the Tanishq growth, the growth in buyers and new buyers is particularly high for us in the higher, greater than INR 2 lakh space, whereas in the sub -INR 50,000, sub-INR1 lakh, we are seeing certain much lower new buyer growth.

It's that in the sub -INR 50,000, there has been significant amount of -- roughly there is enough and more players in the market and partly consumers have been a little bit more under stress. It probably reflects a more modern, younger customer, IT crowd etcetera . Therefore there is some amount of consumer sentiment and share of wallet play, which is happening in the sub -INR 50,000. So we are seeing in CaratLane, Tanishq, Mia, from the same store, new buyer growth is kind of comparable. So I think that's the way to understand this. Otherwise, there's no reason to worry.

And I would add one more thing. CaratLane has certainly added a lot of stores in the last -- in 20 months, and to some extent, the same -store growth in certain cities could have got impacted by that, but we are closely watching that and we are sure that overall city growth is very good.

Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal : Yes. So my question is on the capital raise of about INR 2,500 crores through debentures and about INR 1,000 crores through debt. So wanted to check if you can provide some color on the utilization of these proceeds and also what is the blended rate of interest that you foresee for the same.

Ashok Sonthalia: So I think we -- during this issue yesterday and getting all things closed today. So we did 2 tranches, INR 1,250 crores and INR 1,250 crores . Other one is for 24 months. We've got a blended rate of 7.74%, which is very, very good in the current context. And idea is to use this for the acquisition consideration partly and partly from internal accruals . So that is the purpose.

Devanshu Bansal : Acquisition of CaratLane stake, sir?

Ashok Sonthalia: Yes.

Devanshu Bansal : Okay.

Ashok Sonthalia : CaratLane acquisition, just to add that it is going through the CCI approval. We expect that CCI approval should come soon, and we are getting just ready that as soon as the CCI approval comes, have necessary funds to kind of consummate this transaction.

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Sensitivity: Internal Devanshu Bansal : Right, sir. Sir, another thing that I wanted to understand is from a competitive intensity point of view. The access to capital for other organized players has also improved either through capital markets or through franchisee investments that they are getting. Almost all players are talking about increase in network expansion versus historical trends. So what is your view on the intensity in this market? And do you foresee any potential impact on margins because of this?

Ajoy Chawla: You're right. Most of the organized players and some of the independents also are -- maybe in their close -by cities or near -- or the same city, and therefore we are seeing that. We are also actually expanding quite rapidly. We've added in the first half 19 stores in Tan ishq, and as we speak, we've added another 8 in the month of October and we have visibility for another 15. So yes, expansion is on both in existing market and

new market.

We are also expanded significantly many of our stores. We have undertaken significant store relocations and expansions to be able to do full justice to all the products and options and ranges that we are selling.

C. K. Venkataraman: Also, at least what I am able to see on the ground is an acceleration in the formalization of the category because of an increased activity level by other companies like what you're mentioning. There are many places where we are -- like 3, 4 of us in one stretch next to each other.

And the whole city or the whole locality, depending on how big that city is, is actually transformed from a jewellery industry point of view. And I think based on the small size, jewellers are certainly getting much more affected. And therefore the acceleration of the formalization, which means that the sale of these does not have to come from Tanishq.

Equally, we are also seeing that when we are just next to other big national brands, they're coming out as better, contrary to what somebody may think because of premium and all that, but premium is only one aspect of it.

Finally, the quality of the designs, quality of the finish, the superlative experience inside the store, all that, customers are able to perceive directly in a short time. In half an hour, you'll know the difference, right? Unlike you maybe go days later to some other store, your memories are like dim. People go and come back and buy.

So actually we are benefiting when competition is putting stores next to us as opposed to worrying. In fact, now more and more people I meet on the ground are saying that let those brands come and put stores next to us, that actually will help us because the Titan Company Limited

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Sensitivity: Internal overall traffic for jewellery in that city, to that stretch, is going to dramatically increase and we'll get a greater share of that than otherwise.

Devanshu Bansal : Very clear, sir.

Ajoy Chawla: And hence, we are seeing market share gains even in those cities. So frankly, all the forces are working well. Competitive intensity has always been high, will continue to be. So I don't think that's something we are worried about.

Moderator: Next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi : Venkat, Ajoy, congratulations. I have a few questions, starting with the main question, which is fundamental question for Ajoy. Last many quarters, we have seen a new buyer growth ahead of 45%. So I was more curious to understand the profile of these customers,

what kind of ticket size these people contribute. And what is the frequency at which they buy?

Ajoy Chawla: So I'll just correct you, Shirish. It's not the growth. It's the contribution of what you are talking, 45%. And even in this quarter, it's a 48% contribution. 48% :52%, new to repeat. So typically there is a difference between a new and a repeat customer. The new customer comes in at a lower ticket size, sub -INR 75,000 because they are sampling the brand. Very rarely do they come and buy a very high -value item. Repeat customers typically have much higher ticket sizes, and therefore their lifetime value to us is much more.

However, the new customer segment is critical because they are the funnel. Over a 3 to 4 year period, they migrate from being a sub -INR 75,000 to a INR 2 lakh plus higher, assuming they stay with us and they don't become dormant. So that's the story as it goes. Profile, well, largely they are typically people who are otherwise buying gold jewellery from somewhere else. And therefore they come in, they want gold and they want gold of their kind.

And they're typically the everyday product buyers, whether it's bangles, earrings, fingerings, chains. Over a period of time, then they get attracted towards the studded side of the business as well. So they are more traditional, by and large; not all of them, but by and large, especially in most of the market. And two, they are lower ticket size. The metros and the bigger cities, yes, you're also -- we also get a lot of studded buyers, especially those who come in and buy Mia or a Tanishq, sub -INR 50,000 or even a CaratLane in a CaratLane store. That's a different kind of audience. The audience is, they are not the same as the earlier one I described. So 2 types of customers, but beyond that, I don't know what else I can share.

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Sensitivity: Internal Shirish Pardeshi : No, that's helpful, Ajoy. The reason why I'm asking now today, the Tanishq store count is at 445 and Mia is 145, almost 1/3. So I was more curious that number of stores over last 5 to 6 quarters, we have added very aggressively in Mia. Obviously, that format is working well and obviously, you would have put energies behind that .

The reason why I'm asking is that, uptrend which is happening, say, for example, a new buyer comes with a plain gold and upgrades to a solitaire or studded is the trend which is going to stay for a longer time? Or there is some trend which is now Mia is the different segment which is catering and plain gold Tanishq is catering to a different segment?

Ajoy Chawla: No. I think that's a very simplistic view. Firstly, Mia is present in almost all Tanishq stores also, okay? And in some of -- and in not some, many of the Mia stores, we also have kept a Tanishq complementary range of studded products. So you must recognize that these are 2 channels who are attracting a certain profile of buyers. Secondly, in the Tanishq channel also, you get a fair amount of people who come in and buy studded in the sub -IN R50,000, INR 60,000, both in the Tanishq brand as well as in Mia. Mia is mostly 14 -carat. Tanishq is only 18-carat in that studded space. So it would be too simplistic to classify.

What I told you was the large number of people who are sitting and buying -- and when I say new, this is new to Mia or Tanishq, okay? So the large number of people who are out there in the unorganized market who are buying typical gold products, that was the first profile I spoke to you about. That is a big chunk. That's a very big chunk because of the sheer formalization benefits and the market share gains that we spoke about. The second customer that you are referring to is the new -age customer where there is more of a market expansion activity and not so much of a share gain, as in new customers who are looking at this category as a new acquisition

on to have for adornment.

Shirish Pardeshi : Okay. That's helpful. My last follow -up on the jewellery. Now, we have almost 10 stores outside. Would you be able to share some qualitative, quantitative data how these stores are faring, what is the square feet or per square feet sales we are getting, or any color how we should build?

Kuruvilla Markose : This is Diny here. So far -- I mean, as on date, we actually have about 13 Tanishq stores. We've just opened , soft launched Singapore. The formal launch is tomorrow and we'll be opening Houston as well tomorrow, and Dallas has opened recently. There's 2 stores that we opened a little while ago in Qatar. They're all doing quite well in terms of numbers.

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Sensitivity: Internal All of them, once we open them, are pretty much better than whatever we anticipated, including relatively high studded ratios reflective of the type of customers that -- or the type of incomes and the type of lifestyles that Indians internationally are enjoying.

So from a performance standpoint, they're all doing extremely well. We're getting a good percentage of repeat customers. We've also recently, about a month ago, opened the first Mia store in Dubai, the first international Mia store, the first one outside the country, in Dubai. And that is also helping us pull in a set of non -Indian customers as well. That's the broad approach and the track that we are taking for Tanishq.

Shirish Pardeshi : Yes, I'm sure that's helpful, but I'm looking more from a...

Moderator: Sir, sorry to interrupt you. Shirish, I'll request you to come back in the question queue.

Shirish Pardeshi : Yes.

Moderator: Next question is from the line of Aditya Soman from CLSA.

Aditya Soman : Sir first question, I mean, you talked about faster customer growth at the top end in terms of higher ticket sizes, but I see that Zoya at present, I mean, while you're expanding it, is about 10 stores. Would you think the time is now right for you to accelerate the expansion of Zoya and any sort of outlook you want to give us in terms of where Zoya can be, let's say , in the next 2 to 3 years?

Ajoy Chawla: Yes, Aditya. Zoya is currently at 8 stores, if I'm not mistaken, not 10.

Aditya Soman : Yes, 8.

Ajoy Chawla: And we have actually, as we speak, in the pipeline, but the pipeline takes a little longer to materialize in the case of Zoya because some are built to suit etcetera . We have at least another 6 or 7 stores visible for us. And therefore, I've made this comment even earlier in some other media interaction that before next Diwali, you could expect about 15 Zoya standalone stores. Besides that, Zoya is also present in 6 galleries, or is it 7 galleries, I think, and there are a few more galleries that will come up, which is inside a Tanishq company store. So there may be a couple more that may come there.

So you're right, we believe it is the right time to expand Zoya . And from, let's say, 3

stores 4 years back, now 8 and by next year, it will be closer to 15 and the top 7, 8 cities, or top 8 towns will get covered. And yes, we think Zoya can grow well; very difficult to give an accurate number on this because it's an evolving thing. Last year, Zoya did, in consumer price terms, at about INR 240 crores. We are targeting a hefty growth, a good 50% growth in the current year. I think we can sustain good

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Sensitivity: Internal growth. We haven't done an exact projection, but clearly, we see that it is building up into a nice sweet business as well, besides being a great brand.

Aditya Soman : No, that's really helpful. And in terms of profitability, anything to call out on Zoya ? I mean, would that be more, less, any sort of rough direction?

Ajoy Chawla: Gross margins are better than Tanishq because of it being 95% studded business, and

d -- so the rest of it is really operating leverage, which -- we don't do a separate P&L for Zoya . Generally, margin and profitability wise, it's much higher.

Aditya Soman : Very clear. And these are all L -1, I'm assuming, or are they, again, L -2, L-3 as well?

Ajoy Chawla: These are currently all L -1. We will evaluate if we need to do an L -2.

Moderator: Next question is from the line of Nihal Jham from Nuvama.

Nihal Jham: Ajoy, my first question was on the jewellery business. I know at the start of the call, we tried bifurcating the benefit of maybe what the shifting of Shraddh had. Just to understand if, say, looking at the growth in July -August would be in any way a bifurcation or a see-through into how the quarter would have performed, had the shift of dates not happened. Would that in a way give a sense just to understand from your perspective?

Ajoy Chawla: No, not really, because July was the Malmas, and we saw from July to August to September, the trajectory was going up. So very difficult to judge. We tried all this, but can't help you.

Nihal Jham: Sure. I'll take it. The second question was on the jewellery margins. Last year, I think we had a 2% benefit where we saw some benefits also coming in from the increase in diamond prices at that point in time. And while I don't think we bifurcated the difference, assuming, say, 1% was related to that, is it that this time around, the pricing environment is, as you said, more towards solitaires and the higher caratage whereas last year it was more on the caratage that we were using and that is why it is not really clear in terms of how the margin impact would play out in the future ahead.

Ajoy Chawla: No, I don't think that's the way to look at it this way. Inventory gains came in last year because we took the price increases ahead of the actual costs hitting us because of the pipeline inventory we had. And that was across the board, whether it was small, whether it was slightly bigger stones or solitaires. Right now, as we speak for quarter 2, there is no impact of any price related.

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Sensitivity: Internal Therefore the difference between last year quarter 2 and this year quarter 2 is the extraordinary inventory gains that were in a way one-time to last year. This year, what you are seeing is a normalized margins in quarter 2.

Going forward, because we've taken some small correction in pricing, there may be some gross margin dilution on account of that segment alone, but that will play out over the next 6 to 8 months. And we are not able to estimate exactly how much, because it depends on the sale of those finished goods etcetera. So right now in quarter 2, the only difference you see is the normalization of margins.

Moderator: Next question is from the line of Siddhant Dand from Goodwill Warehousing.

Siddhant Dand : I think my question on Zoya was perfectly answered before. My other question was Trent has launched a premium Indian dress wear Samoh, which is arguably clashing with Taneira at some point. Is there an understanding on which segments in apparel will be managed by them versus Titan or are we open to compete?

C. K. Venkataraman: Nothing to share at the moment, Siddhant on that. Maybe we will share something once we are also completely clear.

Siddhant Dand : Okay. That's fine. And there was some media article on our 10 lakh plus invite-only format. Is it a Zoya store or is it something else?

Ajoy Chawla: No, I think it was a little bit of journalistic imagination.

Siddhant Dand : Okay.

Ajoy Chawla: And in Zoya, we already have a South ex-store in Zoya. We are looking at the city for Tanishq in -- because our current store is -- size is not adequate for the demand that we

cater to.

Siddhant Dan d: Understood. I was expecting that. Okay.

Moderator: Next question is from the line of Milind from Dalal &a;

mp; Broacha.

Milind : I have 2 questions. First of all, congratulations on good numbers. I have 2 questions.

One was that now hallmark becoming quite common. What is the USP, especially in gold jewellery that Tanishq would have against other jewellers like maybe a Kalyan or Malabar or similar kind of jewellers?

Ajoy Chawla: So I think purity is one aspect on which customers have distinguished. Secondly is our gold exchange policy, the transparency of pricing, transparency of the way our -- there's a net weight, cross weight difference that we bring about. There is also an

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Sensitivity: Internal excellent exchange program, the TEP, in which we give value for stones, we give value transparency in which the way exchange program works.

There is great product finish time, which we are very proud of, finish in terms of quality as well as design. And also I would say the customer experience that people get in our stores. So there are many different legs on which the brand is differentiated besides the overall appeal of the brand to the Indian women, to the progressive Indian. So I think all these factors play a big role in differentiation.

Milind : Okay, got it. Second question was on lab-grown diamonds. Now, frankly, even now I find lot of resistance even in the customers to go for lab -grown diamonds, but all said and done, it's like an IVF baby or a normal baby. Baby remains same. There is no change.

So there is no difference when it comes to lab -grown diamonds versus natural. So do you think that this will be a major challenge going forward for Titan in the next 3 to 5 years? I'm not talking of immediate, but over next 3 to 5 years, do you think that there could be an impact in the sense on value?

I do understand that there may be some kind of increase in volumes, but would the value be impacted because of lab -grown diamonds becoming more and more popular? Because we have seen that in U.S., 50% of loose diamonds now have already -- are already lab -grown diamonds. And I enquired that the cost of a 1 carat lab -grown diamond is roughly less than \$200. So that is why this question.

Ajoy Chawla: Okay. So first, let me clarify that 50% of the center stone bridal engagement ring product, so that itself is about 40% of the overall. So that 50% will translate to 20%.

Okay, just to clarify that. Second piece, you're right, when the -- if suddenly a retailer decides to sell a lot of lab -grown diamonds, and because the price of lab -grown diamonds is continuously crashing, in fact, it's crashed very, very badly.

And as a consequence, many retailers in the U.S. who were selling both have seen that the lab -grown has cannibalized, and now they are having a rethink on their entire strategy, including the Signet Group and quite a few other big players. How things will pan out over the next 3 to 5 years in India is difficult to gauge.

In the U.S., there is -- the concept of stored value in a diamond is not such a big concept for them. And as you can see, it is largely in this engagement, bridal center stone where this phenomenon is occurring, but not in the rest of the fashion jewellery or other jewellery at least, to the best of our knowledge right now.

So in India, the stored value of the diamond, and particularly in the solitaires, where we are seeing this demand kind of impact in the U.S. In India, the solitaire is being

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Sensitivity: Internal bought not for young brides, but it is being bought for milestones. And a large part of solitaire is also investment-led. How this will pan out therefore the next 3 to 5 years, we don't know. We are keeping a close watch, and we will -- what options we want to explore as we go forward. We see that there's a big impact, but right now we are not seeing and we'll keep a close watch.

Moderator: Next

question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi : Yes. So my first question was with respect to the comment on the new and repeat buyer ratio. What I understand is last 2 quarters, the repeat buyer ratio is on the higher side versus new buyer ratio. So Ajoy, the question is what do you prefer, I mean, in terms of how do you want this ratio to look like from a medium-term perspective?

Because I would understand that new buyer means you have a higher customer growth, whereas repeat would result in higher bill value growth. But ideally, what is the balance you would like to maintain or how should we look at these numbers when you share these numbers?

Ajoy Chawla: So we are happy with the kind of ratios we are seeing, 50-50, 52-48, 53-47, and this ratio varies by quarter because of festive buyers come in because a lot of people in the market at that time. So it'll fluctuate, but we are comfortable with this 52-48, 53-47 as a healthy balance because you must realize that we also have a large number of existing stores. Ratios will be skewed more towards repeat and the newer stores will have a greater skew towards new. So this is a good balance, I would say. We are happy with this balance.

Sheela Rath: Understood. And Ajoy, you mentioned about how the repeat customer in a Tanishq store over 3 to 4 years spends INR 150,000 to INR 200,000 versus the first-time purchase, which is less than INR 75,000. How does the repeat behavior in CaratLane or Mia pan out in terms of the spends?

Ajoy Chawla: There is a slight increase in the ticket values, but in Mia and CaratLane, since the objective continues to serve strongly to the sub-INR 50,000, sub-INR 60,000, they may buy more pieces more often, but the average selling product is pretty much where it is. And even in fact, when the price of gold etcetera goes up, the endeavour of both these brands is to ensure we -- existing products in the price points so that the catalog is not vacated. So repeat is slightly better, but not like the way I described Tanishq. They may come in more often. They may come in and buy more gifting or self or whatever, but the piece price remains more or less same.

Sheela Rath: And what would be the differential in price points for CaratLane and Mia now?

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Sensitivity: Internal Ajoy Chawla: CaratLane is around the INR 25,000 – INR 24,000, INR 25,000 range and Mia is around INR 31,000, INR 32,000.

Moderator: Sir, sorry to interrupt, but I need to reconnect the line. There's a bit of disturbance in the line, sir. Participants, please stay connected. Ladies and gentlemen, please stay connected. Participants, thank you for your patience. We have the line for the management reconnected. Sir, you may go ahead.

Sheela Rath: Finally, Ajoy, you were saying something on Tanishq in the end. I think I missed...

Ajoy Chawla: No. Just the ticket value is INR 140,000.

Sheela Rath: For the repeat buyer.

Ajoy Chawla: No, for average for Tanishq. I'm telling everything average.

Sheela Rath: Understood. And one final question from me. What was the share of gold exchange this quarter?

Ajoy Chawla: Gold exchange was around 30 -- sales by virtue of gold exchange, that is the non-Tanishq gold exchange, was 34% -- 33% in the current -- in quarter 2.

Moderator: Next question is from the line of Jay Doshi from Kotak Securities.

Jaykumar Doshi: Congratulations on a very solid execution. Just one question. Is it possible for you to give us some color in terms of what percentage of your studded inventory right now is the inventory where your procurement cost was higher and -- versus the current spot price of diamond procurement? Or -- either absolute number or percentage basis or some color that helps us appreciate this aspect better.

Ashok Sonthalia: So Jay, Ashok here. As we spoke in the beginning

ing of the call, the impact on studded

margin going forward for next 6 months is not material enough, so you should not worry about that. And we would not like to put a number behind this.

Moderator: Next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: Yes. Sir, my question is with regards to the sharp margin expansion in Q2. These margins were in the -- ex of the bullion were around 14-odd percent. So what really explains this sharp expansion Q-o-Q? And what would be the guidance in the light of the margin that we have seen in the Q2 for the full year?

Ashok Sonthalia: So Q-o-Q is not the right way to look at it. You know there are seasonality, there are diamond festival or diamond activation. Quarter 2 is for that. And typically, quarter 2 margin is always higher than quarter 1. Quarter 1 is more Akshaya Tritiya where gold

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Sensitivity: Internal jewellery are far higher. So don't look at quarter-on-quarter. Look at year-on-year, and year-on-year last year, we had called out that we were sitting on one-time gain. So

compared to that, we are down by 1.3%, 1.4%. This year, again, studded share is even higher than the last quarter 2.

So some help has come from there. Some of the gold portfolio realizations etcetera are better, and some of -- in jewellery business, there are thousands of moving parts. Some plus-minus happens. In this quarter, all the factors, levers are generally in positive direction. So we are there. Nothing to specifically call out that -- except the diamond share and gold portfolio better realization, there is nothing specifically to call out for. Gaurav Jogani : Sure, sir. So sir, in that light, what could be the possibly margin guidance or the guidance for the full year? What band would you now say would be achievable for the full year basis?

Ashok Sonthalia: So full year, I think we are being, for last couple of years, consistent. 12% to 13% is a good margin band for jewellery division to aspire for and deliver for.

Moderator: Next question is from the line of Nitin Jain from Fairview Investments.

Nitin Jain : So my question is on CaratLane. So if we look at the margins for -- at the beginning of FY '23, we were somewhere around 7%, the EBIT margin. And since then, there has been a gradual decline in the EBIT margin. So how do we look at this picture? Is it as a result of the competitive intensity or the product mix has changed considerably? If you can throw some light here.

Ashok Sonthalia: So CaratLane also last year at least was beneficiary of price increase in diamond business, 75%, 80%. They also had some amount of inventory gain. So quarter 1, quarter 2, particularly of last year had that benefit sitting in that. It was a very small part of the thing. So none of you asked at that point of time and none of us called it out for CaratLane.

CaratLane right now, I think as far as the -- they are planning for growth, and accordingly, organizing themselves for that, but at the gross margin level, they are kind of comparable to where they were. The remaining -- the fixed cost part of it, which is kind of preparing for the growth, putting more office space, putting more marketing, branding etcetera is kind of creating a little bit temporary stress in the P&L, if you are looking at it. But we are very hopeful that over next 2, 3 quarters, this should get sorted out as they regain their growth back to what they are planning for.

Nitin Jain : Okay. And just to confirm, there is no like significant change in the product mix worth calling out.

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Sensitivity: Internal Ashok Sonthalia: No, nothing.

Moderator: Next question is from the line of Neeraj Khaitan from VT Capital Markets.

Neeraj Khaitan : Sir, since September 30, the gold prices have risen by around 10%. Do

you think that

will have any effect on the demand?

Ajoy Chawla: Yes, it has. Obviously, more customers get spooked with this kind of sudden jump, especially post 10th of October, I think post the geopolitical tension, we have seen a certain sluggishness. But having said that, I think in the last few days, there has been stability and most customers tend to wait till as late as possible before they jump into the festive buying. So yes, overall there has been some dampening.

But having said that, we are still seeing looking -- we are still seeing reasonably decent value growth, and I personally feel the next 10 days, we will see a huge surge of customers providing no further jumps take place in the gold price.

Otherwise that can create a little chaos, but if the gold price remains where it is or if it comes down marginally, my feeling is that many customers who've been holding back will jump in, and including wedding purchasers who are waiting for gold prices to stabilize. But anybody's guess.

C. K. Venkataraman: I think all questions are done.

Moderator: Yes, sir. We don't have anyone in the question queue. You would like to give any closing comments?

C. K. Venkataraman: Yes. Thank you very much everybody, for all the encouragement and challenges, as always. See you 90 days from now.

Moderator: Thank you very much. On behalf of Titan Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

Titan Company Limited

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SEC 191 / 202 3-24 6th February 2024

The General Manager, DCS – CRD

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MUMBAI - 400 001

Scrip Code: 500114 The General Manager, DCS – CRD

National Stock Exchange of India Ltd

Exchange Plaza,

Bandra -Kurla Complex,

Bandra (East),

MUMBAI - 400 051

Symbol: TITAN

Dear Sirs,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter and nine months ended 31st December 2023 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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"Titan Company Limited

Q3 FY '24 Earnings Conference Call "

February 01, 2024

MANAGEMENT : MR. C. K. VENKATARAMAN – MANAGING DIRECTOR

MR. ASHOK SONTALIA – CHIEF FINANCIAL OFFICER

MR. SWADESH BEHERA– CHIEF PEOPLE OFFICER

MR. AJAY CHAWLA – CEO, JEWELLERY DIVISION

MS. SUPARNA MITRA – CEO, WATCHES & WEARABLES DIVISION

MR. SAUMEN BHAUMIK – CEO, EYECARE DIVISION

MR. MANISH GUPTA – CEO, FRAGRANCES & FASHION ACCESSORIES DIVISION

MR. AMBUJ NARAYAN - CEO, INDIAN DRESS WEAR DIVISION

MR. KURUVILLA MARKOSE (DIN) – CEO, INTERNATIONAL BUSINESS DIVISION

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Moderator: Ladies and gentlemen, good day, and welcome to the Titan Company Limited Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C.K. Venkataraman, Managing Director, Titan Company Limited. Thank you, and over to you, Mr. Venkataraman.

C K Venkataraman: Thank you very much. Hello, and welcome to everyone on the call. Quarter 3 was a very good quarter in terms of sales growth for the company, standalone as well as consolidated, including CaratLane and TEAL subsidiaries. This growth was driven substantially by the Jewellery business and the Watches business, while EyeCare, ethnic wear and the perfume categories were under pressure in terms of sales growth.

But our overall understanding of all the categories and various strategies that are already in place gives us a lot of confidence for Quarter 4 and FY '25. And the overall confidence level in the company is very high and we continue to be bullish on the prospects for all the businesses. And the rest of the information is on the presentation, which you have access to.

Now we can move directly into the questions, please.

Moderator: Thank you very much. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, retail UCP growth as well as like-to-like growth has seen a meaningful deceleration compared to previous two quarters. So what are the reasons attributable for this? Do you expect growth to bounce back in the coming quarters? This is for Tanishq.

Ajay Chawla: This is Ajay here. I had mentioned in a previous quarterly call that there was a certain timing effect of Shradh between Quarter 2 and Quarter 3. Last year, it was in Quarter 2 in September.

This year, it was in Quarter 3 in October. So consequently, that time, we were not able to estimate exactly what is likely to be this interplay. So yes, to that extent, there is an impact.

And the second piece is, so we had a very good festive season growth, in fact, very happy with that. But then thereafter in December, there seems to be have been a blip, perhaps driven by a sudden spurt in gold prices, which happened. Between November to December, gold prices went up by INR 200 a gram. And over previous December, it was INR 800 a gram.

So sometimes when that happens, there is some hesitancy from customers to come into the market. And therefore, what we looked at is we looked at data from September to November and compared. And there, the growth continued to be very healthy because that covers Shradh in both the years. And then December was a particular month. And then again, Jan has been good.

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Sensitivity: Internal So in many ways, I would consider December as the blip and the Shradh period which is resulting in the sales figures looking lower than the previous quarters. My confidence is that in Quarter 4, we will bounce back. How much more it will bounce back? I can't say. But one is hoping and expecting it to be better than Quarter 3.

Devanshu Bansal: Got it, sir. Second question is on the margin front. The Jewellery EBIT margin has declined

about 80 basis points this quarter. In my opinion, a 2% mix change towards studded should have resulted into only half of this decline plus there should have been some operating leverage as well. So what are the other growth investments that we are doing which is leading to this kind of a margin decline?

Ajoy Chawla: So I'm not very sure about the

math behind what you said. But the reasons for margin decline are as follows. One is, as you pointed out, studded ratio as studded mix being lower, that is certainly one of the reasons. The second thing is that there has been -- and I mean, the competitive intensity goes up whenever gold prices rise significantly. So even in Quarter 3, we have seen gold prices go up 16% year-on-year. And that's the season where everybody is waiting to sell.

So naturally, market competitive intensity goes up. And therefore, we've also responded tactically with offers, with exchange, with the program to protect gold rate for customers, like we've done earlier on as well. Because for us, ensuring that during the most important season, we don't lose share. That's the priority. So some amount of payout sits there. And of course, marketing, we have also invested during this quarter.

Because there is growing competitive intensity, so we felt it's the right time to put in. So we continued our advertising for weddings. We continued besides the festive season. And we also did some work on digital on studded, et cetera. So marketing costs also went up over last year to some extent. So these are all the top 3 investments that I can think of. I don't know if your math adds up in your mind. But this is -- these are the three things.

Devanshu Bansal: Yes. So I was thinking that 20% -- yes, sure.

Ashok Sonthalia: Just to add, if you look at quarter-on-quarter, there could be several cases. But 9 months, if you look at, it is reasonably okay on the way we have been talking about. So yes, just to add that.

Moderator: Thank you very much. The next question is from Latika Chopra from JPMorgan. Please go ahead.

Latika Chopra: My first question was if you could share your store opening plans for key Jewellery formats: Tanishq, CaratLane and Mia. And I noticed in this fiscal year, YTD, you've opened 43 Tanishq stores and 50 Mia stores but only 40 CaratLane stores. And the like-to-like retail sales growth for CaratLane has also been lagging Tanishq. So is this a price or a mix issue? Or is there some bit of a demand issue that you could elaborate on? Thank you.

Ajoy Chawla: So I'll just clarify, Latika, we have, in domestic, opened 36 Tanishq stores. The remaining, I think, will be to do with international. And in Mia, we have 50; CaratLane, 40. Those figures are right. In Tanishq, we saw the opportunity to up the play. And even though we had not planned

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Sensitivity: Internal so many, we went ahead and expanded because we found the right opportunity, right property, and we were able to get those going before Dhanteras.

And we have now, in a way, expanded the list of towns and markets and said whenever the opportunity presents itself, we will go ahead and open because execution can follow thereafter. In the case of CaratLane, while 40 have been opened, there were, I think, 90 opened last year. So many of those 90 had to stabilize as well. And there are many more which will come into play as we go forward. So this is not indicative of any long-term strategy. This has something to do within this year, that's all.

C K Venkataraman: Plus one thing to keep in mind, Latika, is this is not the equivalent of an expensive car versus a more affordable car, which can go to smaller towns faster than an expensive car. Tanishq is a more traditional jewellery brand, which is available in a Rivaah, in Sagar, in places like that, where generally people buy jewellery. Whereas at CaratLane, it will take longer time to reach a Rivaah or a Sagar. So that's advantage that Tanishq has. So that also has a bearing in this plus what Ajoy said about 90 plus 40 here.

Ajoy Chawla: So if I may carry on, Mia and CaratLane actually will continue to see more opportunities also. It's just a timing piece. I mean, last year, 90 and, therefore, this year, when

the 40 will become

50, 70, 80, 90, that depends on the opportunities. And therefore, you must see it over a 2-year time frame rather than a single year.

Latika Chopra: Sure. That helps. The second bit I wanted to ask was your other two segments. On Watches, how -- you talked about higher marketing expense impacting margins. But on a full year basis or over medium term, how should we think about the margin profile, given the salience of Wearables will keep rising?

And on eyewear separately, numbers on like-to-like growth rates have been muted. And it seems store addition has slowdown this fiscal year. So are there any aspects you intend to revisit here to drive better growth momentum in this segment? Thank you.

Suparna Mitra: So for Watches, yes, in the festive season, we spent a lot of money marketing our brands and all

our festive collection. So that is kind of way higher than what we had spent last year. And it did help us in getting a very good sales top line growth. The overall margin, which we had earlier indicated maybe 13 right now, 11 to 12, at least for the next couple of quarters.

Because of the overall mix, as you mentioned, Wearables, where the AGC (adjusted gross contribution) is slightly lower, becoming a big propeller of growth. And so therefore, it is -- at this point, this is -- it will kind of see this kind of margin for the next two / couple of quarters. Saumen Bhaumik: Latika, this is Saumen from EyeCare. Beginning of the year, I think we have said that our expansion will be calibrated. So it is not a rapid expansion. That said, in the year, I think we're almost over 60 -plus stores. But we also had to rationalize a few stores, which are not sort of delivering the expected kind of numbers. So net count has not significantly changed. But expansion and rationalization both happened simultaneously.

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Sensitivity: Internal As far as the growth is concerned, from mid -September to November across the industry, there has been, one would say, a very strong headwind that everybody experienced. We have not been an exception. There is no exception really in the whole thing. And so it was very difficult to sort of get the numbers going. And December was better. And that's what we expect the coming months to be. So what we saw here is kind of a reflection of industry -level phenomena rather than just a specific to our Division.

Moderator: The next question is from Avi Mehta from Macquarie.

Avi Mehta: Sir, I just wanted to check if you could update on how the demand in the Jewellery for the sub - INR 50,000 segment is behaving because you had pointed towards that being under -stressed. Has that changed? Or is it still deteriorating further? Any updates on that, please?

Ajoy Chawla: Yes. So the sub -- I would broaden it to sub -INR 100,000 because it's difficult because the gold price is going up and overall, some shifts take place between slabs. So sub -INR 100,000 at an overall level, if I look at it from a portfolio play of Tanishq, CaratLane, Mia, I think there is a stability in buyer growth that I'm seeing. And I'm now looking at the period that I mentioned in the earlier part of this call, September to November, then I look at December, then I look at Jan also. And I'm seeing a very stable set of buyer growth. So across the portfolio, it's there. But having said that, if I think of same -store growth for even CaratLane, Tanishq or some of the Mia stores, I mean, Tanishq in the sub - INR 100,000, there seems to be some amount of sluggishness in the new customer segment out there. And that is -- there's a softness, let's put it that way. Now is it because -- partly, it's because we think that consumer is facing some economic challenges. Because of they could be modern consumers, they are IT, digital and that -- there have been some economic challenges for that consumer segment. And the

second piece is there could be some share of wallet, let's say, shifts are not structural, I would say, fluctuations that are taking place. Because we see certain categories of it grew well, some others were still depressed. Now some categories have started picking up, whether it is travel, hospitality, experiences, vacations, SUVs, but garments is down. So there is something going on in the share of wallet in the context of some economic truths for this segment. And therefore, the sub -INR 100,000 and also included in that, the sub -INR 50,000, does have some degree of softness relative to what we think it should be.

Having said that, when I look at it as a portfolio play across all the brands that we have in our portfolio, I'm seeing a fairly good stability on buyer growth at a total level. Same -store growth, yes, but then we've also added lots of stores in CaratLane, Mia across the board, so not able to get a sense on that. But yes, there is some -- we wish it could be better. And it has remained stable and similar. It hasn't really deteriorated nor has it significantly improved or changed.

Avi Mehta: Got it, sir. And sir, the second bit is on this competitive intensity that you alluded or highlighted. Given the increase in gold price, does this in any way make us revisit our margin expectation for the year? Or are we -- is this in a fairly comfortable level?

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Sensitivity: Internal Because you've been citing this, however, the margin delivery has not taken a hit. But I just wanted to get a sense if that has changed, especially because some of the other peers are going a lot aggressive on store additions, so would love to hear your comments on that part.

Ajoy Chawla: So our EBIT margins continue to be in the range that was indicated between 12% to 13%, despite this weak studded quarter and weaker than what, let's say, we had last year. So at 12.2%, it is fairly good, I would say. It's not such a -- and as Ashok pointed out, when he alluded to it, when you look at it at a YTD level, because of the shifts between things here and there, it is also pretty good. It is exactly bang on in that range of 12.4%.

So to me and to Ashok and all of us, we've been saying 12% to 13% is a very good range to

expect our margins to be, competitive pressures notwithstanding. They will come and go. There will be seasons when everybody wants to do something. But we will respond. And there are ways to manage the margin, both gross margin as well as net margin. So we are still confident of the 12% to 13% range.

Avi Mehta: And sir, on the competitive intensity, has that changed? Because some peer has been accelerating on store additions. I say this competitive intensity does not necessarily mean pricing. It also is in terms of being able to add franchisees or otherwise?

Ajoy Chawla: No, that is not such a big worry for us. Because actually, we track 45 to 50 competitors. We don't track one or two national chains. And for us in every market, the local players are as much an important competitor as much as the national chains. And sometimes local chains are there as well as independent stand-alone jewelers will also be there.

So we track it at city level. And frankly, one or two players adding 10, 15, 20 more stores or 30 more stores doesn't move the needle. Because already, there are existing players there. And in many of these cities, we are the challenger. So we actually think it's good if more players get into organized play because that strengthens -- in fact, that brings out the strength of our brand even sharper in those markets.

Avi Mehta: So market is not a concern, right, sir? That's all I wanted to know, that your salience of market share continues to grow up. That's what I wanted to make out.

Ajoy Chawla: I think we have gained in many markets, and we have remained stable in most others.

Moderator: The

next question is from Videesha Sheth from Ambit Capital.

Videesha Sheth: I just had one question on the studded mix. What is the reason for softness seen in the studded jewelry at a stand-alone level? While you mentioned that there was a blip in December for the overall jewelry space with a sharp increase in gold prices, but the reason to ask this is that the trend is in contrast to the growth that CaratLane has seen. So is it that the accessible or entry-level part of the portfolio is relatively unaffected?

Ajoy Chawla: No, I think I'll respond in two ways. In the month of December, there was a definite drop in the studded sales demand. And as I said, that is 1 month out of if I look at a 4-5-month period, including whatever we have seen in Jan. So we see it as a temporary blip. And also, when we

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Sensitivity: Internal spoke to a lot of vendors who supply studded jewellery, they also confirmed that December was a very soft month for most players in the category. So that is the second source that I wanted to share.

Third is if you're asking what has been specifically different, the softness in the sub-INR 100,000 was one commentary we made anyway. But in this particular quarter, high-value studded, which is INR 5 lakhs and above, etcetera, also saw a certain softness. Now whether it is because of share of wallet, because of people deferring their expenses here and there, very difficult to make out. But this kind of came through in the month of December particularly strongly and therefore influenced the Quarter 3. As I said, if I look at a 5-month period, it seems to be temporary and not structural.

Moderator: The next question is from Siddhant Dand from Goodwill.

Siddhant Dand: My first question was on eyewear. Like over the last 5, 6 years, we've been told stories about how we can turn around, make changes in the eyewear division. But clearly, we are lagging.

And can we have a better 3, 5-year picture? And are we not fooling ourselves, we've not being able to make INR100 crores EBIT over there?

Saumen Bhaumik: I don't fully understand what you're actually asking from where we were 3 or 4 years back, where we are, we ended last year versus where we are. I think it is significantly different than the picture that you're referring to. And we had a good Quarter 1, good Quarter 2. We are pretty much close to the budget that we have had in the beginning of the year, we had 12% and 16% sales growth.

As I just explained, between September and November, we saw a kind of resistance in the eyewear segment across the industry. There are no player that I've heard nor I spoke to that they had a good run. December was a bit of a relief. So, it is a -- there is a cumulative effect of a period in which the category did not see too much of a traction. That's what we see. That's what we conclude. And we have our plans for future.

Siddhant Dand: But over a three-, five-year period now in eyewear, how do you see the industry growing?

Saumen Bhaumik: I'm not going to make a projection for the three to five years. Right now, we are looking at the next quarter. And as we plan for our FY25, we'll probably share with you our plans.

Siddhant Dand: Okay, okay. And my next question then would be around TEAL. We are doing some good business around semiconductors and all over there. But there's not much out for shareholders to know. So what's the business that we are doing? What's the market scope over there and our customer profile or something like that?

C K Venkataraman: Siddhant, you're talking about TEAL?

Siddhant Dand: Yes, TEAL. So there are some media articles about our new facility around Hosur and all, but...
C K Venkataraman: Yes, our two main businesses in that subsidiary are Manufacturing Services, where we make very high -precision components for the aircraft and defence industry. Our cust

omers are people
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Sensitivity: Internal like Collins, Pratt & Whitney engines and all that. And the other division is Automation Solutions, where we put together bespoke automation solutions, which use robots, vision cameras and welding and stuff like that to automate assembly lines across industries, automotive being a big segment which we focus.

So these businesses are roughly 50 -50 in terms of share of turnover. Both are international in their scope. And the overall opportunity for this company is very, very strong. But because of what happened during COVID, particularly in the international auto -- I mean, aircraft manufacturing sector, we had a significant challenge in FY21. But all that is generally behind us now. And as we speak, we are on the recovery path and FY25 should be very good.

Siddhant Dand: No, so the semiconductor division itself, so it will be within automation?

Ashok Sonthalia : Manufacturing Services.

C K Venkataraman: Manufacturing Services.

Siddhant Dand: Manufacturing, okay. And also, within that division, what is the potential...

Ashok Sonthalia: Yes. Actually, it's not really a separate division. But manufacturing...

C K Venkataraman: This is for the semiconductor machinery industry?

Siddhant Dand: Correct, sir.

C K Venkataraman: We make sub -assemblies for the semiconductor machinery industry, Manufacturing Services arm division, that's, that.

Siddhant Dand: Okay. So within that, it's a small division.

C K Venkataraman: It's a segment within the Manufacturing Services.

Siddhant Dand: Within the Manufacturing, okay.

Moderator: The next question is from the line of Nihal Mahesh Jham from Nuvama.

Nihal Jham: Sir, my first question was just a clarification that on the Jewellery margin bit, was there any impact on diamond prices, which we were discussing earlier, just to be sure about that?

Ajoy Chawla: In the current quarter?

Nihal Jham: Yes, in the current quarter.

Ajoy Chawla: In the current year, no, there is no significant impact on the diamond margin. There might have been something last year, but it was not material enough last year, so I don't know. But in this quarter, there is nothing that is extraordinary.

Nihal Jham: Yes, more referring from a negative impact rather than a positive one.

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Ashok Sonthalia: Small corrections, I think we spoke about on that side.

Ajoy Chawla: But it's not very material. No, nothing material, I would say. We took some minor price correction on solitaires, but it's a very small quantum, which we felt was appropriate, we took but no, nothing material because at an overall level, that has not really impacted too much anything, nothing to call out really.

Nihal Jham: Sure, just to clarify. The second question was again comparing CaratLane and Titan. It's the first time maybe for a span of a few months or quarters you've seen the SSG profile being slightly different between a Tanishq and a CaratLane. So just to understand, is it more, in your opinion, a perspective of the different customer segments and how they have been impacted or a lack of activations? Or are there any other aspect that you may want to read into looking at, say, the last nine months?

Ajoy Chawla: No, I think two things. As I said, in Tanishq, we cannot take the entire Tanishq performance, whether it's in -store or gross and compare it to CaratLane because the price points and segments are very different. Then there is a very large gold component also sitting in Tanishq. So, actually, the studded -- and within Tanishq, the studded, less than INR 1 lakh and less than INR 50,000.

And CaratLane is mostly below INR 50,000, the bulk of that. So I think they are not directly comparable from the figures you have.

And I -- the second piece is CaratLane

has added -- they've added lots of stores last year, so -- and many of them in the same towns as well. So there is likely to be some pluses and minuses happening there. In the case of Tanishq, the same -store growth upside has been -- or better performance has been also driven by the gold part of the business in this quarter. So I'm not

reading too much into this. I don't think -- and of course, the segments are different. And picking up about which Venkat had shared in the last earnings call that when it comes to gold business, every -- it's a question of gaining share because the market is already penetrated. Customers are already buying gold jewellery. But when it comes to studded and that too in the sub INR 50,000, it is the case of market expansion. That segment is getting created as we go along.

And therefore, there is not much share to gain as much as getting more customers into this pipe. And that process doesn't happen overnight. So therefore, the behaviour of that segment versus the behaviour of the overall Jewellery segment will be different. So in that sense, yes, the customer segments are different and the opportunity spaces are different.

Nihal Jham: Got that. Could I just take one final question? Is that fine? I'll just go ahead that for the Watches & Wearables business, I think when we had the analyst meet two years back, we were looking at a target of 18% margin. Just wanted to check, are we on track and looking forward to that?

Suparna Mitra: Well, that looks like a very big dream ambition that we talked about INR 10,000 crores. And later, we had revised it down 16% (margin). INR 10,000 crores would still be doubling the sales turnover in G UCP terms from INR 5,000 crores to INR 10,000 crores in a matter of three years.

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Sensitivity: Internal So obviously, all of this requires a lot of investments. And then we later kind of made it more realistic. So we are still pushing for maybe 15% -16% in the next -- after two years, yes.

Moderator: The next question is from Percy Panthaki from IIFL.

Percy Panthaki: I'll just start with one clarification. You have mentioned in your PPT that the India Jewellery growth is 21%. Would I be right in assuming that, that's a primary growth number?

Ajoy Chawla: Yes, yes. Our growth for the division, excluding CaratLane, just Tanishq, Mia, Zoya is at 17% in secondary retail, Tanishq is 16%. And the primary growth would be around the 21% -22% mark. That's what we are seeing. And that's to do with the timing shift. In fact, we had a better secondary growth in the previous quarter, if you recollect. And the primary growth was lower at 20%, so some shifts due to the season shifting.

Percy Panthaki: Okay, okay. So basically, the secondary sales growth is 17%.

Ajoy Chawla: 17% for the division, 16% for Tanishq and CaratLane is separate. And that's for Y-T-D. To give you a better feel, look at Y-T-D.

Percy Panthaki: Sure. When you say 21%, does that include the CaratLane in it?

Ajoy Chawla: No, no, no, that is separately.

Percy Panthaki: Okay. Secondly, I just wanted to ask, and it's not a question pertaining to the quarter but more of trends that you've seen in last few quarters, do you think that, at an industry level, there is an accelerated shift from unorganized to organized, which is happening? Anyway, see, there was, anyway, a shift happening since many years. But has this shift really materially accelerated? And if so, what are the drivers of that acceleration?

Because we are seeing not only you, but many of the other players, at least in the listed space, two or three other stocks, are also reporting fairly high growth numbers. So just from that point of view, I'm wondering if there is anything to read. So even the World Gold Council data, which I see for demand -- of course, they don't include exchange jewellery and all that.

But for whatever it is worth, in Q2, that is a September quarter, they have actually, I think, shown a slight decline on a Y-o-Y basis in the jewellery demand, whereas I think all the organized players have done very well. So that is the context of the question. So is there any such accelerated shift, first of all? And if so, what are the drivers? Is hallmarking a really big driver?

And if so, I mean, just your thoughts on that?

Ajoy Chawla: No, I also think -- I don't have the hard data right now. But overall, if I see the growth and market share that we keep tracking for local players and then chains and our own brand, we have been seeing that as more and more chains are opening across different parts of the country, the growth rates are different. And therefore, yes, there is some kind of acceleration.

And I think with people getting listed and having access to capital, there is greater expansion that is going on. And some of the other players are wanting to expand, put up stores and then probably go for IPO also. So there are both sets of players. The other piece that I'm --

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Sensitivity: Internal therefore, yes to what you are sensing, I also tend to resonate with that, notwithstanding the World Gold Council data because their figures are around kgs and grammage and all that stuff and it's too macro to conclude.

The second piece is there's another phenomenon that exists that many local players are also becoming organized in the way they operate. They may be a one-off store or two or three stores,

but they are changing the way they operate in response to the reality that they are facing. And therefore, they are becoming sharper in terms of their customer service, their store ambience, the marketing that they're doing locally or even the kind of services they are offering and transparency with which they are also doing exchange and other things.

So I think they've also understood that the name of the game is to become more organized and more transparent and therefore gain trust. So I think that's the other phenomenon that Tanishq sees. And therefore, I think this is secular and will continue to accelerate.

Percy Panthaki: Understood. Also just wanted to get some idea on a three-year horizon or a five-year horizon, what is the total number of Tanishq stores that you would be looking at, let's say, for FY28 or something like that?

Ajoy Chawla: To be honest, I don't have a number in mind. We are approaching this from a one-, two-year horizon because opportunities are emerging all the time. And to just give you a broad feel, we are present in 264 or 265 towns approximately. We think in existing towns, as new catchments are emerging as well as newer towns, there is no reason why we -- in the next couple of years, why we can't reach out to 300 towns.

But beyond that, can I have an answer? No. How many stores? No idea. So allow us some time, maybe whenever we have the Investor Day or when we are able to share with you a slightly longer horizon, we will do that. Right now, I don't have a number.

Moderator: The next question is from Aditya Soman from CLSA.

Aditya Soman: Sir, one question on the International Business. Can you give us a sense of -- I mean, you've given a number of 100% retail growth there. But can you just give us a more qualitative information on the average ticket size, especially in the US?

Kuruvilla Markose: Sorry, what is the first part of your question? I missed the first bit. Second bit is what I got.

Aditya Soman: Yes, yes. No, just in terms of qualitative information on ticket size and the customers that you are probably -- typical number of customers that you are looking for at the store level? And any sense on that would be super useful since we don't have context on those stores?

Kuruvilla Markose: Sure. This is Diny here from the IBD team. Ticket sizes across

the board in almost all of our

international locations are significantly higher than in India. We are ballpark in the two lakh (INR) customer kind of a space. And depending on the locations, particularly in the US, they are even higher than they are in GCC.

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Sensitivity: Internal And even generally, the studded ratios are overall higher compared to what we find in India, which is -- which works for us because obviously the cost of operating in these markets are significantly higher, both, let's say, rental as well as people costs are significantly higher. And this allows or gives the business the ability to manage those costs much better. Sorry, yes, go on.

Aditya Soman: No, sorry, go on.

Kuruvilla Markose: So we see that holding out, in fact, as we go into -- over a period of time, we've seen that there is a certain stability that is happening there. And in certain cases, as we have a set of returning customers, we are even seeing some increases on that.

Aditya Soman: Understand. And can you just explain the economics? I mean, all these -- are these -- how many of these would be owned stores or franchise stores? And in terms of economics, are they similar from a margin perspective to what we are seeing in India or likely to be similar to India in nature?

Kuruvilla Markose: Typically, wherever we're going first, we set up our own stores, company-owned, company-operated L1 stores because it helps us understand the lay of the land and what we need to do in those markets and -- but we also, as we go along, bring in partners, either partners from India, existing partners. And many of them are eager.

We have quite a few of our Indian partners reaching out to us saying that either they have a relative or they have some capability in an international city and they would like to set up a store. So for example, in Dubai, the first four L2 partners are from the four regions of the country, from the North, from the East, South and the West. We have one interestingly from each of these regions in Dubai. So I mean, that overall, we still continue to hold that. We follow the same asset-light model that we are doing in India, where we will, over a period of time, look at having more L2 and L3 stores.

But to get a sense of the business and to start operating, it always helps us when we do it as an L1 first. We're now starting to have L3 stores as well. For example, in Singapore, the store that we opened is with an L3 partner.

Aditya Soman: That's very clear. And one last question on the Indian ethnic wear business. There, you mentioned that growth has been a little slower. Any reason and any sort of information on why growth has been slower? And is this like across all the 3 months in the quarter or it was again specific to December?

Ambuj Narayan: Yes, this is Ambuj here. When Venkat referred to the ethnic wear division, the growth thing

though, he was referring more to the like -to-like, but where if you see our overall growth has been 61% in the last quarter. And quarter -on-quarter, we've been growing around that number. The YTD growth is about 70%. So he was referring more towards the like -to-like. And that's an industry -wide phenomenon that we are seeing.

For the last 4 to 5 quarters, apparel industry has really seen very muted growth. A lot of brands, even they have shared that their like -to-likes have been negative. So we are doing well in the Titan Company Limited

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Sensitivity: Internal sense that we are building -- we are going for expansion. We have 62 stores now. And we look at ending this financial year with 75 stores.

Moderator: The next question from Rishi Modi from Marcellus Investment Managers.

Rishi Modi: Sir, my first question is to Saumen. Saumen, you, last year, mentioned that this year is going to be a more consolidation phase for the eye

wear segment. And we've seen not added a lot of stores

this year. So if you could just give us some qualitative understanding of what are you doing behind the scenes to get this to be on a sustainable business?

What are the low -hanging fruits, where you can cut costs? Where are you seeing the growth?

How are you going to go for these initiatives? If you could just give some qualitative feedback on this?

Saumen Bhaumik: Yes. Like you said, this year, we begin with the view that we need to sort of make those 300 - odd stores that we opened in the previous 24 months because we were in a rapid expansion spree.

I also did say 2 years back that we'll reach a number of 1,000 stores in the network. But we realized that as much as it is important to expand footprint, but we also have to make sure that every such investment yields the required return, both for us, wherever we are investing, or for our partners. So that's been the focus mostly was to make sure that the network starts delivering. And so that said, we are not -- we did not mean that we will not expand at all. We actually added about 65 stores but pretty much 40, 50 stores, also you have to sort of deal with because of the wrong location or various other things. So overall, network count has not significantly changed. And probably some time in the early part of the next year, we begin the expansion. But typically again, we'll be looking at a catchment and need to be more concentrated around the top 25 cities rather than going wide and deep. That is as far as the network or the footprint is concerned.

As far as overall business is concerned, I think that we had a relatively higher growth target for the year. I think 22% -23% is what we began the year with. And first 2 quarters, we had 12% and 16%, respectively in terms of growth. And Quarter 3, as I explained that we faced unanticipated headwind, and as I explained, it also seems like an industry -level phenomenon.

And so we did not see growth in this quarter and which reflected definitely on the bottom line.

Because the rest of the things, we are okay. But top line directly cascaded down to the bottom line. So we would believe that it is not a long -term phenomenon. It is probably a 3 -4 months window and it would change. And yes, so therefore, our overall ambitions for the category remains strong and positive.

Rishi Modi: So Saumen, just to clarify, right, if I understand our front end has some issues or some stores are in the wrong locations? Apart from that, there are no issues in our inventory, supply chain, manufacturing, those are all sorted out according to you?

Saumen Bhaumik: Absolutely.

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Rishi Modi: Okay, fine. All right. My next question is to Suparna. Suparna, if you could just give us an understanding of, firstly, how are you seeing the Wearables to grow now that it's crossed INR100 crores top line? How much potential is there? And what's the positioning that we are offering versus the more integrated players and as well on the analog watches growth ?

Suparna Mitra: Yes. So Wearables, we closed last year with more than INR 500 crores turnover at consumer price level. And this year, we have seen phenomenal growth of Fastrack smartwatches. And this has been both on our own on -ground channels as well as in marketplace e -commerce. And we have actually from Quarter 1 to now gained market share. We used to be about 5% -6%. Now we are at 8%, 9%. So we have gained ground. This is on the back of very well -timed good product quality. In fact, our market returns are among the lowest, very well styled products in the INR1,500 to INR3,500 to INR4,000 range.

And we also had a very big campaign with -- in Quarter 2, which kind of gave us a lot of visibility on Fastrack smartwatches. Going ahead, the game will be played both from Fastrack smartwatches, which wi

It'll be in that ballpark close to INR 2,000 -3,000 price range, as well as the Titan smartwatches, which will be roughly in the INR 8,000 to INR 15,000 price range. And there will be more differentiated products with a lot of technology built-in, which will be under the branding Titan. And this will actually get sold more either in mobile stores or in our Titan World stores. This is for a smaller, more niche group of customers that some people who are really looking for more features and a better app experience, etcetera. So overall, we see that base business will almost double in the next -- like continue to grow 80% -- around 70% to 80% every year. And this strategic plan leverages our strength of brands, of channels, of technology. We have our own Titan Smart Labs in Hyderabad with more than 80 engineers who are working on a lot of differentiated products as well as apps. And so that's really the plan for Wearables. For analog watches, the growth has been -- continues to be quite good. And this is across channels. We have our own EBOs last year doing quite well in large-format stores as well as marketplace e-commerce.

Premiumization is the big game there. And we are doing very well in brand Titan as well as international brands, which are in the higher price points. Quarter 3 was an important quarter, where we broke new ground with the launch of two brands, Vyb from Fas track, which is of young women fast fashion kind of watch sub-brand, and Poze from Sonata, which is the more mass brand, which is for both men and women.

And these are offering very good styling and reasonably good quality at very attractive prices. So this has opened up a lot of -- has helped us acquire a lot of new customers at a more affordable reach. So it is, in a way -- again, it's the twin strategy, acquiring new customers, both fashion-oriented at the lower end and continue to get -- to ride the premiumization wave with high margins and highly desired brands like Titan at the top.

Rishi Mod i: Okay, so premiumization is working well for us. So we've got to feel good there. Wearables, are we profitable if we look at it as a stand-alone business?

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Suparna Mitra: Yes.

Rishi Mody: What are the margin profiles Analog v/s Wearables?

Suparna Mitra: So we have not really fussed about profitability. We can make a profit. We are breakeven. But we do want to invest. So these are very considered calls to continuing to invest, there is no hurry for us to break even or to make a huge profit. But the fundamental profile of the business is -- gives us enough room for profitability.

Rishi Mod i: Okay. So the unit economics, please

C K Venkataraman: Could you repeat that? Your voice is cracking.

Rishi Mod i: The unit economics for profit is there for Wearables. You're already upfront on the investment maybe through marketing or investments. That's not giving the profitability -- okay, fine. All right. That's it from my end.

Moderator: Next question is from the line of Dhairya from ABG.

Dhairya: Actually, my question was more related to primary sales made to L3 franchisees. So this was a follow-up question maybe on the UCP. So I just wanted to understand if you can shed some light on how new stores perform in terms of sales made to them, the total primary sales and how are the turnover and inventory for the first year.

Ajoy Chawla: So when we say primary, actually, it's not so much new stores. There will be a few new stores, but a bulk of that is to existing L3 partners to stock up or stock down based on the season. So in this quarter, because it was a festive quarter and the festive season was late, the primary effect that usually happens in Q2 didn't happen and happened in this quarter. And whatever they have upstocked, it's as per their norms. It's not something that they have stocked up and they're going

ng

to return back.

For new stores, new stores are stocked as per the norms based on the absolute turnover we expect to see in year one. And the minimum threshold is put there. So most of the primary versus secondary difference in growth that we are seeing has nothing much to do with new stores as much as to do with existing L3 partners either having stocked now increases because of their business has grown itself.

Dhairya: Okay, understood. Just one clarification. You said that for the new stores, it is basically the sales which you are expecting plus some additional stock they are keeping?

Ajoy Chawla: Threshold. No, see, you need to have certain mix of products in any store, whether it is daily wear, whether it is occasion, light occasion, chain, fingerings earrings, blah blah, all of that. So there is a certain assortment mix which is needed for a store, below which it doesn't make sense to put up a store at all.

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Sensitivity: Internal And thereafter, if the top line is likely to be much higher, we might actually increase it beyond the threshold. That's what I meant. It's not sales plus something additional. It is an absolute assortment, which can be flexed upwards, depending on the projections of that particular store. It depends on the catchment.

Moderator: The next question is from the line of Sheela Rathie from Morgan Stanley.

Sheela Rathie: Just extending to the previous participant's question, as we're opening more L2, L3 stores right now, is it fair to believe that the payback period, including the working capital, would have improved in a positive manner in the recent years and if you could remind us what that would be?

Ajoy Chawla: Payback period for an L2 or L3 franchise, yes, it's pretty good. And typically, within 2 years -- not payback. Let's say, they would start making EBIT positive within 2 years. And within 3 years, they would, I would think, have a payback. L3, maybe slightly different because they don't look at payback from an inventory point of view.

They look at it more from the investment that goes into interiors and property and so on and so forth. But it's pretty attractive. And it continues to remain attractive because overall, the size of the business per store has gone up.

Sheela Rathie: Understood. And Ajoy, again, a second question on the Jewellery business only. Just to get a better perspective on the demand conditions right now, especially you said that January seems to be better than where we were in December. Now when we look at the gold prices, they have not really come down. They are at the same levels broadly versus where they were -- where they ended in December.

So is it fair to say that -- I mean, is it one of these three that either the customer has accepted this high gold price and is coming back to the stores or the customers are very excited about the upcoming wedding season and they're coming back to the store?

Or is it that we are making necessary investments like we did in the previous quarters in terms of getting the customer back to the stores and it is much higher than where we were earlier?

Ajoy Chawla: So to be honest, I also can't give you a firm answer. But I think the first point that you raised is the more likely, where customers start accepting that this is a new price of gold. And in general, I think December, a lot of travel, a lot of share of wallet expenses going here and there is also a hard reality.

So for whatever it's worth, Jan is certainly not at all like December and thankfully so. I wouldn't give too much weight to because it's difficult to gauge. I don't see anything significantly driven by wedding or whatever. That will happen as it keeps happening.

Moderator: Next question is from the line of Tejash Shah from Avendus Spark.

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Tejash Shah: My first question is for Ajoy. Ajoy, you mentioned that you step up investments tactically sometimes to respond to competitive pressure. So what is the nature of this response? Is it more discounts or ad spends or something else?

Ajoy Chawla: So usually, it will be a combination of both. Offers could be there, exchange can be another one, a gold price protection plan if there's a lot of volatility. And we hear also some customers staying away. We try, some of them may work, may not. Marketing, yes, that's also another piece which we do.

But marketing typically would be around this particular offers or promotions that we run, whether exchange or gold price. And marketing is also somewhat strategic. Let's say we see that wedding needs to continuously be on as in always on, so we are continuing to invest. And we - even if the season is up or down, we may say no, let's sustain it. Because suddenly, you might find that a rush of people coming in. But it's a mix of all these three.

Tejash Shah: Second question the results that we have seen from companies that have been reported for the quarter in lifestyle retail so far. We have witnessed a very sharp demand deceleration from many categories. And some companies have called out or attributed this to very high base just created last year because of COVID bump-up. So are we seeing any signs based on our numbers? And how are we reading consumer sentiment for the near to medium term?

C K Venkataraman : Firstly, the income classes where different industries and different companies particularly operate would have a great bearing on the question that you're asking. So we're seeing a lot of slowdown or sluggishness in staples, in motorcycles, whereas cars, particularly the SUVs and above, were doing exceedingly well. Titan Company's broad customer base is in the top part of the income pyramid. And that has generally played out well for us over the last many years. And the substantial share of jewelry business in our portfolio and jewelry is not an indulgence

product, it is a store of value also and in a category where the market share is low and the acceleration of formalization is also happening. So in a way, the performance of Titan Company over the last many quarters has been better than some of the examples that you're citing. And in a way, it is continuing. If I look at some of the results which has come up in the last couple of weeks, it continues to reinforce that.

And our own performance in Jewellery in Q3, while it was slightly lower than Q2, it was actually overall strong if you look at the portfolio of Jewellery. Our performance -- sales growth performance in Watches was also very strong. It's in EyeCare. It's in same-store growth of Taneira. It's in the perfumes business. International has been very strong. It's in EyeCare and the other two that we've had some challenges. And these need to be seen -- finally, a quarter is just 3 months.

So from a lifestyle of a brand, and I'm not here talking about a long life-time -- from a 2-3-year time frame, a quarter is still only a quarter. And our overall confidence is very high. And it's a combination of three factors. One is the prediction on the growth in these top income class segments over the next few years, when we move from INR 2,200 to INR 5,000 per capita GDP, Titan Company Limited

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Sensitivity: Internal it's actually a very high growth rate of these top two income segments, in fact, even the third income segment. And therefore, you're going to get a tailwind from that.

The second is in most of the categories in which we operate, our market share is still single digits. And combined with the acceleration in formalizing, that's another tailwind that we are seeing. And the third is that our natural behavior and strength in terms of going deep into Bharat with all our brands is accelerating, some of the to

own names I mentioned.

So considering all these three things, our overall outlook for medium term, which is FY '25, FY '26, continues to be very strong. We need to become better in managing our operations and extract more value from the scale that we are actually generating. That is going to be the focus certainly for the company and all divisions for FY '25.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities.

Manoj Menon: A few couple of ones. One, on the gold price premium, the commodity premium, where is it currently? And do you still think there is significant corrections you need to make over the next 12, 24 months in the context of accelerated formalization and existing brands also expanding, etcetera? The reason I'm asking because even in a very competitive market like in Chennai, as I understand, I think we've seen there is a 1% premium which you still managed to hold on to.

Ajoy Chawla: Yes, so we still do that. We have a premium across markets and it varies in different markets. We think we can continue to hold on to that premium because that small percentages, whatever they are, Chennai notwithstanding, I think the customer is willing to give that premium for Tanishq and the reliability as well as our exchange program and so many other transparent, trustworthy practices that we follow.

So we think we can continue to hold. Of course, if the rest of the market goes down further, then we will have to respond. But I'm not seeing so much of that happening unless and until there is some increased amount of smuggling and other such things that come into the market, which I can't really say. So as of now, we think we can continue to hold on to the small premiums that we are continuing right now.

Manoj Menon: Okay, very clear. Is this hypothesis, will it hold good even in a scenario of, let's say, full-fledged actual implementation of hallmarking on the ground, including inspection efforts?

Ajoy Chawla: Yes, I don't think that hallmark -- actually, hallmarking has not driven this. I don't believe hallmarking is the one which has created this. It is just price warrior approach by different players. Hallmarking is not the driver.

Manoj Menon: Secondly, when we look at the medium term now with 100% ownership for CaratLane, how do you look at both the brands, CaratLane and Mia? Do you really think you need both of them targeting different consumer, let's say, requirements? Or sometime in the medium term, is it -- you haven't thought about it saying that, "Look, it is better to focus on actually one"?

Ajoy Chawla: Actually, I have maintained this earlier also. These are two horses in a multiple horse play. There are many, many players in this. And this segment is growing. And both these brands are not only

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Sensitivity: Internal growing but are also very profitable. So actually, it helps us. In fact, even Tanishq plays pretty much in the everyday space significantly in diamonds. So if you ask me, there is Tanishq, there is Mia, there is CaratLane. And as more players come in, given catchment in a given market, if we are the dominant player there in a segment which is evolving it is great.

Thirdly, the typographic profile for each of these customer segments is very different. Even

product language is different between Mia and, let's say, CaratLane. Mia also has a lot more of 14 carats. CaratLane has a different kind of profile. So I think if you -- and if you visit each of each of our formats and look at each of the product mix, you will find that there are some overlaps. But there are also some certain areas which each brand is very, very strong. So I think as long as the brands are profitable and continue to grow, which we are seeing very good growth and good brand profitability, we don't see any reason to consolidate or try to -- and anyway, there are separate te

ams running each of these.

Manoj Menon: Got it, clear. Just quickly between Mia and CaratLane, what would be broadly the, let's say, the proportion of consumers who would have shopped at both or the lower list is what I'm trying to get at? Is it a significantly higher number? Or is it largely driven by both brands are growing by, let's say, outside of -- or let's say getting newer consumers into your group?

Ajoy Chawla: So I would instinctively feel that we are getting new consumers and overlaps are not so much. But I don't have data to kind of -- between Mia and Tanishq, there will be overlap because Mia is a sub-brand of Tanishq and it's also available in the Tanishq store, so a lot of gifting, older customer buying for a younger person, etcetera. But I think CaratLane and Mia probably will not have too much overlap. But I'm just giving you a very top of the mind answer.

Manoj Menon: And one quick one, if I may. When I think about the next 12, 24 months, is it fair to assume that nearly 100% of your incremental expansion in Jewellery will happen through L3? And given the state of balance sheet currently, which is still very strong but with debt, etcetera, is it fair to assume that you will actually dial up the L3 route, let's say, in the last couple of years?

Ajoy Chawla: Not really. We are actually pursuing more L2s. L3s are for certain markets. It's all remote and so on. In fact, L2 makes more profitable sense for the company is what our understanding is.

Capital efficiency could vary. But I don't think -- I mean, Ashok, maybe if you want to add anything.

Ashok Sonthalia: Nothing significant shift we expect at this point of time. I think the same ratio is likely to continue.

Moderator: We take the last question from the line of Kunal Vora from BNP Paribas.

Kunal Vora: Sir, earlier question, you indicated confidence about growth in FY '25 and '26. So is it fair to say that you're confident of delivering the 20% CAGR in Jewellery, which you aspire to deliver?

Ajoy Chawla: Yes. I mean, that was something which we shared in the Investor Day, which we have given kind of -- yes, of course, we -- yes, we continue to see positive signs there. And we will continue.

C K Venkataraman : See, growth rate is -- YTD growth is in that range anyway.

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Ajoy Chawla: Even though last year, we exceeded the CAGR goal that we gave you in the 5-year or 4-year horizon, we had actually exceeded it. And despite that, we are continuing to grow at this CAGR equivalent rate.

Kunal Vora: Yes, but you don't see any headwinds. I mean, we are seeing headwinds in some other categories. Maybe the category has slowed down. But like for Jewellery and for yourself, you think the growth rate should continue?

Ashok Sonthalia: Our FY '27 guidance, which we presented in our Investor Day remains the same. There is -- and we are not at all worried about that. Actually, the first 2 years of that 5-year horizon has turned out very well. We are -- we believe we are comfortably placed to kind of eventually achieve -- while it is a bit stretched, but we will achieve that.

C K Venkataraman : And you need to really deeply consider the sector dynamics, the competitive position of each of our brands, and in this case, the jewellery brands in the sector, the customer profiles that we are targeting versus some other sectors, the very low market share that we have compared to other companies in other sectors, total value aspect of this category as opposed to something which is seen as expenditure, so many things.

And the status aspect of diamond jewellery as India becomes more affluent. There's so many factors which are in our favor, and that's why our confidence as against maybe some other sectors and some other companies.

Kunal Vora: Sure, that's very clear. Second and last one is now that you own almost 10

0% of CaratLane, does

anything change in the way you're managing it? And also, will it remain a subsidiary? Or would we look to merge it with the parent company?

C K Venkataraman: Actually, nothing has changed. Everything remains the same. It's a separate brand. It's a separate organization. It's a separate leadership team, which is governed by a Board, which continues to be the same Board for a while now. And there is no plan to merge it into Titan.

Ajoy Chawla: And just to add, there is enough cross-learning and sharing of whatever help is needed from either side. And that continues as is, in fact, it can only improve.

Moderator: We'll take that as the last question. I would now like to hand the conference back to Mr. C.K. Venkataraman for closing comments.

C K Venkataraman: Thank you very much, everyone. It was a wonderful conversation and see you soon.

Moderator: Thank you very much. On behalf of the Titan Company Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2024

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Dear Sirs,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Audited Financial Results (Standalone and Consolidated) for the fourth quarter and year ended 31st March 2024 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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Sensitivity: Internal

"Titan Company Limited

Q4 FY24 Earnings Conference Call "

May 03 , 202 4

MANAGEMENT : MR. C. K. VENKATARAMAN – MANAGING DIRECTOR

MR. ASHOK SONTALIA – CHIEF FINANCIAL OFFICER

MR. SWADESH BEHERA – CHIEF PEOPLE OFFICER

MR. AJAY CHAWLA – CEO, JEWELLERY DIVISION

MS. SUPARNA MITRA – CEO, WATCHES & WEARABLES
DIVISION

MR. SAUMEN BHAUMIK – CEO, EYECARE DIVISION

MR. KURUVILLA M ARKOSE (DIN) – CEO, INTERNATIONAL BUSINESS
DIVISION

MR. AMBUJ NARAYAN – CEO, INDIAN DRESSWEAR DIVISION

MR. MANISH GUPTA – CEO, FRAGRANCES & FASHION
ACCESSORIES DIVISION

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Moderator: Ladies and gentlemen, good day, and welcome to the Titan Company Limited FY24 and Q4FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C.K. Venkataraman, Managing Director, Titan Company Limited. Thank you, and over to you, sir.

C.K. Venkataraman: Thank you, Raju. Good evening, everyone. Welcome to the call. Always a pleasure to talk to all of you. It was a very satisfying quarter for us. Standalone growth was slightly above 17%, dispersed across the business portfolio a little differently. The CaratLane business also grew very well, a little over 28%. So the consumer businesses of the company at 18% plus growth is a very encouraging sign in these times.

And what gives us a lot more joy is for the full year, businesses like Watches, Taneira, have done exceedingly well in terms of growth. Of course, Jewellery continues to shine, all the brands, including CaratLane for the year. And the foundations that we have laid in the EyeCare business in H2 as well as the work that we have already begun, in implementation or in WIP in the Perfumes businesses for FY25, all give us a lot of confidence about the current year, and we're really looking forward to that as well. And now I hand you over back for all clarifications and questions, please.

Moderator: The first question is from the line of Abneesh Kumar Roy from Nuvama.

Abneesh Roy: My first question is on the Jewellery margins. So this year, there is a drop of around 140 bps in terms of EBIT margins for the full year and 110 bps drop in Q4. In Q3, you had pointed out that the competitive intensity has gone up because the gold price spike is there and local players have that advantage because they have the inventory, they don't do gold on lease. I wanted to understand how are things now? And next year, do you see expansion because there's a drop YoY for the full year, would you expect an expansion next year?

Ajay Chawla: Abneesh, Ajay here. Thanks. So the -- you are aware that last year, anyway, we had some onetime gains on account of inventory gains on diamonds and there was custom duty benefits. So there is that piece. And this year, yes, in the current quarter, there has been, let's say, a gross margin, which is lower than what we would usually deliver in a studded quarter, studded intensive quarter.

And as mentioned in the presentation, there were 2 reasons for it. One was the payouts or the customer offers. And competitive intensity continues to be high because the environment -- consumer -- let's say, sentiment and environment for business continued to be a little soft. And therefore, all players were pretty much pushing for growth. We also wanted to ensure that we continue to deliver the 20% growth that we have kind of now got used to delivering and want to continue to deliver. And consequently, we also responded with appropriate offers and promotions.

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Sensitivity: Internal In the current period also, there is a fair amount of competitive intensity because the environment

-- because of elevated gold prices remain ed soft. It's not that, that has changed. In fact, in April, the gold prices went up even further. It has cooled a little after that, but still higher than what it was in, let's say, quarter 4.

So I think there will be -- this is an ongoing thing. Competitive intensity will continue, and we will continue to invest in growth and respond accordingly in the marketplace to ensure that we

continue to gain market share. There was one more reason. I mea n I must -- here upfront mentioned that one is the consumer offers, but there is also a factor that when gold prices rise very suddenly and significantly because of the weighted average impact on the material cost of studded jewellery , it's a combination of diamond cost as well as gold cost.

When gold rises up significantly and quickly compared to, let's say, diamond content, there is a certain differential impact on the GC and therefore, the gross margin temporarily get s affected. It takes us a few months thereafter to make some fundamental corrections in either the product engineering or the design or do some changes in the way we are sourcing, etcetera.

And then we get the gross margin back up. So in the same vein, it has happened a couple of years ago as well. And this year also, this has happened, especially in quarter 4, and it has extended into April. So we have taken cognizance of that, and we started working on how to reengineer the margins upwards. But it will take a few months for us to make that correction. I suppose have answered your questions and a little bit more.

Abneesh Roy: Yes. So to understand correctly, in the near term, do you see margin pressure s being there because in Q2, your margins are extremely high, 14.1%. But in Q1, it is soft. So would it be fair to say that the expansion, if at all, will happen mostly in second half in terms of EBIT margin?

Ajoy Chawla: I can't predict right now, Abneesh, to be honest. But I know that in this quarter, which is anyway a softer -margin quarter, I'm not anticipating it to go up so quickly because we will take our time to make some response to the elevated gold rate that is th ere. I'm hoping that from quarter 2 onwards, we'll start seeing some improvement because some of these efforts require -- take time. And how much will come in, in quarter 2, then how much will come in quarter 3, quarter 4, it's slightly diffic ult to estimate at this point in time. Maybe a fair estimate, as you said, is probably a little more hopeful in the second half rather than in the first half.

Abneesh Roy: My follow -on question on Jewellery business is you have done well in studded ratio being constant in spite of sharp inflation in gold prices. Because in Q3, there was a 200 bps drop. This time, it is stable at 33%. But my question here is -- and this would have been asked earlier also. In terms of lab -grown diamond, what is the current scenario? Are you worried on that from a 2 to 3 years' perspective that this could be a disruptor in your business over a 3 -year time frame? I understand near te rm, it may not be. But what are the trends you're picking up in your market?

Ajoy Chawla: So it's a complex question to answer what is the impact of lab grown, if any, in a 3 -year perspective. We are taking significant cogniz ance of how lab -grown diamonds have kind of grown rapidly in the U.S. largely, of course, in the center stone engagement ring segment, which is very peculiar to the U.S.

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Sensitivity: Internal We have noted that it has not impacted -- or there has not been much development in Europe or China, even Middle East, some early stages, but not much. In India, there have been a few brands which have emerged, supported largely by the supply side, you know diamond growers , lab-grown diamond growers. And the entire lab -grown diamond, the way it has progressed in the U.S. has resulted in some significant stress on the profitability of jewelers there.

And of course, it is very, very difficult for the supplier side because they have got jammed . Now how is it going to affect us on the consumer front is a difficult one to answer. We are keeping our eyes and ears open. We are, in fact, doing active tracks. We are in touch with consumers. And we are trying to see, if any, where are the early adopte rs e

merging from.

And so far, we have not seen any significant traction, though there is some traction at the margin, but it is very small. In the 3 years period, how it will emerge is very difficult to conclude. Maybe we should come back to you when we have a little bit mo re to share. At this point in time, I can't answer it, honestly.

Abneesh Roy: Okay. Understood. The last question on the Watches business. So essentially, this quarter, the Wearables has grown much lower at 3% versus analog at 9%. You expect this trend to continue in FY25? And in Wearables, is the pricing now at the bottom given your volumes are doubled, but your revenues have grown only 3%. So which means negative pricing very strong. So if you could talk about, is it mix adverse which is impacting or it is rack rate, there is a sharp deflation in terms of pri cing?

Suparna Mitra: Abneesh, this is Suparna here. So on Wearables, some of the major players and in fact, a lot of unbranded players, have actually -- are facing a lot of extra stock, which had been kind of built into their inventory plans. And so there is a lot of pricing p ressure. And they are in a much --

they are operating at much lower prices. They want to clear out the stock.

We, therefore, are in a situation where we are -- of course, we still have a huge price premium over a lot of them. Having said that, that's where the market is. And we are expecting this whole thing to settle in about maybe 3 to 4 months. By the time the Diwali buildup happens, which is in August -September, we hope that this excess stock, which is leading to heavy discounting will settle down. And we are also expecting a lot of new launches, which will come in for us from May onwards. So all of those will be either tech or fashion differentiated products and should command the price that we deserve.

Moderator: The next question is from the line of Manoj Menon from ICICI Securities.

Manoj Menon: Ajoy and team, I think it was fairly clear from your early commentary that if there is a choice to be made between sales or margins, you're going to gun for revenue, at least that was my interpretation. So it's a question about margins, it's not really about the short term. I don't honestly see that as a miss, it's actually as an investment.

So how do we think about the next 12 to 24 months assuming that, let's say, gold stays volatile.

Also assuming the relative competitive intensity remains the same. If you could just help us understand, in your mind, what are the up elevators and the down e levators as per as margins are concerned? That's the first question.

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Sensitivity: Internal Ajoy Chawla: Thanks, Manoj. You are right. We have made clear choices of pushing for growth and aggressive

growth. And if margins do take a hit, we are willing to do that. And we've done that consistently in the last several quarters as needed. We still ended the year with a fairly healthy 12.3% EBIT margin. And we've been saying consistently. I think both Ashok and I and all of us have been saying that 12% to 13% is a reasonable expectation to have for the EBIT margin.

And annually, I would still say we are staying with that point of view. And we despite pushing for growth, despite volatility, some pluses and minuses will keep happening all through. So over the next 12 to 24 months, we would certainly stay consistent wit h that view unless there are some newer events that emerge. What was the second part of your question?

Manoj Menon: No, no, that's the same actually. You responded to this. I was just trying to understand the, let's say, when I think about 12, 24 months, what are the up elevators and the down elevators the way you look at your EBIT margin? I'm sure that obviously, there will be operating leverage benefits also in your up elevator. Just trying to understand, which are those, let's say, top 3 plus and top 3 minus

and net you get to this number.

Ajoy Chawla: Yes. So maybe it's difficult to answer that over a call. And I'm aware that we are meeting by the end of this month on the Investor Day. I'll try to give you a better flavor of that in person because there are many forces at play. Certainly, one of the for ces which you might have picked up from my earlier answer is the jump in gold prices, which does create some disturbance in gross margin delivery. I'll probably share a little bit more flavor of it when we meet at the end of the month.

Manoj Menon: Super Understood. Secondly, how do we think about -- okay, now obviously we don't discuss much about the total addressable market for you specifically because it's assumed that it's a long run for growth. But the question here is when I think about present -- the towns presen ce rather, it's around 280 currently. There are about 700 -odd districts. So the question here is realistically as it stands today, where you could be? Because the question -- also the context there is that the, let's say, t he relative competitive landscape seems to have been redrawn.

And also if I go by media reports, etcetera, I think growth capital is available for a lot of, let's say, regional players is a likely outcome in the next 12, 24 months also. So how do you think about the addressable market for you, given that you operate in the -- actually in the premium to luxury space? That's one. Second, one clarification is that the overall encircle members of 35 million, what proportion would be, let's say, Tanishq consumers?

Ajoy Chawla: So I'll take the first one. So our -- we have expanded -- we have added in the current year several stores, in fact, 46 or 47 new stores in Tanishq. And of course, Mia, we've added 67 and CaratLane also has continued to add quite a few 50 -odd stores. Now w e still see a lot of opportunity for adding more stores in many more towns.

Tanishq in India, if I exclude the international markets, it is in about 268 or some such towns, okay, 268 to 269 towns. I personally believe that there is opportunity to go beyond 300 to wns. I've mentioned this in the past, the opportunity to expand into - one is towns, also newer catchments in many existing towns is pretty high.

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Sensitivity: Internal And our ability to, let's say, exploit that opportunity is a function of execution and getting the

right property and then some places build -to-suit, and it is a fair amount of effort.

Simultaneously, Manoj, we have -- this same bandwidth and capacity to execute is also focused on expanding and transforming the existing retail store stores. So in the year gone by, we have done 50 projects on renovations, relocations and significant expansion of existing Tanishq stores.

And over the last 2 years, it's been a program which also, in a way, has helped add a lot of square footage and transform the retail experience and capacity to handle larger business by stores. So these projects -- so in a way, last year, close to 100 projects in Tanishq have happened between new as well as old renovation besides the action on Mia and CaratLane, etcetera, and Zoya has also continued.

So the opportunity is much larger and the constraint is our ability to execute and execute it well with the right quality, with the right kind of neighborhood and also the staff and everything else.

The second part of your question -- and therefore, we are not really worried if others have the growth capital, yes, most welcome, but Tanishq itself sees a huge opportunity in market expansion. The second part of your question was on Encircle. Typically, we serve about 3 million customers.

C.K. Venkataraman: 10 million is the Encircle in Tanishq. About 10 million is the Encircle Tanishq database, Manoj, out of the 35 million. Also just adding to the -- Ajoy's point, the growth capital is one part. But when we go to Ja

ipur or Jharsuguda, people are waiting for Tanishq, such is not the case for others with growth.

Manoj Menon: Absolutely, sir. In fact, we did an exercise recently of just simply plotting the Tanishq stores in the map versus what used to look like 10 years back. And yes, I think that helps the story. And lastly, if I may, just one small thing, which is linked to that margin question. Historically, we had observed this consumer behavior that whenever gold is, let's say, very expensive / from a perception point of view or inflationary, we have actually seen a tailwind for studded, right?

Because it's easier to upsell better margins, etcetera.

So how do I see the margin performance in the -- is that behavior still holds good? Or is it waiting to happen? Or how do I reconcile with the historical understanding? And that's the last question, sir.

Ajoy Chawla: So Manoj, so I think when gold prices go up dramatically, sentiment gets affected and we actually see even studded buyers kind of wait, but -- so I'm not able to draw the same correlation, maybe we'll connect separately to understand how the pattern you have seen. But we are seeing buyer growth has been good on studded if I look at quarter 4 and also extending into April overall.

Buyer versus ticket size, I think buyer growth in studded versus buyer growth in gold. Actually, studded buyer growth has done marginally better. But the value -wise, I think gold has done better. So I'm not very sure about your hypothesis, but we can connect to understand this better.

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Sensitivity: Internal I don't have a clear answer for that. But my sense is as soon as gold prices go up, there is generally a lull in consumer walk-in and that affects both, studded as well as gold.

Moderator: The next question is from the line of Avi Mehta from Macquarie.

Avi Mehta: Sir, I just wanted to check with you whether the current elevated discounts in Jewellery, should it be or could it be seen as a possible indication of demand weakness? And secondly, is 4Q capturing or is a fair representation of the current discounting pressures in Jewellery segment? Or is there -- is it for some part of the quarter, and hence, if there's possible downside risk?

Ajoy Chawla: No, you are right. I think if consumer sentiment was higher, there would be less discounting in the market by every player. And to be honest, competitive intensity has been growing, and I expect it to only continue to grow. Also several new players will keep coming in. So I'm not seeing if this is going to relent so easily. Of course, this year, first quarter also election quarter and wedding dates are also very few. So I think it will continue in the near term. Let's see how it emerges post elections.

Avi Mehta: But what I was trying to get to is, would you link it more to the current sharp increase in gold price? Or would you link it more to its generally a demand issue, and hence, we don't know.

That's the point I was trying to understand. How would you look at this. The near term, I understand, but that's where I was trying to get to.

Ajoy Chawla: No, I would say greater emphasis on the gold price increase because we didn't see it all the time, not the entire quarter. It is -- it became particular only when gold prices were jumping up significantly -- the volatility was happening. Otherwise, it is not so bad. It's more to do with gold price.

Avi Mehta: Perfect. Perfect. That helps. And second for Suparna, for FY24, I'm not looking at only fourth quarter. But in FY24, we have seen a decline in EBIT margins on a YoY basis. Now while I understand your point about discounting pressures because of inventory, could you help us

understand from a full year basis, where do you see margins? What is the band that you are more comfortable with? Some guidance or some indication of a range would be helpful. That's all from my side

e.

Suparna Mitra: Yes. Thanks for the question. So this year, and this was discussed a little while back, we did prioritize growth, and we have got 19% growth in sales and for doing that, I think we've invested a lot more in advertising, which is more than 40% growth. Some of our sales and marketing, other cost overheads have also gone up.

And also, there is an impact of the AGC, which is the mixture -- which gets altered because of the mix between analog watches and wearables - smart watches, which is the AGC percentage a little lower. And also, overall, the brand mix between our various brands has also led to this result. So there is very good, healthy increase in overall sales, that's 19%, which has also led to, I would say, a decent increase in AGC, but various cost increases have actually led to not translating to an adequate margin increase.

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Sensitivity: Internal I think -- and when we meet later this month, we will -- we can go into more details. But the overall idea is that for this financial year, we continue to push the pedal on Revenue growth, but also put a lot of focus and attention on managing costs much better, so that the overall benefit and the operating leverage actually flows through to the profit line.

Avi Mehta: So it's fair to say margins while you're not giving a number, it is maybe from here on, you expect it to improve as the leverage flows through. Is that a fair understanding?

Suparna Mitra: Yes.

Moderator: The next question is from the line of Latika Chopra from JP Morgan.

Latika Chopra: My first question was on CaratLane. For FY24, I think broadly across quarters, we've seen that the like-to-like growth has been lagging that of Tanishq, could you share some color on what's driving this? Is it entirely linked to some discretionary consumption pullback at those ticket sizes? Or there is something more here? And you opened 50 stores in FY24 for CaratLane. Will you continue with this pace of store addition? Or would there be any kind of a rethink here?

That's the first one.

Ajoy Chawla: Latika, so the year before, I think FY23, we opened close to 90 CaratLane stores and in many catchments. And we also expanded some of the stores, and they were bigger stores also. So there has been a retail expansion as well. And that resulted in -- we saw the analysis across various towns that some towns saw good incremental overall growth but had an impact on the same-store growth of the older stores.

Some towns where they were not saturated saw both positive. And there were 1 or 2 -- a few towns in the top 20, 25 towns where we saw some mixed results kind of thing. So overall conclusion was that how are different catchment areas kind of contributing to incremental sale and how much of it is impacting same-store growth.

That realization with the team led to scaling down the rate of growth. And earlier plan was to grow at the same rate of number of new stores. But there was a more calibrated approach taken and therefore, only 50 stores were added and going forward, in the current year, the focus on prioritizing same-store growth, while continuing to expand in a calibrated way, so that same-store growth doesn't get compromised, both these factors are operating.

C.K. Venkataraman: Also, if I go back to Ajoy's point earlier about the town opportunity for Tanishq, Tanishq is a much broader appeal, mainstream jewellery brand. So we can open stores in Satna and Rewa and Sagar, small towns like those in MP and therefore, the total growth of Tanishq versus the like-to-like growth of Tanishq will be of the profile that you see on the charts.

As CaratLane is a little bit of modern brand, you won't go that fast into the kind of towns I'm mentioning. And -- but the distribution expansion with a little more consolidated approach in the towns where we are already present. And therefore, the int

er-store impact within Bombay,

Delhi or even Nagpur and Bhopal for CaratLane will be greater.

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Sensitivity: Internal So even though the total sale is respectable, the like-to-like will come under pressure. And that's the thing that we are learning and trying to see how to maximize so that even from an asset utilization, opex optimization point of view, where do we get the maximum bang for the buck. But intrinsically, that difference will play out in this manner.

Ajoy Chawla: Yes. Just one more flavor, as we said, because the Tanishq -- I didn't answer the Tanishq equivalent, in studded because the product mix of CaratLane is studded and largely in the sub -

100,000. And then when I look at that comparison of same -store growth of Tanishq, M ia and CaratLane in the sub -100,000 studded space, the dispersion is not as much as you see. So the gold benefit which Tanishq, other stores have is not seen in these brands.

Latika Chopra: Understood. Yes. That's useful. The second bit I wanted to check on was your international foray on jewellery . You have now 16 stores. So is this something that you are very excited about to grow incrementally much more at a much more faster pace? Any color on your different geographies in terms of feedback. And more importantly, we discussed a lot about margins when you're in the call today. But if you look at medium term, do you think that investments in the overseas operations could be a drag on the segment results or these could be accretive? And that was the last question I had.

Kuruvilla Markose: Thanks for asking. I mean from an excitement perspective, I think very, very clear, we are excited, and it really looks like we have large opportunities. The sort of fundamental question that we keep hearing back from customers is why didn't you come in earlier. And therefore, from the 16 stores, we are looking to get to something like around 30 stores across both North America as well as the GCC region. We've opened in Singapore as well. And we will continue to explore new locations where we can add more stores because the response has been really very positive, very supportive and working quite well.

On the margin side, despite the higher costs that we encounter in each of these markets -- in all of these markets, particularly on the employee cost side, the GCs are still very healthy. You get a very positive studded mix and particularly in markets like the U.S. that is helping us get to a very healthy kind of P&L. So we are building this out. Obviously, there is a lot of investment that is going in, in terms of costs and capabilities that are being created for the scale that we are looking at. So that' s the overall story, very, very positive.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Yes. Sir, gold prices are elevated, which should also lead to higher inventory at stores. According to you, can this also lead to lower inventory turns or the Company is sort of trying to reduce the stock or lightweight the inventory at the stores?

Ajoy Chawla: Yes, Devanshu. You're right, gold prices do impact the inventory value. We keep optimizing on the weight and the quantum of inventory. We are also pursuing internally any merchandising effectiveness initiatives, including TO C, version 2.0 and so on and so forth. And we are doing lightweighting as well. It's an institutionalized process which we are pursuing very strongly.

Despite that, there is only that much optimization that can be done. And we believe that any further optimization is going to affect sales. And therefore, we have no option but to absorb that

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Sensitivity: Internal value increase. What we do is ensure capital employed remains reasonably well under control by making suitable choices between gold on lease

(GOL) and spot buying.

So -- and we also do exchange gold that we receive, we sell in the bullion and thereby optimize the kind of sourcing mix between GOL and spot buying. And that's the way we manage the capital employed. So while inventory turns may dilute or remain stable, t he capital turns we try to manage in that manner.

Devanshu Bansal: Got it. Ajoy, do you also sort of see lower interest from franchisees under such elevated gold prices? Just a follow -up to this.

Ajoy Chawla: Not at all. We have -- there's always a pressure on giving new stores to -- many, many people are waiting and wanting to open. So we have to take -- make difficult choices and say no to many people and then ask them to wait a little longer. Not at all.

Devanshu Bansal: Second is my bookkeeping question. I'm referring to Page 63 of the investor PPT. There is a INR63 crores EBIT loss, which is attributed to others and consolidation. Wanted a better understanding on reason for this loss and whether this loss is expected to continue going ahead as well.

Ashok Sonthalia: We will get back to you. It is not coming top of our mind. It is nothing significant, but we will be back to you in this call itself.

Moderator: The next question is from the line of Percy from IIFL.

Percy: Sorry to belabor the point, but my question is also about the competition and the impact on the margins. So while the competitive activity promotions, et cetera, have increased, if we look at the other regional jewelers, they are not seeing any impact on their margins. So what are they doing, which is offsetting this higher promotional impact on their margins? And can we sort of emulate or do something similar to protect our margins?

Ajoy Chawla: So I don't know which players you are referring to because only 1 or 2 players are listed who are regional. Okay. So would you want to share which players or...

Percy: No, whatever is available in the public domain is what I'm talking about.

Ajoy Chawla: Okay. I don't know. See, we don't know how they are managing, but we also are aware that most players in the market don't necessarily follow a 100% hedging policy. Some of them do take

positions on gold. And that might be helping them because in a rising gold rate regime, that could help. That's my best hypothesis I can give.

And also some of them with very low studded ratios, by, let's say, some improvement in the let's say they operate in 10%, 15%, 18% studded mix. So if it goes up by 2, 3 percentage points, then you can manage the overall gross margin delivery. These are my best estimates. I don't know other than that, we'll have to be specific and we can then discuss.

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Sensitivity: Internal Percy: Right. So obviously, the first point is not something that we would ever do. And the second point, since we are already at a good studded ratio, and it has been constant for the last 10 years or so, difficult to sort of build a case for any significant increase in that either. Am I right?

Ajoy Chawla: Yes. In a way, while our attempt is to keep growing studded ratio, we see that there is enough opportunity in gold. And therefore, we are not holding back on gold. And therefore, we see them as 2 independent opportunities. The net outcome of it is the studded ratio. It is the best answer I can give.

Percy: And we still hold our 12% to 13% guidance for next year also, right?

Ajoy Chawla: Yes.

Percy: Okay. Secondly, I just wanted to understand on the store expansion opportunities since we are present in 280-odd cities. And of course, there is gap to open in existing as well as new cities. But if I take a slightly longer-term view, let's say, over the next 5 years or so, what is the total number of stores that you think we can open over a 5-year period?

Ajoy Chawla: I don't have an answer for you because we've not done that exercise. We'll try to see

if anything

updated view we have during Investor Day, but right now, I don't have that answer.

Ashok Sonthalia: Okay. Before further question, the last question of Devanshu Bansal, just looked at that number, there is nothing unusual about it. Whatever corporate level expenses which are not attributable to businesses directly, whatever things we do at corporate level, it's that adjustment. So I don't see there is anything to read in that. It can always go up, down slightly here and there, but these are corporate unallocated expenses. Okay? Thank you. Right now you can bring the other questions.

Moderator: The next question is from Aditya Soman from CLSA.

Aditya Soman: Two questions. Firstly, on Zoya, can you talk a little bit more about the ambitions here, both near term and more medium term? And also some color on what the sales there are or any sort of color on margins would be very useful. And secondly, on the overseas business, any markers on how that business or how the stores that you've opened have been doing, especially the ones that have been opened for more than a year?

Ajoy Chawla: So Zoya has been doing well. Zoya, we have ended the year with an MRP turnover, not NSV, MRP turnover of just under INR 300 crores. 4 years ago, it was around INR 60-65 crores. So it has grown well and continues to grow. Maybe we'll throw a little bit more flavor on going forward on Zoya during the Investor Day when we meet.

Kuruvilla Markose: Diny here, your question on how the stores are doing, that is not related to Zoya, right? You're talking about the international...

Aditya Soman: Yes. Yes. On Tanishq or Mia.

Kuruvilla Markose: So the recent one say in the U.S., Chicago and Dallas that we opened around the festive period, they have been doing really, really well, say, a store like Houston, which was in a way we were

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Sensitivity: Internal experimenting with a slightly central location, not necessarily squarely in the Indian catchment, is taking a little bit more time to build, something like Singapore that we opened in Little India in Serangoon Road has been, again, doing way above expectations.

So most locations, except some of the newer ones that -- or maybe some of the ones that we've tried in slightly, let's say, mall locations, etcetera, of the high street, some of those are taking a little time to build. But apart from that, pretty much, I'd say that 80% of the locations that we have opened are performing better than planned.

Moderator: The next question is from Jay Doshi from Kotak.

Jay Doshi: I've got 2 questions. First one is what is contribution of gold exchange program to overall gold procurement now? How does it compare versus last year? And I believe that 0 deduction is now a default part of gold exchange program, which was not the case earlier. So perhaps if you can give us some color in terms of what was 0 deduction gold exchange earlier as a part of overall gold exchange? And -- I mean, I'm assuming right now, it's 100%.

Ajoy Chawla: Okay. I don't have an exact fix on the contribution of 0 deduction and others because we do have deductions and some policies in place depending on the caratage and also from time to time, we

also run as a complete 0 deduction offer in certain markets. We also have differential approaches in certain markets. So difficult to give you an answer on that upfront.

But overall, I can give you a flavor that gold exchange has done well for the year. It varies quarter -to-quarter, even though gold prices went up in Q4, the contribution of gold exchange didn't really go up, in fact, came down compared to last year. But overall for the year, we have done pretty much similar to what we did last year. Last year, gold exchange, excluding the -- this is the non -Tanishq gold, was 30% contributor to sales. This year, it was -- in FY24, it was 31%. So there was a 1% impro

vement. And Tanishq exchange also does pretty well. So at an overall level, exchange gold accounts were about 40% - 41% of our total sales.

Jay Doshi: Understood. Second question is competitive intensity, do you generally see it rise when gold prices increase sharply because a lot of your competitors as well as their franchisees are sitting on inventory gains. In that case, when gold prices stabilize, do you see some moderation in intensity? Or you think the intensity that you're sort of witnessing at this point of time is here to stay for long?

Ajoy Chawla: So you're right, when gold prices go up, consumer sentiment becomes a little soft, and therefore, everybody tries to gain share by being competitive. But increasingly, I see that it's difficult to predict how gold price is going to go. And every organized player is also expanding rapidly. So local players are wanting to defend the -- there is expansion of local independent players also. I think we are entering a regime where everybody is going to intensely defend their turf. And therefore, in our mind, we assume that competitive intensity is going to continue to be the way it is. If it is anything lesser, it's a bonus.

Moderator: The next question is from Kunal Vora from BNP Paribas.

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Sensitivity: Internal Kunal Vora: First question is on how is the high value studded jewellery doing? And is it fair to say that early

impact of lab -made would be in high value studded considering that lab -made diamonds are available at maybe 90% discount compared to naturals? And do you still think it's a medium - term growth driver for you?

Ajoy Chawla: So actually, high value studded the way we've defined it has done well for us. The price bands that we look at consistently over the last several years, we have continued to gain. And even in the quarter, it was a 14% contribution compared to 13% last year in the same quarter. So actually, we did reasonably well. At the very high end, we saw a certain softness, but we are unsure whether to conclude, (as you have said) that it is to do with lab grown. I don't think it's so much to do with that.

On the solitaires at the higher end for higher carats, we have seen a certain tentativeness. But my belief is that it is linked to the softness in prices of solitaires, which is largely determined by international market prices of solitaire. And there, it's a lot to do with how U.S. is doing, how China is doing or Europe is doing and Japan, etcetera. And De Beers has, in a way, controlled the supply and therefore, kept prices stable.

But the evolved solitaire buyer who is more than 1 carat, let's say, 1.5, 2 -carat plus, that customer is perhaps waiting and watching to see if solitaire prices are likely to remain stable or come down further. So if at all, that is the only area where I see a little hesitation from customers. How much of it is due to lab grown, certainly not in India and certainly to some extent in the U.S. maybe, but not any other market.

So early to conclude what you have concluded, we continue to see high value studded as an opportunity for Tanishq because, not just Tanishq, Zoya as well because we see good response to all the initiatives we've taken. We launched Ethereal Wonders, Rarest of Rare Stones. We are launching new collections, and we are all gung -ho for this growth driver because our market share in this space is very, very low. So we continue to see opportunity, and we have targeted for aggressive growth faster than usual studded or faster than overall growth for the brand in the coming year.

Kunal Vora: That's very clear. Just continuing on this point, is there a plan to experiment with lab made if not in Tanishq in case of CaratLane and you did invest in lab -made company -- Clean Origin, how is that business doing?

Ajoy Chawla: So that business is linked to what is happening in the U.S

, and in U.S. there has been significant

stress in the market, both for natural and for lab grown, largely on account of intense competitive pressures at their end and falling average order values because of the drop in prices of lab grown linked to the supply glut of lab grown.

Is it -- does it merit for us to start thinking about -- see we are observing this very closely. We are keeping a close track on what's happened in U.S., how retailers reacted, how consumers

reacted. And we are also observing what are potentially early adopters in India doing. We haven't yet come to something which is firm that can be shared, but we are taking cognizance of it. We
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Sensitivity: Internal are mindful of it. And when we have something to share, we will come back to you. But we take your input onboard.

Kunal Vora: Understood. And just last question. How do you see the high gold prices impacting jewellery sales in FY25? Do you think factors such as exchange and higher prices can offset some grammage impact due to higher competition and demand weakness? And does the 20% growth which you've been delivering that can continue in FY25 as well?

Ajoy Chawla: Our hope is always in driving aggressive growth and our plans are in that direction. There may be ups and downs on grammage. Volatility in gold has been there for the last 1 - 1.5 years now, I would say. But we will always respond in the market the way we think is appropriate. So we are continuing to target aggressive growth. Inshallah, we should reach there. Let's see how it goes. We look at buyers and overall value not so much as grammage.

Kunal Vora: Understood. And aggressive will be 20% or 20% plus?

Ajoy Chawla: Sorry?

Kunal Vora: Aggressive growth will be 20% or 20% plus?

Ajoy Chawla: I don't think we should comment on that.

Ashok Sonthalia: So Kunal, to your previous question, I just wanted to add a little that how in the U.S. market, the Clean Origin piece which you spoke about. And Ajoy responded that actually in U.S., retailers are facing peculiar situation, and this was also a very, very small player. And so they are under pressure quite a bit.

And our latest review suggests that peer pressure is likely to continue. So if you see our results, you will find that about -- we have taken 30% impairment to our investment in that entity, while the investment is a small investment, but it's still a 30% impairment we have taken in this quarter.

Moderator: The next question is from the line of Siddhant Dand from Goodwill.

Siddhant Dand: I had a question on our debt level. What level would we be comfortable with? And by when can we reduce it to those comfortable levels or to zero?

Ashok Sonthalia: It is not uncomfortable at where we are. We have a long-term debt of about INR 3,000 crores, which is squarely linked to our acquisition of CaratLane balance stake. And if you would have noticed that the term for that NCD, which we took is 18 months and 24 months. There are two tranches, and we will pay off that in 18 months and 24 months.

As far as working capital loan and almost equivalent or slightly more amount is held as cash also, it's in balance sheet, you see, INR 2,600 crores is odd working capital and INR 3,000 crores is the cash sitting. So this is part of our bullion management, treasury management. So I think we are comfortable with this kind of balance, and it can even slightly grow more.

We keep optimizing between GOL and the spot purchase and bullion sales. So it's pretty dynamic. So if you look at the equity, which is in excess of INR 13,000 -14,000 crores, I think

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Sensitivity: Internal this level of loan is we are very comfortable with. But we are not going -- and as I told you, long term will be paid back in 18 and 24 months.

Siddhant Dand: Okay. That's perfect. My second question

on would be around are rental expenses affecting our non-Tanishq non-jewellery businesses in any way or not really?

C.K. Venkataraman: Siddhant, not to speak of rent in particular, but certainly, the scale of some of our stores in EyeCare would be affected by the -- I mean, the scale comes under way of the profitability. And the rent is one aspect of that scale. But it's not a general commentary on the level of rents as much as the scale that we need to reach.

And like I said, when I started, some of the things that we have done in the last 3 - 4 months in the EyeCare business, particularly give us a lot of confidence about how FY25 is likely to turn out for the medium and the smaller stores. But overall, rent by itself is not something that we worry about.

Siddhant Dand: Okay. And is the gold import duty can -- is there a way to quantify whether the gold import duty is hurting the organized sector as a whole? Or it's very tough?

C.K. Venkataraman: Very tough.

Siddhant Dand: Very tough, okay. And could you share the international revenue of the international jewellery stores?

Ashok Sonthalia: Overall, international business this year has done about \$120 million.

Siddhant Dand: \$120 million overall international, right? And Jewellery would be a very, very large chunk of this.

C.K. Venkataraman: 90% plus.

Siddhant Dand: 90% plus. Perfect.

Moderator: Next question is from Gopal Nawandhar from SBI Life.

Gopal Nawandhar: What could be the reason for this decline in...

Ashok Sonthalia: Can you speak a bit louder, Gopal?

Gopal Nawandhar: Am I audible?

Ashok Sonthalia: Yes.

Gopal Nawandhar: Yes. Sir, I'm just referring to Slide 71, where we see that there is a reduction in the net worth for the company from INR 11,900 crores to INR 9,400, some INR 2,500 crores odd decline in the net worth. So can you just explain reason for this?

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Sensitivity: Internal Ashok Sonthalia: This is -- I think this is consolidated basis, yes. So this is the investment in CaratLane, which

has got canceled to my mind, and that is why this is. But if you look at the standalone, go back to standalone, where we hold the Titan balance sheet. So there, we will not see that issue.

This is our investment in CaratLane, which gets canceled out. Yes. So here, if you look at the standalone balance sheet, our net worth is INR 11,994 crores, which has gone up to INR 14,457 crores. And if you take out that close to INR 5,000 crores from there, which is our investment in CaratLane and some other investments, it falls down to some INR 9,000 crores.

Gopal Nawandhar: So CaratLane was any way our subsidiary, right?

Ashok Sonthalia: So it was only 73% and which was purchased at a price which was far lower. INR 505 crores. And now we have taken the balance stake at INR 4,600 crores. So that makes it INR 5,000 crores.

Gopal Nawandhar: Is it that we have actually written off this in net worth? Is that the reason why there is a decline in the net worth? I don't understand.

Ashok Sonthalia: I will send you the math of that. But don't worry. There is -- if there is anything, we will kind of get back to you.

Moderator: The next question is from Robert Marshall Lee from Cusana Capital.

Robert Marshall -Lee: I've got a slightly longer -term question. So in terms of the growing upper end market, your ability to address that by Zoya and Tanishq and how you're thinking about that market over the next 5 or 10 years?

C.K. Venkataraman: Sorry, which market?

Robert Marshall -Lee: The high -end market, so the luxury or the super luxury market, however you'd like to define it. It certainly seems it's going to be faster growing potential over the coming years. So to what extent you're targeting that market, which might be the focus of luxury brands from Europe, etcetera? And how you go about that, either with your existing brands or with

new brands?

Ajoy Chawla: So we see that's an opportunity because our presence in that market is very, very small. In India, at the very high end, it is independent jewelers who sell very high ticket value, diamond studded and precious stones studded jewellery. Our presence in that space has been through Zoya and in the recent past, we have done some more work on high jewellery and rare jewellery with rare gemstones, etcetera, under the product line called Ethereal Wonders. And we are seeing very good response to that.

Of course, as a contribution or the proportion of our total business it is very, very small. But whatever we've done, we've seen very good response, and we will continue to expand there. In fact, we have good aggressive plans to grow in that space. So yes, we see it as a good opportunity. But I must say that the Bulgari's and Cartier's and Tiffany's are at a higher level or Van Cleef or Graff and all these other brands.

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Sensitivity: Internal They are showing a lot of interest in India and several of them have opened stores. And we are also expanding Zoya in a big way as well as creating special zones in many of our bigger Tanishq stores in some of the big cities. And we are also doing specific exhibitions and pop -up in different cities and seeing very good response. So yes, we have a good plan for that.

Moderator: We'll have to take that as the last question. I would now like to hand the conference back to Mr. Venkataraman for closing comments.

C.K. Venkataraman: Thank you very much, everyone. As always pleasure listening to you, and looking at the perspectives that you bring into the business and making us reflect on some of those things.

Thank you, and see you soon.

Moderator: Thank you very much. On behalf of Titan Company Limited, that concludes the conference.

Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Aug 2024

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SEC 86 / 202 4-25 6th August 2024

The General Manager, DCS – CRD

BSE Limited

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Dear Sirs,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the unaudited Financial Results (Standalone and Consolidated) for the first quarter ended 30th June 2024 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

MANAGEMENT : MR. C. K. VENKATARAMAN – MANAGING DIRECTOR

MR. ASHOK SONTALIA – CHIEF FINANCIAL OFFICER

MR. SWADESH BEHERA – CHIEF PEOPLE OFFICER

MR. AJOY CHAWLA – CEO, JEWELLERY DIVISION

MS. SUPARNA MITRA – CEO, WATCHES & WEARABLES
DIVISION

MR. SAUMEN BHAUMIK – CEO, EYECARE DIVISION

MR. KURUVILLA M ARKOSE (DIN) – CEO, INTERNATIONAL BUSINESS
DIVISION

MR. AMBUJ NARAYAN – CEO, INDIAN DRESSWEAR DIVISION

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Sensitivity: Internal MR. MANISH GUPTA – CEO, FRAGRANCES & FASHION
ACCESSORIES DIVISION

Moderator: Ladies and gentlemen, good day, and welcome to the Titan Company Limited Q1 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. C.K. Venkataraman, Managing Director, Titan Company Limited. Thank you, and over to you, sir.

C. K. Venkataraman: Thank you very much. Hello, everyone, on the call. So Quarter 1 of FY'25 was characterized by multiple external factors, the rising gold price on the one hand, a relatively lower number of wedding dates in the country across India, superheated summer, especially starting late April, all the way into June and multiple excitements caused by the elections leading up to the results on the 4th of June and thereafter.

And on account of all this, there was an overall consumption challenge that you must have read across the board and our different businesses performed differently in this context. And we shared this through the filing to the stock exchange in the first week of July as all of you were aware.

And overall, we are satisfied from the position of where each of our businesses stands in the category and the growth that we have achieved in sales and overall position in the market in this context of external and industry factors. And of course, you would be aware of the end of the Board meeting and the results published as well.

And now I would request you to come in with your questions to all of us. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on your touchtone phone . If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking the questions. Our first question comes from Manoj Menon from ICICI Securities.

Manoj Menon: Just on the jewellery bit, there are two questions or clarifications. One, what would be the SSG for the quarter? And what would be the new store growth?

Ajoy Chawla : Same -store growth is around 3% for this quarter and overall growth is around 9%.

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Sensitivity: Internal Manoj Menon: Thanks Ajoy. Yes. So I thought it's LFL, right , so not SSG. Is there a difference in definition

here of LFL and SSG?

Ajoy Chawla : Like-to-like and same -store

C. K. Venkataraman: Just our term versus somebody else's

Manoj Menon: The reason I asked is because Domino's, for example, defined LFL and SSG as two distinct

things actually . So it's just the same thing, right? Same store, which has been around for more than a year.

Ajoy Chawla : Yeah

Manoj Menon: Okay, sure. Just as a quick follow -up on this, do you see a possibility to, let's say, accelerate the store expansion over the next 12, 24 months, given the, let's say, what you highlighted in the analyst meet also on the competitive context changing . Is there a possibility to accelerate expansion if I can use the word land grab? Is that a possibility?

Ajoy Chawla : This is for jewellery you're asking, Manoj?

Manoj Menon: Only jewellery .

Ajoy Chawla : So our aim is to target around 40 to 50 stores in Tanishq and about 70 to 80 stores in Mia and a substantial similar number in CaratLane. So those plans are on . Further beyond that, we are not sure whether it makes sense to push aggressively because it's also a function of our current base. We are already at a fairly large

base. Our presence is also very strong across most towns, 270 - towns, etcetera. So we will stick to what we think is the right opportunity and ensure quality of stores that we open are good.

C. K. Venkataraman : Also, what Ajoy has expressed over many of the earlier calls is the prominence of the network and not just the size of the network. For example, this weekend, we are -- next weekend, we are inaugurating a new version of our sector 17 store in Chandigarh -- which is a much bigger sector 17 store compared to earlier. So it's not increasing the count, I think is substantially increasing our presence and competitive advantage .

Ajoy Chawla : So those will continue around 20, 30 stores will get transformed into significantly larger stores in addition to these stores. Each of those expansions is like adding a store.

Manoj Menon: Loud and clear, I must say that we visited recently the Chennai T Nagar store, I could see the transformation. I could get a sense of where you are coming from. Second and last question, I'll come back in the queue. So recently, we noted the custom duty reduction, which has been fairly material. There is a consensus expectation that look, GST can increase.

Now I just want to only understand from this historical experience, let's say, if I'm trying to think about hypothesis of GST of 3% looks like a 5% or 7% print, how does the consumer behave in Titan Company Limited

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Sensitivity: Internal that context? Because, let's say, in a ₹5 lakh bill, let's say, I see GST as a separate number, which is ₹15,000 number supported suddenly, that increases to ₹25,000 - ₹35,000.

The worry or the concern here is in that sort of a scenario, can it -- trigger a reversal of formalization because it's a separate expense the customer gets to see because I'm not sure the normal consumer really understands the unbundled way of calculating gold price.

So, it's just one number we see right ? And then this is an expense. So historical implementation , let's say of state VAT or GST, et cetera, how has that transition been ?

C. K. Venkataraman : Not an easy one to answer, Manoj, but I would say that, sure, the store of value challenge comes in, then I have to pay something which I don't get back. But I don't think the formalization is at all going to be lost.

Too many things that have happened in the country for people to buy respectable things and live with life with holding their heads high and spend the money in a straight way and all that kind of things. So I don't think in the margin, it may happen, but that's not something that we are thinking at all. The government may be wanting to do that for mopping up part of what they give away, but from a customer side, I don't think -- they will go back to a jeweller who will give a parchhi ("receipt") and not charge GST .

Moderator: The next question is from the line of Avi from Macquarie.

Avi: Sir, I just wanted to kind of understand the jewellery growth a little bit more. You pointed towards multiple headwinds. I understand one of which you said was the volatility in gold prices. Now I just wanted to appreciate what is it that gives us confidence that competition is not a concern, and it is more of this volatility. If you could give us some understanding on that, please? And whether these headwinds have moderated subsequently .

Ajoy Chawla : So I don't think we would like to take away from competitive intensity. Surely competitive intensity is of course , we have recognized and about in every earnings call as well as the Investor Day. We are certainly not undermining that. We think competitive intensity has only gone up and will continue to increase. In addition to the fact that we saw a huge gold price rise, 20% year-on-year, for the quarter is pretty large.

And that has, from our own understanding of being touch with customers kept many customers on the fence which coinci

dentially, we also saw post budget, there is a certain people who are on the fence wanting to come back in a bigger way. So that is the hard truth of what we experience besides other things like lesser wedding days and election -related disturbances especially post

Akshay a Tritiya . So, all these forces put together I would certainly not undermine competitive intensity, if that is the impression you've got, then perhaps we've not.

Avi: Sir, I may not have come across correctly. And what I meant is that that has not been the key reasons for weakness versus last quarter. It is more an industry phenomenon, how I read it. And Titan Company Limited

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Sensitivity: Internal there is no material change in that competitor intensity how I read the comments, but I wanted to kind of just appreciate if that understanding is correct.

Ajoy Chawla : So see, different parts of the country have behaved differently. In some regions, we have gained in some regions, we have been flat. And in some markets, we might have lost to either a local player or a rapid expansion suddenly by some national players. So, there are pluses and minuses.

At an overall level, our belief is we have held on to our overall market share. Because it's not just one player versus another, there are 40, 50 players we are tracking. So , it's not a straight away win-loss game that you can conclude upon. Therefore, we didn't choose to highlight it because we don't believe we have significantly lost market share. Or for that matter, we have not even gained. So it's been an even Steven.

C. K. Venkataraman : From an explanation or a determinant of growth point of view, a matter of factors have a much greater determination growth than this.

Avi: Okay. Got it. Sir, the second bit I wanted to understand your comment on the custom duty . a) Is there any quantum that you could share on what is likely? And b) does this, in anyway, moderate the discounting pressures in jewellery or studied margins, either in terms of the overall quantum or in terms of period of impact, how do you -- would that be a possibility?

Ajoy Chawla : Yes, we hope so also because finally, the gold prices have cooled down to the extent of reduction in custom duty so far, notwithstanding what changes may come either due to GST or anything else.

And other factors , geopolitical uncertainty suddenly pushed up the gold rate in dollar terms higher in the last 1, 2 days again. But those are factors beyond our control. But if gold rates remain moderated , down, like we have seen, then it does give some relief on the gross margin, especially for studded .

And certainly, with a reduction in customs duty by 9%, it significantly reduces the attractiveness of illegal imports into the country, though it won't make it 0. But certainly, it's a step in the right direction, and we really think it is the most appropriate thing that's happened, especially for gold imports into the country.

C. K. Venkataraman : And the ability -- simultaneously, the ability of those players to undercut the formal jewellers and all that dramatically reduces and therefore, your point about the discounting, but it's too soon , just a week. So we'll have to see how that plays out. But if the general principle of that decision is right, and it is right, by and large, then hopefully, that should all start.

Avi: Got it. And the quantum, and I thought would you be able to share the likely near-term hit?

Ashok Sonthalia: So Ashok here. I think while all of us agree that long -term benefit of this move and maximum loss, which we think over next 6 months would flow through our P&L could be in the range of **■500 crores to ■550 crores.**

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Sensitivity: Internal But many things can work in different directions, which we yet don't know. And that is why very accurately estimating this is very difficult

cult . This is the maximum number which I shared with you. It can be slightly lower depending on the gold prices, what kind of discounts are happening in the market, et cetera, et cetera.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: During the analyst meet, we indicated some margin pressure related to our ability to charge the making charge in the wake of sudden spike in gold price. But when we see our Q1 margins, it has actually improved 20 basis points, and this is despite the lower studded growth. So , I wanted to check on the drivers of this margin improvement for Q1?

Ajoy Chawla : So, a large part of it has been on account of overhead s management in line with the subdued growth compared to what, let's say, we would have wanted to see. I don't think there is any significant change in the gross margin or the premiums, et cetera, in this quarter. The pressures on margin, I believe, could continue depending on how gold rates behave, notwithstanding the customs duty.

Devanshu Bansal: Got it. And these cost optimization levers are expected to continue in the coming quarters as well, right?

Ajoy Chawla : Yes, it's an ongoing thing to Devanshu because we are constantly alive to the fact that our costs and growth should kind of be in sync. And this is not just for the jewellery business. I think it's

-- all the businesses probably Ashok can share if there is something more, but -- it should be in line. I don't know how it will...

C. K. Venkataraman : So the dynamic aspect that Ajoy is referring to. And there is a need, you compress when there is an opportunity, you let it go, it will be like but very agile to deliver to some estimate like that.

Ajoy Chawla : So one other element I want to just share that because of competitive intensity and newer players, et cetera, coming in, we may have to also think of stepping up marketing investments tactically in markets, et cetera, which may have a bearing.

So inventory and also inventory. So it's a dynamic thing. We have -- we kind of take it quarter - to-quarter.

Devanshu Bansal: Got it. That's very helpful. Second question is more on a slightly longer time frame. So globally, leading jewellery players are catering to more consumption occasions as well.

There are -- their presence is also into services and customization, et cetera. In light of rising competition, what is your thought process on these aspects?

Ajoy Chawla : So services, I don't think we have really thought too much about it. We do some amount of service through our carrier network or the craftsmen in the stores. which is refurbishing or

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Sensitivity: Internal jewellery , et cetera, but it's not really seen as a revenue stream. We see it as a customer value add.

Having said that, on bespoke and customization, we have a fairly substantial business in the made -to-order space, which is completely customized designs. And we are expanding that on an ongoing basis and working hard at ensuring that, that piece of the pie keeps growing because it's something which customers really want. It doesn't change the margin profile or anything of that sort. So it's just another growth driver. But it's something that we have driven for some years.

Devanshu Bansal: Got it. In terms of consumption occasions, Ajoy, do you see some white spaces here, which we can cater as a leader?

Ajoy Chawla: Not any new ones, maybe I think both CaratLane and Mia do cater to payday and resell reward, et cetera. But I think pretty much birthdays, anniversaries, weddings, milestones continue to be special occasions around jewellery gets bought for self for gifting.

Devanshu Bansal: I was more asking from athleisure, casual from these occasions perspective?

Ajoy Chawla: No, no, nothing that I can comment on that athleisure. Casual and modern wearable jewellery yes, w

e do a lot of that. But athleisure , no.

Moderator: The next question is from the line of Aditya Soman from CLSA.

Aditya Soman: Sir, two questions. Firstly, can you give us a sense of the contribution in the jewellery business from the overseas stores? And secondly, are we seeing any sort of underlying change in the demand environment post this custom duty got any sort of sense in the 15 days that you've had.

Ajoy Chawla : So I think the first answer to the first question is around 3%. International is still very small but growing rapidly. On the post budget announcement and 9% reduction , certainly, there has been a lot of people who are on the fence who have come in and started buying, and we are seeing a continued upswing -- significant upswing in gold and studded growth, more in gold, but also in studded.

And overall, I think the market has seen it is not just us, all players -- so I think there was a lot of fence sitting even due to election s, deferred purchases in Quarter 1. Some of it has now begun to come through is my own understanding as pent -up demand. Yes. So we are seeing good response as we speak.

Aditya Soman: Understand. Very clear. And just to follow up on that, I mean, this also coincided with your activation, right, or coincides partly -- so how has that played out?

Ajoy Chawla : Yes, it is true. In fact, we advanced the activation by a few days, but it has played out pretty well. So it works -- both the forces are at play. But even last year, we had this and we do compare our growth to similar periods of activation. And even that, the numbers are looking good as we speak. And certainly, they have jumped up post the announcement of the budget.

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Sensitivity: Internal Moderator: The next question is from the line of Percy from IIFL.

Percy: So my question is on the custom duty cut. So while the custom duty has been cut materially still the gold price today is only 5% below the all -time high. And 5%, that kind of volatility can happen on a day -to-day basis. I mean, it's not a material sort of drop. So how much do you think can this small cut really spur the demand by?

Ajoy Chawla : So Percy, difficult to answer that question. But just to give you a sense, even 2 -3 days before, the budget MCX rates were already 2% to 3% below. Okay. And then post that, there was some fluctuation and when I added up both over a period, it looked like 8% -9% reduction. But in the

last couple of days, again, due to geopolitical or other international factors, the dollar gold rate has gone up.

So it's a dynamic environment is the best I can say. But so far, what has happened is this has resulted in a customer sentiment to come in and buy jewellery. And we are continuing to see that. Let's see how the next few days also progress. Let's say, this weekend will tell us how things stabilize in the mind of the customer also.

C. K. Venkataraman : Also, the other side of it, which we spoke a little earlier is the level playing field aspect of the formal organized sector players who play with the rules versus those who may be using the illegal gold coming into the country. That change is in favour of the organized players. Demand -- total demand is one part, yes. But the relative demand and market share potential in the near term is to the advantage of the organization.

Percy: Got it. Secondly, just wanted to understand the competitive dynamic here. So, this was a weak quarter and even so more because wedding season was very weak. And the other large -listed player has a higher share of wedding jewellery than us. And yet their SSG is 12%, we are at 3%.

So how do we look at this? And is there any sort of -- I mean, in terms of market share within the organized players, is there some decline that you see? Or whatever is this differential is made up by some of the other organized players doing worse?

Ajo

y Chawla : Okay. I'll try to keep it as succinct as possible. See, the contributions of different regions is very different for us versus, let's say, the other organized player you are referring to and some of the other large chains materially, it's very materially different. So just to give you a sense, while we have declared a 9% growth in total business and a 3% on same store, actually, that figure doubles. I mean, not double, 16% is the growth figure, if I look at only South markets.

And in a way, somehow that aligns with or is slightly better than whatever we have picked up of the reported figures of other organized players. And we do track many of them, not just the listed ones, but even the unlisted. So South has performed rather differently in this quarter compared to other regions.

Percy: Any reason for this differential performance?

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Sensitivity: Internal Ajoy Chawla : Actually very difficult to say. It's just that I think the election -related disturbances as well as the

heat wave and the wedding days. So in the South, wedding dates were not as badly impacted in the North and Lagan markets and all which is the Bihar, UP, et cetera, there, there were no dates in the quarter, but in South had some dates and also had some more dates in July. So I think South had some different forces at play, and that has benefited, I think, all players, not just us. So there's a difference in the relative regional contribution. And our own sense is that there has been substantial expansion activity by some of the organized listed and unlisted players in North and East. And that base itself is very low for them.

And therefore, that shows up in differential growths as well. And if I were to pick up my own reading, I think this East, the bigger share gain or loss would have come from regional players. And there, I think we've, in fact, gained. West, I think it is more or less stable. It's not too much of a difference is our reading and North, there has been a lot more competitive activity by organized players, but their base is small, so they have certainly grown faster than us. Unable to say right now whether we've lost to them or we have gained something from local players, that bit is very difficult to make out.

Percy: Got it. And last quick question on margins versus your guidance in the analyst meet a couple of months earlier. Is there any sort of tilt towards upside or downside in terms of confidence around those numbers? I know it's too early to change the guidance. But just in terms of the confidence, is there an upside or a downside risk to that number?

Ashok Sonthalia : If you compare Quarter 1 of last year and Quarter 1 of this year, actually, we are slightly better off through cost control, et cetera. Custom duty impact, we already articulated, which is going to be certainly affecting margin going forward for us.

Percy: Yes, that I'm treating as a one-off anyway.

Ashok Sonthalia : So if we normalize to that, then we don't have any reason at this point of time to think about changing our guidance.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: More curious to understand, our focus recently, I'm saying that there are a lot of impetus store opening on Zoya and Mia, not per se Zoya. So maybe if I look back, I think if you want to help us to understand what is the value contribution non-Tanishq will have broadly, I mean, not specific?

Ajoy Chawla : It's less than 5%.

Shirish Pardeshi: Okay. And the reason why we are pushing a lot of Mia is that you think there is an ample opportunity beyond CaratLane.

Ajoy Chawla : I think there's opportunity for both CaratLane and Mia, and there are 6 - 7 other players in the market. So , if you think of it, the market size of younger, modern audience is pretty large in Titan Company Limited

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Sensitivity: Internal India, you're talking about 40 million, 50 million addressable people and I don't think put together, we are able to address even less than 10% or 15% of that market.

So as more and more players are also there, it is actually quite good to have multiple horses in play pretty much if you think of an F1 race, there were more than 1 car for a Ferrari or a McLaren, et cetera. So it's actually good that we are able to dominate that part of the market.

As I shared in the Investor Day, between Tanishq, Mia and CaratLane we are a significant player , in the portfolio play in terms of buyer growth, acquiring new buyers is very good. And hence, the opportunity is large, very large, for both brands CaratLane and Mia, we don't see the reason to hold one back for the benefit of the other. I mean both can grow.

Shirish Pardeshi: So what would be the new buyer contribution this quarter?

Ashok Chawla : Overall, excluding CaratLane, I have the data on Tanishq, Mia, Zoya readily, it's around 45% is the new buyer contribution, which is just a percentage point lower than last year same quarter despite whatever challenges that we talked about that Quarter 1 saw.

Shirish Pardeshi: Okay. No, why I'm asking this because if last 2 quarters, if I see, our exchange used to be 1/3rd to I don't know what this quarter is, but if the exchange is strategically coming down, will it have a direct impact on our revenue growth momentum?

Ajoy Chawla: Exchange? Not really. Exchange is not -- it is pretty much in the same ballpark, just a couple of percentage points here and there.

Shirish Pardeshi: It would be 35...

Ajoy Chawla: In exchange.

Shirish Pardeshi: It would be around 35%.

Ajoy Chawla: Yes, it is around. It is 35% if I look at the Tanishq's number.

Shirish Pardeshi: No, I was just more asking curiously, Ajoy. If the exchange is the one of the component of buying the high -value jewellery and if the gold prices are higher, that will also influence the customer 's decision. So that's what I was more curious that if the customer has had a different taste.

Ajoy Chawla: Okay. No, no. So let me clarify. If your question on exchange is different, I was mixing it up with the previous one. Exchange is lower by a couple of percentage points as a contribution in the current quarter but not significantly more. And it is in correlation with wedding, there's a lot of correlation between wedding purchases and exchange.

Wedding contribution was 21% last year, it's 20% this year, exchange was 37% last year, 35% this year. So there is a correlation there. And typically, this year, we have seen, compared to last year, lesser people. In fact, people are thinking gold prices may go up further or also gold

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Sensitivity: Internal movement during election period is restricted. So those factors also come into play. So I wouldn't read much into the figures. It's materially not too different. We should wait and see for how first half looks overall.

Shirish Pardeshi: Okay. My second and last question to Suparna. It's heartening to see that in Fastrack volume growth is upwards of 16%. Is there any specific regional changes we have done in terms of promotions or penetration or offers?

Suparna Mitra: So most of the change has actually been in the product. And we have worked a lot on making the product more fashion forward. We had launched a sub -brand called Vyb for young women last year.

And also on the main Fastrack brand, the 2 - 3 things that are working are differentiated products as well as premium products. We've introduced premium products like ceramic, automatics which sell at ₹10,000, and consumers have lapped it up. So , our product line -up is now much more oriented towards today's young customer, and that has given us a lot of boost. And this was actually work in p

rogress that was going on for more than a year. And I think now we are seeing the results of this.

Shirish Pardeshi: I'm asking this question. If this volume continues, there will be some mix change towards the second half. And that's my worry that if we have the margin guidance, whether we will be able to continue with that margin guidance.

Suparna Mitra: No. In Fastrack, the sub -brand margin profile is different, but the main Fastrack brand is very healthy margin. There are no margin issues there.

Moderator: The next question is from the line of Nihal Mahesh Jham from Ambit.

Nihal Mahesh Jham: The first question was, again, to the jewellery segment that from the way we look at it, the competitive intensity looks like it is here to stay, given the rise of some of the organized players.

Historically, have you seen some triggers, which has helped to moderate competition? Or do you think this is a new reality going forward?

Ajoy Chawla : I think it's a new reality, more will come in fact one more has entered the fray also in July.

Nihal Mahesh Jham: Absolutely. I had a second question, which was on the charge that we saw that just to clarify, the impact of this charge, which is related to the factor in import duty is mainly on the gold on lease portion out of the outstanding on the day of the budget, right? Or is it going to be some impact which could continue going forward?

Ashok Sonthalia : No, it will not continue. It was gold on lease and some of the portion which we hedge to forward that was also there. So these two put together. So, there is nothing going forward. It is determined at that point of time, and that's the maximum number which I shared with you. It can be slightly better than that, but yes, that's the one.

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Sensitivity: Internal C. K. Venkataraman : As we liquidate this inventory, this will flow.

Nihal Mahesh Jham: Understood.

Moderator: The next question is from the line of Vivek M from Jefferies India.

Vivek M: My first question is, over the last decade at different points of time you have given your market shares and your aspirations. But Venkat and team, when you look at market shares today, do you look at the total jewellery market, which is where you want to gain the market share? Or do you also look at within organized? Do you want to hold on to market share or do you want to gain market share?

Because let's say, by your admissions you are seeing competition will rise in the organized space.

Does that mean that from an overall market perspective, you may gain share, but within unorganized, so within organized you may lose? How do you think about this share from an organized perspective?

C. K. Venkataraman: No, we think about it from a total market point of view because there are so many markets where we are going into, there is no organized player only. For example, if I take Sitamarhi, Madhubani, Raxaul, there is no brand there, which of the kind we legally speak about.

And we are putting our stores, which are doing ₹40 crores, ₹50 crores, ₹70 crores in a year and so many small towns across the country. So, we look at it from a total market point of view. But from a competition point of view, particularly those who are likely to affect us are the larger players, the more professional independents, to more professional, regional players. And therefore, in each state or city, we have to reference those and act accordingly.

Ajoy Chawla : So just to throw a little more flavour. In many regions, the local player is very strong compared to some of the other places. Not just in small town, but even in, let's say, certain larger states. So there, we refer to them.

Second, we do track growth of all the organized players, and we do track our relative growth like-to-like total growth. For these organized players as well as for the unorganized key players

around 40, 50 brands, we tend to track city by city. So, we are mindful of their growths and our growths as well, and therefore, we would not like to fall behind as far as possible.

C. K. Venkataraman: Also, it's a very complex situation because the nature of the industry -- I mean, the size of the industry being so large, the formalization opportunity still being very large. We can continue to do exceptionally well even when some others come in and do that. Because they may be going after customer segments of a different type and all that. But all those who are likely to play in the same customer segment as we do, and therefore, we can get affected by their success.

Our failure and their success are in a way intrinsically linked. That's where the focus is greater when we start understanding. And because we are a retailing company with very high database, there were more than 1 crore of Tanishq customers in our database. And therefore, if somebody

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Sensitivity: Internal buys we lose, we know so all that kind of a city level, catchment level, gain loss thing is the continuous but improving focus of the division.

Vivek Maheshwari: Got it. Thank you for the elaborate explanation. The other thing. Venkat and team, and we have asked this at different points of time, but given how situation is on the scenarios emerging particularly in the developed markets, in your Tanishq network, do you see customers asking for, let's say, lab-grown diamond increasingly?

Ajoy Chawla: So we've been tracking. We've been trying to track inquiries on a continuous basis across all the stores Tanishq, CaratLane, Mia, Zoya. Zoya there's, of course, very few. And so far, we have

not seen material inquiries. What we do hear about this that customers want to know -- they're a little more curious -- and they want to be assured that what we are selling, is it natural? Has it - has it got any lab, et cetera. There are some questions and some of them have even gone on to demand, 'can you please certify that your s is entirely natural?' etcetera. We've had to do that and we've won it and done that. But yes, there is enough and more noise in the market, if you think of media, if you think from a number of players, et cetera, coming in.

C. K. Venkataraman: Also, I mean, it will play out, and we'll know better. But I'm just saying, if you go back historically to maybe even two decades back to American movies, right, and where male proposes to a bride -to-be or bride -to-be showing off what she got from her fiancé. So, this whole rock and the size of that rock and the solitaire and my god, that guy thought of you so much, and therefore, he bought such a bigger rock. That has been at the center of the American jewellery industry.

And therefore, the motivation of all those men who are getting -- who are proposing or getting married to buy the best rock possible for the bride is also at the center of what is happening in the American Diamond, American LGD industry. And you combine it with the sanction that the American jewel lers have also given in a big way to the LGD product lines by keeping it within and the overall penetration of naturals in the American consumer markets.

So you combine all this, so the potential playground for LGDs have been dramatically lifted there. Whereas in India, this first point where the man is trying to impress the women with the size of that big diamond rock that he is buying for this is not even present. Of course, it is evolving. The solitaire market in India is in a way in that space. But the share of solitaire to the total diamond jewellery in India is relatively small.

So therefore, that also including the fact that women are not asking or men or not asking in India, what Ajoy was saying, that's also because of the absence of the latent demand for something like that. And therefore, th

e way it will play out in Eastern ma rkets, not just in India because you can look at even other Eastern markets of the world, where one big signal of affluence is the acquisition of a natural diamond product apart from a big car, a big house and stuff like that. So, it's a very multidimensio nal thing at play as well.

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Sensitivity: Internal Vivek Maheshwari: Got it. And a very small question for Ashok. Just from my understanding, I'm sorry, with a very naive question. But in the case of gold exchange, there is no GST implication or is there? On the gold itself.

Ajoy Chawla: No, no, there is -- when we take back gold on exchange, there is a GST element. Sure. But TEP, there is certainly a GST element when we take a Tanishq exchange. And for the gold that comes in from non -Tanishq, we just me lt the gold and give that person a credit note, but on Tanishq exchange, there is a gold. There's a GST loss for the customer.

Ashok Sonthalia: Customer loss, but we don't have any implication. Once we sell again, then, of course, GST plays out, yes.

Vivek Maheshwari: No, sorry. My question is the GST impact will be only on the differential, which is the gold -- which is the making charge, right? On the gold itself, if I give my go ld to you, you give me back the gold and whatever making charge that you charge me on that, there will be a GST because it's my gold, which I'm giving you and giving me back, assuming I give you 100 units and you...

Ashok Sonthalia: These are two different transactions. We are buying. We are taking from you, and we are selling it to you.

Vivek Maheshwari: Okay. So, there is an implication on the gold itself for the customer. There's a loss of value.

Ajoy Chawla: There is a loss of value.

Moderator: The next question is from the line of Siddhant Dand from Goodwill.

Siddhant Dand: My first question was regarding the CaratLane leadership changes. So, has this affected the business? And have there been other leaders who have exited lately?

C. K. Venkataraman: Sorry, who was that, please?

Siddhant Dand: The Management -- so there's b een leadership changes a t CaratL ane, right?

C. K. Venkataraman: This is Venkat here. So Avnish Anand was one of the founders, co -founders of CaratLane has chosen to leave for personal reasons, and it was an amicable kind of discussion and decision.

And after considering all possible candidates, we concluded that Saumen Bhaumik should be the new leader, and he will formally move in soon. And there has been a lot of welcoming of Saumen and the new leadership that he brings from the CaratLane team, and the early signs are very exciting and positive. And I'm sure we are headed f or even greater things in CaratL ane.

Siddhant Dand: Okay. Perfect. My second question was regarding -- there's a big difference in consol and stand - alone profit. So, is this largely the losses in the international business?

Ashok Sonthalia: There are two elements, apart from losses in the international business, there is one -off item, which has been explained in our presentation. We had a \$2 million loan extended by our U.S.

Sensitivity: Internal subsidiary, TCL NA to an entity, recoverability of that has come under question mark. So , we have fully provided for that. So that's kind of a one -off item also sitting there.

Siddhant Dand: Okay. Just a request to upload the presentation a little earlier for that?

Ashok Sonthalia : Yes, we take your request, but we are also , when the Board approves the accounts thereafter only we can upload that. So yes, but we will try to keep that in mind.

Moderator: The next question is from the line of Akshen from Fidelity.

Akshen : Yes. So , some of my questions have got answered. So , I won't repeat them . Just wanted to congrats Venkat on the book, really love readin

g your perspective in detail. Thanks for writing

the book. One question was around the lab grown diamond. I know it's work in progress. So you guys, you said you are monitoring data. But when you speak to customers, have you seen resistance like you said, some people are asking for guarantee, et cetera.

How can you provide that guarantee? I mean naive understanding but from what we understood, it's very difficult to differentiate on polished on what is natural and what is lab grown. So , do we have that kind of control on our sourcing that we can give that guarantee to the customer?

Ajoy Chawla : It's an important question, and we've been at it for the last several years, in fact, 4 to 5 years a a lab grown has been in the market for quite some time, supply side, at least. We have invested extensively in equipment across all our partners and our own labs and our own sourcing and in-warding offices.

We are ensuring that every stone, first of all, we source most of our stones directly through sightholders and through very stringent norms , we work with very stringent norms . So, every stone is tested. Thereafter, if we do pass it on to any of our job work vendors or outwork vendors, it is tested by them. It is again tested before we take it in, and it's ensured that before it enters our warehouse, it is completely checked. And in fact, even outward, t here is checks done. So , there are 3 to 4 times that the product gets tested.

And we have the latest equipment, which will ensure that there is absolutely no contamination. And this is one of an important risk , strategic risk that we had identified almost 4 -5 years ago, and a lot of investment has gone into this. So we, for sure, can -- because we are deeply involved in the manufacturing , sourcing of stones and supply of manufacturing of the jewellery , we can say that for sure. I agree with you that for many other retailers, it may be a challenge because they are not involved so muc h in the back end of the value chain.

Akshen : I'm just trying to think is that something that we can publicize and advertise because like the karatmeter was a differentiator then , would this be a differentiator now.

C. K. Venkataraman: Good input.

Sensitivity: Internal Akshen : My second question was just the difference in EBIT margins between consolidated and stand - alone in jewellery , is the margin seems to be low in the implied subsidiary numbers. I don't know if that's to do with only the extraordinary or there was something more of play over there ?

Ashok Sonthalia : No, it is lower in the subsidiary outside and the subsidiary is scaling up. But our expectation is that as they grow, their margin profile certainly should improve. But of course, in this quarter, it has not happened. So yes, that's the reason. But eventually, when we spoke about even Annual Investor Day, over 2 to 3 years' timeframe , we believe that subsidiary, which is CaratLane should scale up as well as improve the EBIT margin profile.

Akshen : Very last question, just how should we be thinking about your net interest expense going forward? It's sort of been rising from about ■100 crores a quarter now to ■230 crores this quarter. Is the run rate we should be working with right now? I know there is an M&A debt, which is sort of carrying forward interest because that's something that I think there is a very wide variance on street to just get perspective on that.

Ashok Sonthalia : So, there is one component of borrowing. It's sitting on our balance sheet, which we raised for acquisition of balance stake of CaratLane. And there is a defined timeline when those bullet payments would happen.

Until that point of time, that is going to stay currently, it is ■60 crores - ■65 crores in a quarter.

The rest of it, I think, is the short -term borrowing and versus our investment. If you look at other in

come also, other income is also at a higher level in quarter. So more or less, that interest cost is neutralized by our liquidity management and cash management. So , we are not worried about that. The CaratLane piece will be out of our way in the next 2 years.

And then it is the treasury management. So interest costs, the short -term borrowing costs will

never be a hit to P&L because there will be commensurate other income. It is just part of cash management and peak cycle of the cycle management. And sometimes even in the inventory when we decide to purchase a spot gold because we see some benefit, et cetera. So that's the part of, I would say, surplus treasury management that interest would not be hurting P&L. The long term, which is about ₹60 crores - ₹65 crores at this point of time per quarter will get paid out over next 2 years.

Moderator: The next question is from the line of Latika Chopra from JPMorgan.

Latika Chopra: Two questions from my side. The first one was on your comment that the high-value studded jewellery has been subdued. And you've signed in with the part that I think Ajoy mentioned this time, the activation started a little earlier. I wanted to understand in these activations, are we making any specific interventions to incentivize the customers to buy more of high-value studded? And any early signs of any kind of feedback in customer's behaviour change towards this segment? That's the first question.

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Sensitivity: Internal Ajoy Chawla: It's too early to comment, Latika. I don't have that kind of data in terms of how is the composition

of growth been, etcetera. So, I can't really answer. Are we incentivizing more for high-value?

Compared to last year, no, we are more or less in the same ballpark. Certainly, we didn't have too much of products in the first quarter, especially in ₹5 lakh-plus and ₹10 lakh-plus. And that could have also contributed a little bit to what was the comment made in the earnings presentation.

Going forward, we have infused new collections as well as some very good inventory into high-value studded, ₹5 lakh plus, ₹5 lakhs to ₹20 lakhs actually. So, we think there should be a good uptick, but very early to comment because I really don't have that level of data right now. We'll wait and see how it plays out.

Latika Chopra: Sure, sure. The second one was on the custom duty reduction. Just trying to understand, I know it's been two days only, but you did talk about a better demand coming back. But do you also sense some bit of later demand in the year because of wedding or festivity getting a little bit more preponed? And also, do you think there could be a scenario where the jewellers could probably raise making charges a bit to kind of mitigate the impact on inventory losses because customers got used to a level of high absolute making charges. When those prices are higher. Just trying to check if there's any thoughts there?

Ajoy Chawla: I hope the latter comes true. But I really can't comment on behalf of the rest of the jewellers. We are not likely to do this kind of game because we are anyway at a premium vis-à-vis the market. So, we'll stick to what we have is what I can say. How demand will play out? Let's hope it does play out well because it all depends on how gold rates dynamically behave. It's not easy to predict what happens to gold rate, especially dollars per ounce.

C. K. Venkataraman: The global macro is pushing the gold rate up despite the customs which are pulling it down. And therefore, in a matter of just a few days, the difference has gone almost, you could say, right, or could go.

Moderator: The next question is from the line of Tejas Shah from Avendus Park Institutional Equities.

Tejas Shah: Venkat, thanks for writing the book, it was a fantastic read. First question. See, as you have been highli

ghting for a while at the regional players are expanding nationally and formalizing a lot.

Have you become a favourite hunting ground for talent? And have we earned an unwanted distinction of becoming CEO factory for the sector?

C. K. Venkataraman: We have had some ex some not-ex exits or joining from this. Certainly, if I look at the most recent entrant into this industry, it's a good lineup. If you take a photograph, it looks like a Titan team meet. And yes, so from a -- one of the things -- the advantages that Tanishq had for a long time was the whole capability leadership depth and professionalism. That is a challenge today because certainly, the other companies are starting to become much more professional, wanting to attract talent of that type, changing their profile from a typical owner-driven kind of culture to give freedom and opportunity.

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Sensitivity: Internal So you could also look at it from a one point of view, it's also a better thing for the industry, from multiple points of your customer experience, employee experience, partners will become more better treated and all that, while certainly raising the stakes for Tanishq to reach its next level of excellence. So, what Ajoy and team is doing and, in a way, forced into doing also. But it's a good thing. It's -- I wouldn't like to be always in a state of being where we were maybe 10 years back. So, we are a hunting ground.

We are losing people -- I mean we have lost some people. And on the retail side, the challenges are even greater from a store point of view. But the Tanishq culture is strong, the Tanishq brand, even for employee brand side is strong, and we need to work harder to retain people. So that's part of life. And it's also an evolving thing. It's not like a sudden change. So, the team is also used to continuously improving how we play that game on multiple fronts.

Tejas Shah: Got it. And how are the recognition of this talent? Are we having homegrown talent? Or are we also looking for other industries or our industry to kind of that industry.

C. K. Venkataraman: Actually, the category expertise is actually key, very important, if not crucial. And therefore, from other industries or even within the company from other categories and especially in certain functions where the depth of expertise is key. It's not that easy to replicate.

But because Titan Company has got a very, very long -standing and a very deep and wide talent management program. We have people across the company who would have served in jewellery for a long time earlier and maybe now doing roles in other divisions. And therefore, at short notice, we can mobilize if necessary.

And we also have a very robust talent transfer program within the company through which they can come in and pitch in or step in if it is required, but we would need a good mix of category experts from within and outside. And of course, some can be from outside the category from within or outside.

Ajoy Chawla : Just to add a little bit more flavour . So, if you think of retail, it is not necessary that you need your jewellery experts all the time. You can develop it -- though when you go to you be wedding or high value, you need a few experts. If you think of supply chain, you don't need think of marketing you don't need, but certainly, design category and specific manufacturing, some parts of manufacturing, sourcing also you can manage -- so it's a mixed bag. And it's a combination also of homegrown from within at the cadre level and then there is lateral. So, it's a combination of these plays.

Tejas Shah: So, I just hope that you don't leave your family pitch which has worked in Titan, for Venkat, work for any future talent before we think on that part.

So just the one which you mentioned in the book, right? Just one request again, somebody also highlighted earlier, if y

ou can increase the gap between the result release and concall, we can have much more time to go through the accounts and have much better discussion on numbers.

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Sensitivity: Internal Ashok Sonthalia : If you'll be happy to take a call at 7 pm to 8pm, then maybe we can think about that.

Tejash Shah: Perhaps next day then.

Ashok Sonthalia : Yes. Yes, taking note of it.

Moderator: Ladies and gentlemen, we would take that as a last question for today. I now hand the conference over to Mr. Venkataraman for closing comments.

C. K. Venkataraman: Thank you very much. It was a very useful conversation with a lot of perspectives coming from your side to make us think more about our future and see you next time.

Moderator: Thank you. On behalf of Titan Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

Titan Company Limited

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SEC 140 / 202 4-25 7th November 2024

The General Manager, DCS – CRD

BSE Limited

Corporate Relationship Department

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Rotunda Building, P J Towers

Dalal Street, Fort,

MUMBAI - 400 001

Scrip Code: 500114 The General Manager, DCS – CRD

National Stock Exchange of India Ltd

Exchange Plaza,

Bandra -Kurla Complex,

Bandra (East),

MUMBAI - 400 051

Symbol: TITAN

Dear Sirs,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter and half year ended 30th September 2024 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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"Titan Company Limited Q2 FY25 Earnings
Conference Call "

November 05, 2024

MANAGEMENT :

MR. C. K. VENKATARAMAN – MANAGING DIRECTOR , TITAN COMPANY LIMITED

MR. ASHOK SONTHALIA – CHIEF FINANCIAL OFFICER

MR. SWADESH BEHERA – CHIEF PEOPLE OFFICER

MR. AJOY CHAWLA – CEO, JEWELLERY DIVISION

MS. SUPARNA MITRA – CEO, WATCHES & WEARABLES DIVISION

MR. RAGHAVAN N S – CEO, EYECARE DIVISION

MR. KURUVILLA M ARKOSE – CEO, INTERNATIONAL BUSINESS DIVISION

MR. AMBUJ NARAYAN – CEO, INDIAN DRESSWEAR DIVISION

MR. MANISH GUPTA – CEO, FRAGRANCES & FASHION ACCESSORIES DIVISION

MR. SAUMEN BHAUMIK – MANAGING DIRECTOR , CARATLANE

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Moderator: Ladies and gentlemen, good day, and welcome to Q 2 FY 25 Earnings Conference Call of Titan Company Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C. K. Venkataraman , Managing Director from Titan Company Limited . Thank you and over to you, sir.

C. K. Venkataraman : Thank you very much. Good evening, everyone on the call. It's good to join you immediately after a wonderful Diwali. Happy Diwali belated to all of you. And we are also happy to do this call on top of a good growth quarter in Q2. I would like to circle back at the end of the call to give my broader comments on the Company and the various parts.

Now , I can hand it over to the people who would like to ask us questions, please.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on your touchtone phone . If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking the questions. Ladies and Gentlemen, we will wait for a moment while the question queue assembles . The first question is from the line of Devanshu B ansal from Emkay Global, please go ahead.

Devanshu Bansal: Thanks for the opportunity, and congratulations on a good growth performance in Q2. My first question is on margin, Sir. In the jewellery segment , there has been a 270 bps margin drop. I just wanted to understand if you could segregate this into various margin brackets. Is it like due to a pressure in gold price margin , weaker revenue mix or higher promotions on making charge marketing , etc., So, broadly if you could help us understand the breakup of the this?

Ajoy Chawla: Hi, this is Ajoy here. We had two -three impacts on margin this quarter.

One was a substantial part of it is on account of the one -time custom duty loss, which has flown in already part of it in this quarter and partly in the next. That's a substantial part of it. Beyond that, it is to do with the studded mix being lower than t he expected one , again on account of two factors. One is there was a gold rush of sorts in quarter two. Therefore, the gold component was much higher, including a substantial rise in gold coins and bullion purchases. And the other is, in studded , Solitaire , particularly the large carat stone demand has been under pressure due to price uncertainties in the market , linked to international demand supply situation. So, all these three factors actually contributed to most of the reasons for the margin drop. Some amount of Titan Company Limited

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marketing investments for the brand , etc., to drive growth , would have contributed, but that's not substantial. That would be a very small impact.

Ashok Sonthalia : And maybe we can just quantify Ajoy custom duty impact in the quarter is Rs. 290 crores .

Devanshu Bansal: Yes, that's mentioned in the PPT, Sir. Ajoy, I also wanted to understand the reason behind this

weak sort of growth in studded . Obviously, Solitaire, you mentioned. So, if we have to divide it into two broader reasons, one is from a studded perspective, the other competition is sort of giving relatively better pricing on studded . That is one. And the second obviously is the growing noise around the lab grown diamond. So, what do you attribute this to as of now among these two reasons?

Ajoy Chawla: So, as I said, the Solitaire demand has been a big contributor to the impact on overall studded . If I exclud

e Solitaire and look at the growth without Solitaire, actually the studded growth is quite healthy. Okay. And even within Solitaires, I can further specify that the bigger stones where price uncertainty is high and where there is a certain investment mindset which exists for those people who are buying higher carat stones, one carat, two carat and so on and so forth, they have been holding back because they are waiting for prices t o settle down. Now, it is not entirely clear is it because of lab grown, but it is also true that international demand in China and many other markets which have nothing to do with lab grown has also been on the back foot and therefore , there is a demand s upply issue on large size Solitaire stones. Competitive pressures wise, I don't see a big issue because as I said studded jewellery demand has been good and in fact buyer growth have been in healthy double digits across price bands . So, even the sub-1 lakh price band which some people might ask , so actually we are very happy with the buyer growth in studded therefore more customers are in the market for studded.

Devanshu Bansal: Just a small follow up, what would be qualitatively the margin difference between Solitaires within studded and the other smaller pieces that we sell under the studded jewellery?

Ajoy Chawla: No significant difference.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi, Thanks for the opportunity. Ajoy, t he first question is, with most categories, the consumer categories at large being soft this quarter, except our jewellery has actually done well at large even as a sector, how do you gauge consumer sentiment? Any early read on festive or wedding demand trends also?

Ajoy Chawla: I think the consumer sentiment was good, I would say, in this quarter. The only slight, let's say, adjustment we have to make , last year, Shradh was in October, all of Shradh. This year, 13 days out of the 15 days of Shradh was in September, so it kind of shifted quarters. And that, while we
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factor it into our business plan, that when you look at it from a calendar perspective may not strike you, and therefore, I see sentiment to be very good. Even festive sentiment has been excellent. So, I think it's fantastic.

Tejas Shah: And the same you would extend to wedding jewellery demand also?

Ajoy Chawla: Yes, wedding jewellery demand started picking up post the custom duty reduction announcement because there were many fence -sitters which we believe from first quarter and election and all of those factors which impacted first quarter who were waiting. Once gold prices corrected, many people came in. And as we speak also, because festive is a good period to also pick up jewellery festive , wedding has picked up. And we think it's a good run a head for the next two quarters.

Tejas Shah: A small follow up there. So, with high gold prices, are you seeing any shift towards lighter or more affordable jewellery or any preference trending across price p oints or regions you can share?

Ajoy Chawla: Actually, no. We have seen that higher value jewellery in gold, especially if I look at it, has continued to do well. In the very low-price points , because of the price of gold having gone up, some products have moved price bands. So, on gold , I would say there is in fact no indication that it is only lightweight which people are interested in. It's pretty much what it is. In the diamond studded , there was some, but I think I am not sure if it's a consumer sentiment. I think the ticket size in studded was impacted partly on account of Solitaire and partly on account of a delayed launch from our side in certain price bands. But I don't see any correlation coming out there. Lower price bands in diamonds have done very well, whether yo

u look at Car atLane,

whether you look at Tanishq or Mia. So, not seeing any trends.

Tejas Shah: And the last one on lab grown diamonds, so we have been wait-and-watch or monitoring phase for last few quarters, as you called out. Any early findings on consumer interest now or any pilot initiatives underway that you can share?

Ajoy Chawla: No, we continue to observe. We are not seeing inquiries across our stores other than clarifying that all the diamonds we are selling are natural , etc., We continue to observe and study the customer and keeping a close track of it. So, as of now, nothing more to report.

Moderator: Thank you. The next question is from the line of Avi Mehta from Macquarie. Please go ahead.

Avi Mehta : Hi Team, Thanks for the opportunity. Just on the margin front , first, we have seen the first half at almost about 11.3 % adjusted for this custom duty. Would you still look at 11 .5%-12.5% for the year? Is that a range that we can kind of, how should we look at FY25, if you could give us some sense?

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Ashok Sonthalia : Ashok here. I think given what we have done in H1 and the likely attraction of gold continuing, I think FY25 looks like more between 11 % and 11.5 %. And then maybe we can come back that are we going to go back to our original guidance for the next year.

Avi Mehta : And just a second question is on, again, sorry, on lab -grown diamond. I hear you clearly on the consumer adoption. I just wanted to appreciate that within the Tata Group, one other Company has launched lab-grown d iamond. Does that indicate or preclude any possible entry by us? Or how should we look at that or would love to hear your thoughts on th e same?

C. K. Venkataraman : Hi Avi, Venkat here. Trent is a big box r etailer and Westside sells multiple categories. So, they sell perfumes, Titan sells perfumes, they sell women's bags, Titan sells women's bags and salwar kameez and so on. So, in a way, it is natural for a big box retailer to consider fashion jewellery and the introduction / use of the lab -grown diamonds in the fashion jewellery . We are a category expert, we create brands, we create EBOs and we play the game very differently. And both of us are free to pursue our own destinies. I think because the lab -grown diamond is a strategic subject in the jewellery industry, obviously this question is raised as opposed to perfumes and bags, I understand that. But it certainly does not preclude us at all from doing anything that we want. It is just that we choose to do our business in a partic ular way and this is a matter of such strategic importance that we would announce it when we are ready to announce it. That is all.

Avi Mehta : And Sir, just to clarify, if I heard your comment correctly, the current performance of non -solitaire studded jewellery reaffirms our expectations. That is the right read through on how we look at lab -grown?

Ajoy Chawla : Yes. The non -solitaire side of the demand is very good and healthy. Even soli taires, the smaller carats are actually doing very well. There are carats where the investment -oriented buyer is there who is waiting and watching and that is what customers have also told us.

Avi Mehta : And Sir, any share that you could share of how rou ghly it would be in salien ce for us, t he large diamonds because I would assume it would be a little bit smaller share ?

Ashok Sonthalia : It is a fairly small share , but in the recent past we had upped the game in the last 2-3 years , so we had clocked in very good growth so the base effect has played a role . Otherwise , it is a small share.

Moderator : Thank you. The next question is from the line of Ja y Doshi from Kotak. Please go ahead.

Jay Doshi : Hi, Thanks for the opportunity. Just clarifying on the guidance for EBIT margin, the earlier guidance was 11 .5%-12.5% at the consol jewellery EBIT margin. So, has

this now changed to

11%-11.5%? Basically, it is consol jewellery EBIT or standalone?

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Ashok Sonthalia : So, yes, you must appreciate that the Titan jewellery is the significant part of that. So, whatever applies to T anishq would actually hold true for the consolidated also. So, it is overall.

Jay Doshi : So, if I look at the first hal f numbers, recurring consol EBIT margin is 10 .5% for jewellery business. And for you to sort of deliver 11 .5%, it means the second half should be 11 % at a lower end , second half should be 100 bps better than first half , so are there any sort of efficiency levers or any trends that you are seeing in the market that gives you confidence of improvement in second half, margin improvement versus what we have seen in first half. And I am referring to recurring, excluding onetime impact of import duty?

Ashok Sonthalia : No, I understand, So , some of the initiatives which have been taken on and they are in the early stage or some are slightly advanced stages , kind of makes us believe that some improvement we can do , even like diamond jewellery , the gold content and the inherent margin of that stuff have gone down slightly, may slightly stabilize. And even quarter 3 and quarter 4, likely performance which we think, including CaratL ane, CaratLane also margin trajectory would be slightly better in H2, for sure. And that is what gives us confidence in H2, we will be slightly better off than H1.

Ajoy Chawla : I will just supplement , on the demand side , we have always maintained that this year, quarter 1 would be the weakest because of the many factors at play. We spoke about it. H2 is therefore expected to be certainly better than H1 and certainly for diamond stud ded, even more so. And that gives us the confidence that it would be a better margin play in H2.

Jay Doshi : And is it possible so when we look at this quarter's margin of 11.4 % versus 14.1 % last year, there is a 270 basis point drop. And when we look at 1Q, the drop was actually not that much on

a Y-o-Y basis and 1Q was a much weaker quarter from top line growth or operating leverage perspective. So, is it possible to break down this 270 basis point recurring EBIT margin drop this quarter? How much of that is attributable to, let us say, weakness on the studded side or mix? And how much of that is basically competitive pressure in the gold business?

Ajoy Chawla : Most of it is the studded product mix and studded product mix and gold coin mix also being there and some of it, as Ashok pointed out, the gold price component in the total material cost of the studded piece also adds up into that and therefore it is really linked to studded share, not so much on the competitive margin. Studded margin will get impacted, therefore on that gold price going up and product mix on account of studded share and gold coin share. These are the three factors beyond.

Jai Doshi : As a thumb rule, my understanding was 100 bps drop in studded share would account for about 20 bps impact on margin. Is that correct or you think it will be much higher?

Ashok Sonthalia : We can't confirm that because product level margin discussion we don't do.

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Moderator : Thank you. Next question is from the line of Percy from IIFL. Please go ahead.

Percy : I had a question on consumer behavior. So, supposing if there is a consumer with a budget of let us say 1 lakhs to 1.5 lakhs who wants to buy diamond jewellery, and supposing this customer is now saying that, okay, let me evaluate a jewellery made from lab-grown diamonds, then what does he do in this situation? Does he buy similar type of jewellery by slashing his budget or does he more or less maintain his budget and upgrade the quality or rather the caratage of the diamonds?

Ajoy Chawla : It is a very hypothet

tical question. I will try to answer it in the most factual way I can. ■1-■. 2

lakhs price segment has seen fantastic buyer growth for Tanish q in this quarter and it continues. So, I sense that customer is not swinging too much. If it was, we would have started seeing some weakness. Second piece of information that I have picked up from whatever consumer understanding and market work is the moment lab-grown jewellery goes beyond ■1,00,000, the customer interest significantly falls. In fact, most of the players are selling products largely in the sub ■1 lakh space and maybe ■50,000, ■60,000, ■70,000. There is a segment of people at the very top end who might be asking their jeweler to give them a lab-grown in big stones, which may be in that ■10-■15 lakhs. That is it. It is difficult to estimate that demand. But most of the players that you see in the marketplace are selling pretty much sub-one lakh. So, I think beyond one lakh, there is a barrier in the customer's mind is my understanding from whatever I've picked up.

Percy : So, let us say supposing there is a customer who wants to buy in that ■1-■1.5 lakh ticket size and supposing, I know you said that he is unlikely to go to lab-grown diamonds, but supposing he wants to buy a very similar piece made through lab-grown diamonds, then how much does he actually save on his budget? Does that ■1.5 lakh become ■50,000 or does it become ■1 lakh? What is the rough ballpark here?

Ajoy Chawla : It will be below ■50,000.

Percy : So, basically even at a ■1.5 lakh ticket size which is a studded jewellery which means that there are multiple pieces of diamonds in it, even at that point he saves like 65% of his cost?

Ajoy Chawla : I don't know whether he can get the same piece with the same stone configuration. He may be able to get something at ■50,000 - ■60,000 which may not have exactly the same stone configuration. It is a very difficult hypothetical question. But by and large, I think, the person would bring it, the budget would come down to ■50,000, ■60,000, maybe max ■70,000 or maybe it would be ■50,000.

C. K. Venkataraman : And for what it is worth, to answer your first question in the American market, the general tendency of people is to buy a much bigger product for the budget that they came with. So, if it is \$10,000, so I would buy a much bigger stone for the \$10,000 and in a way make myself and

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my bride to be happy with that bigger stone. And that is the tendency in the US as opposed to buy a similar product at one-third the price.

Percy : So, if that is the case, Venkat, then what stops us from getting into this segment? Because my understanding is what is stopping us is the value depletion that if we start offering LGD, the topline itself will suffer even if the volume goes up, but if the topline is more or less maintained and the gross margins anyways are quite healthy on LGD, then what is the detriment in you launching this product?

C. K. Venkataraman : Why do you think anything is stopping us from getting into this? We have not yet launched.

Moderator : Thank you. The next question is from the line of Nihal Mahesh from Ambit Capital. Please go

ahead.

Nihal Mahesh : I have my first question on the demand with Ajoy, the press release mentioned that there was strong momentum till mid -September. Just wanted to clarify that after the initial spurt that you saw post the duty cut, has the demand trend sustained or there has been a sharp moderation , just wanted to clarify that part first ?

Ajoy Chawla : No, it is sustained. I would only say that there was a pause during the Shradh period which started around the 17th of Sept ember till the end of the month and actually till 2nd of October. From 3rd onwards, again, it picked up. Of course, this excludes Bengal because they start their Pujo purchases. But after that, it has conti

nued well into the season.

Nihal Mahesh : Understood, that's clear. The second question was again on the LGD bit. As you als o highlighted, based on what we hav e discussed in this call, that the demand for LGDs is mainly the sub ■1 lakh price point at this point in time. And more than Tanish q, I think Car atLane operates in that point with a very high share of solitaires. So, is it right to say the kind of a customer that a Car atLane serves and also say if LGD becomes more fashion oriented, that is the brand which could see maybe more migration of customers, and maybe that is the brand where LGD launch would make sense , just your thoughts on that?

C. K. Venkataraman : Actually, we wouldn't like to share anything about our strategy, whatever that is, when it is going to be on this. Actually, if you really think about it, it is a matter of strategy that you are asking us to rev eal before we actually launch anything like that, right? So, like I said earlier on the call, we would speak about it in detail when we are ready to speak about it.

Ashok Sonthalia : Just one factual correction that Car atLane doesn't have , it looks like you said that they are selling a lot of solitaire.

Nihal Mahesh : Studded.

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Ajoy Chawla : So, let me also just reiterate another point. Carat Lane growth has been fantastic in this quarter.

Mia growth has been fantastic in this quarter. Tanish q sub ■1 lakh studded growth has been fantastic this quarter. And overall buyer growth also has been in early double digits, which is very good for stud ded. So, there is no current sense that this is getting impacted, if that is the hypothesis you have .

Nihal Mahesh : So, I will just correct. Maybe it is not about this quarter and lot about the impact, but just that would that customer be more relevant from an LG D perspective, let us put it that way, rather than a Tanish q customer ?

Ajoy Chawla : Very difficult to comment, because right now there is no data to give evidence on that front, not just now, over the last several quarters. And this question has been coming and this hypothesis seems to be alive since the last several quarters almost continuously and currently the data is not showing up.

Moderator : Thank you. Ladies and Gentlemen, in order to ensure that the Management is able to answer questions of all participants, please limit your questions to two per participant. If you have a follow -up qu estion, you may rejoin the queue. The next question is from the line of Shirish Pardes hi from Centrum Broking. Please go ahead.

Shirish Pardes hi: Hi, Good evening. Thanks for the opportunity. Ajoy, just two observations. Our studded ratio has come down to 30 % and in Tanish q it has grown about 12 % while in the CaratLane what I am reading is about the growth is about 41 %. So, is the nature of the business, w hat I am trying to understand is there any overlap of the customers between CaratLane and Tanishq and what you mentioned is the shift which is happening from say a particular customer who is buying say less than ■1 lakh studded at Tanishq is now moving to CaratLane ?

Ajoy Chawla : So, we do look at it as a portfolio. And in sub ■1 lakh studded as I s aid, the portfolio is growing double digits in terms of buyer growth. And the growth in CaratLane is certainly high because of the expansion that has happened in the past and will continue to be showing higher growth. It is also a much smaller base. In the case of Tanishq, there is no reason to believe because even Tanishq has a large dependence on the sub ■1 lakh st udde d number of buyers. And we have seen actually good buyer growth even for Tanish q and Mi a, which is there in Tanish q stores as well as Mia as a channel by itself. So, there may be some flow here and there that keeps happening, but it is very difficult to quantify that. We have not really got into that

level of depth. We do

look at it as an overall portfolio. Saumen wants to further add.

Saumen Bhaumik: Saumen here, Carat Lane's play is by and large in the sub -50k, if you look at the real price point - based segment. So, it is not even at ■1,000,000. It is significantly below ■1,000,000 and ■30,000 - ■50,000 would be the max of our product that we sell.

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Shirish Pardes hi: The reason why I am saying I had a first-hand experience around Diwali. So, we went a nearby store which was next to Car atLane and we saw a lot of people around Car atLane and people were completely buying only gold from Tanish q. Is there is a segmentation happening within the consumer minds? That is my fear .

C. K. Venkataraman: Actually, there are multiple angles sitting here. First of all, Car atLane is Tanishq . Secondly, CaratLane is so famous for good looking affordable jewellery . Tanish q is so famous for exquisite jewellery . And the first thing you think of Tanish q is not good looking affordable. That is not Tanish q. Tanish q plays, when you ask so much about the wedding, for example, or if you take the campaign of Tanish q for Diwali, it is Nav-raani, which is exclusive big jewellery . So, natural place for customers to go for affordable good looking jewellery would be a Ca ratLane or a Mia and therefore you will see a lot more people sort of crowding in that store and in a small store , 10 people will look crowded. In a big store 20 people will look not so crowded. So, that is also there. But the more important thing is what the brand is famous for and why people buy , a lot of gifting happens in Car atLane. All these are there as dimensions.

Ajoy Chawla: And gold , season time gold is a very big draw. The play of gold in Tanish q is far higher than the play of gold in Car atLane or Mia for that matter. It is completely the other way. So, there will be a crowd for gold always.

Shirish Pardes hi: Just one quick follow up on Jewellery . Venkat, what is the new buyer contribution or new buyer growth because you have given total buyer growth at 12%?

Ajoy Chawla : Total, the contribution of new to repeat in the current quarter continues to be similar as last year. The growth is around the same, around the same percentage that we have seen , so both have grown at the same rate.

Shirish Pardes hi: Second and last question to Suparna , Watches, we have seen that Analog is doing much faster and last 2-3 quarters it is double digit , so is there a particular trend or is there particular product innovation or mix we have tried to showcase to the consumer? And how long will this growth continue? Do you think this is now in the base?

Suparna Mitra: Suparna here, you are right. Analog is seeing good growth in the last few quarters, and it is on the back of very strong product design and innovation. Also, on premiumization, so if you see, Titan brand or the Helios chain or the international brands doing very well, the premium sub - brands like Nebula, Edge, etc. , doing very well. So, this has been going on for a while and this trend is becoming stronger and it is really getting manifested in very well -designed collections with very good value for the consumer for that price point and also supported by very good execution both in our stores, on -ground stores as well as in the play that we have in online. So, it is a combination of many things coming together and we do believe that our product pipeline and the overall product strategy will keep delivering good results for the next few quarters.

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Shirish Pardes: I Got that, Does that mean that 14.9% EBIT margin what we have shown there is upside to this margin?

Suparna Mitra: Difficult to say , I would go back to what we had said during the investor day that 13 %-14% is definitely in the range

that we will commit to.

Moderator: Thank you. The next question is from the line of Krish Shanbhag, an Individual Investor. Please go ahead.

Krish Shanbhag: Sir, my question is on the loss due to import duty cut. Historically, you have always said that you hedge your gold, so there is no impact of falling gold prices. So, why is there a loss when you have hedged yourself?

Ashok Sonthalia : So, we will try to explain. We source a lot of gold through Gold on Lease program, which is a natural hedge because price is fixed on the date of sale. So, that gold inventory is in a way price - wise not exposed, but custom duty is already paid. The day we source that gold on lease, custom duty is paid, but the price is fixed on the date of sale , so that inventory is always exposed to custom duty variation. In the past, sometime, when custom duty went up, we made some gains also. And that also, if you go in our quarterly results, you will find that we have talked about that. This time, the drop was very steep, and that is why a significant loss.

C. K. Venkataraman: So, just to elaborate and make it totally clear, if ₹100 was the import rate, and ₹15 was the customs duty paid; we paid the ₹15, but that ₹100 was floating till we fixed it which we typically match with sale. So, if ₹100 became ₹105, we sold it at ₹105, fixed it at ₹105, no loss , but the ₹15 was ₹15, and we couldn't hedge that 15 separately. And if the ₹15 fell to ₹6 as it fell, ₹9 we had to lose; we ended up losing.

Moderator: Thank you. The next question is from the line of Sourav Mondal from RK Advisory. Please go ahead.

Sourav Mondal: My question is about Analog watches. What is the trend there and if you could give some sense

about price category trend and last 3 years and going forward, what is the revenue share of analog to wearables category?

Suparna Mitra: So, the trend is, like I mentioned earlier, there is a very clear premiumization trend where watches above ₹ 5,000, ₹10,000, ₹15,000, etc., are doing very well. We are seeing good growth in, like I said brand Titan, which is kind of spearheading the growth. As far as the proportion of analog to wearables, the last couple of years we have seen wearables share go up, but now with the wearables market in a bit of a correction mode, we are seeing that the analog share is higher.

Moderator: Thank you. The next question is from the line of Aditya Soman from CLSA. Please go ahead.

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Aditya Soman: Hi, Good Afternoon. Two questions, so firstly, in terms of steady-state margins for jewellery, what would be sort of a steady-state margin one should expect over a medium term? And has the guidance on that changed at all? And the second question is on these emerging businesses. We see the level of profitability even on a year-on-year basis hasn't improved slightly. So, how do you think the trajectory on profitability plays out over the next few years, and what should be the drivers for improvement?

Ashok Sonthalia: So, emerging businesses for sure are in the investment phase. Growth is far more important than margin, but as the scale is growing, some of the gross margins are improving, so they can, but I think we are right now focused on them achieving the right scale and rightful position in the market. Jewellery, as we answered earlier, for FY25, we think 11%-11.5% seems to be the band which we will be able to deliver. And then at the end of the year and beginning of next financial year, we will be able to have much more clarity that going forward, what kind of number can be delivered and then maybe we will. But no significant change in terms of the structure is happening, 11.5%-12.5% to now we have talked about right now 11%-11.5%. So, we might go back to the original band, but yes, we will wait for some more time to kind of give that guidance.

Moderator: Thank you. The

next question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Siddhant Dand: Sir, my first question was about there has been a proposal to hike GST on luxury watches, about ₹25,000, I think. So, what percentage of our sales would that be? And secondly, would it hamper our plans to open ultra luxury watches stores in Helios?

Suparna Mitra: So, right now, it is a proposal. I think the group of ministers has recommended to the GST Council. So, we will have to wait and see how it actually pans out. Our proportion of watches above ₹25,000 is not very high right now. But given the fact that premiumization is a very continuing trend, it will become higher and higher over the next few years.

Siddhant Dand: Would you give a rough band of what percentage of topline would those be?

Suparna Mitra: At this point, we will not be able to share.

Siddhant Dand: Secondly, my question was regarding our golden harvest, competitors have come up with a little more aggressive scheme, so has that program been affected?

Ajoy Chawla: No, in fact, we ourselves have innovated a little bit on the golden harvest. We have launched another version which also enables customers to fix their gold rate, etc., and the benefit is different from the Golden Harvest usual scheme. So, put together, both programs are doing well and enrollments have been good. We have not been impacted by whatever competitors have offered. They have continued to offer historically, also more aggressively. So, it is not that something new has happened.

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C. K. Venkataraman: And I think there is an intrinsic sort of relationship between preference for that brand and preference for that Golden Harvest equivalent of that brand. People want to buy Tanishq, and people sign up with GHS. People want to buy some other brand, they sign up with the program of that brand.

Siddhant Dand: My third and last question would be, one of our biggest moat was we were able to give a Karameter and verify people's adulterated gold back in the day. So, is there any sort of pilot or any idea around identifying whether someone's jewellery is a lab-grown one versus the mined one within the store itself?

Ajoy Chawla: Good idea. We should attempt it. We mentioned it in our media interaction when we did the De Beers tie-up. We have done a tie up. And we anyway use all their equipment for a lot of our value chain to ensure that there is absolutely no contamination. And they themselves have also innovated and come out with more, let us say, smaller device, etc., which can be deployed in stores. So, we are going to experiment with some of this in some of the cities and see what it yields. And we are also anyway separately testing out other competition and other jewelers' product to see how much is truly natural, how much is mixed, etc., so all that work is on, but good idea. We will consider your thoughts.

Siddhant Dand: So, are you seeing on-ground adulteration going up in general?

Ajoy Chawla: I don't have data for that right now. It is too early to. We have started doing some studies. But very interestingly on gold, on a side note, even today we get 2-3 carats below the 22 carat in our exchange program. And it surprises me now and in certain markets, it goes down by even more, few more carats. So, even after so many years of hallmarking and so many years of doing it, we still get very low carats in our gold itself.

Moderator: Thank you. The next question is from the line of Rahul from Anion Investment Service. Please go ahead.

Rahul: Thank you so much for taking my question Sir. So, like in the last quarter, like we have data like you will be the expansion plan of the Tanishq, Mia and CaratLane especially, so could you provide an update about the store expansion plans, especially how many Tanishq, Mia and CaratLane stores have been

added in Q2 and are you guys on track for their target, if the data is handy?

Ashok Sonthalia: Sure, So, we have added in Tanishq 22 stores. In fact, in this month itself, in October, we have added another 10 or 11 stores, rather. We have added 33, therefore, up to 30th October and our aim is to add between 40 and 50, depending on finding the right property, etc., and typically, that is what we have added. Mia is also likely to reach 250 by the end of the fiscal. On CaratLane, Saumen will share.

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Saumen Bhaumik: As far as CaratLane is concerned, we recently crossed a milestone of 300 stores. Currently, it is 301. Net addition is 29 for the year and we hope to add another 20 before March.

Moderator: Thank you. The next question is from the line of Ashish Kanodia from Cit i. Please go ahead.

Ashish Kanodia: Thank you for the opportunity. The first question is on the competitive intensity. So, given the steep increase in gold price, if you can highlight how the regional and local players are behaving, are they giving some offer on the gold price? Because we also noticed Tanishq was offering discount on the gold price for the first time and post the discount, the gold price was matching the gold price what some of the other large player offers. So, that is the first question?

Ashok Sonthalia: Yes, you are right. The competitive intensity on gold rates itself has gone up. Thanks to the very high price of gold. And many local players have been either on their own or sometimes in response to other national players or chains come out strongly with gold price offers. And this year, we saw many players do that. So, we also decided to play it a little differently and ensure that our discount payouts during the festive season was smartly distributed between making charges and gold rate and other offers that we do. So, psychologically, it helped the customer kind of feel a little bit more comfortable. But we still manage the payout in a manner that we look at them in totality and therefore it is not just a flow through.

Ashish Kanodia: So, instead of more discounts, part of the discount was routed through lower gold prices. Is that the right understanding?

Ashok Sonthalia: Yes. And what also it helped interestingly is during festive, the exchange became even more attractive because people bring in their old gold at a certain rate and then this is a discount, not the gold rate per se. So, it actually means in their mind, they gain a lot more by bringing in old gold, and we wanted people to do a lot of that. So, we ran a festival of exchange as well during this period, and this played to that.

Ashish Kanodia: Sure Sir, that's very helpful. The second question is, just going back on the LGD part, you have seen over the years how CZ or ADs have kind of, instead of becoming a jewellery, it basically ended up being just a fashion accessories, right, so any learning from that or anything, when the AD was ramping up in India, we were in a very different zone, but any similarities or difference you see when ADs or CZ was scaling up and now when LGD is scaling up and second, given what a Westside has done and maybe some other places are also doing, we will see ultimately, lab-grown diamond just fading away as accessories rather than really replacing it as a jewellery?

C. K. Venkataraman: So, the first thing is that certainly LGDs are far superior to ADs in any other form, because optically, chemically, physically, they mimic, they are diamonds in a sense, right? And they are just grown in the lab. So, to that extent, to compare them with AD is perhaps not right. The other thing is, finally, the sustainability side of LGD is also an angle which is being brought in and all that. So, I won't compare it like that, but will have to actually see the way it plays out in the next

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many years. It is not easy to predict how it will actually go. And your second part, what was it to do with the Westside?

Ashish Kanodia: My point was because if you are getting an LGD in a big box retailer, as a consumer you will not necessarily see it as a jewellery, right? It ultimately becomes a fashion accessory.

C. K. Venkataraman: Correct. So, that was the point I was making about why the Westside is choosing to do it like this and how it does not really impact whatever we may do.

Ajoy Chawla: Also, what we have heard and seen Pandora and Swarovski has gone into that space and how they shape that category and how it does and of course, prices coming down. So, you could be right, but really very difficult to put a forecast on that.

Ashish Kanodia: Just one last bit is on the custom duty impact. So, last quarter, I think you called out that the total impact could be maybe between ₹500 - ₹550 crores and given that the gold prices have actually moved up, my understanding is the impact could be slightly lower than that. So, is it significantly lower to call it out separately that instead of ₹550 crores, the total impact could be lower?

Ashok Sonthalia: No, actually, that was estimate, of course, at that point of time. And the gold prices going up have very little impact on that. So, actually our current estimate, which is much more firmer is that quarter 3 may witness about ₹275 - ₹280 crore s kind of number.

Moderator: Thank you. The next question is from the line of SL from Mehta's Family Office. Please go ahead.

SL: I have one question with regards to lab-grown diamonds. In the past, we have seen something in the pearls. The pearls were considered as precious and luxurious jewellery, but, however, pearl farming changed the entire situation and after the pearl lost all its charm, is lab-grown doing the same to the mined diamonds?

Ajoy Chawla: Your guess is as good as mine, to be honest. And frankly, it is very difficult to predict what will happen. We can look at what happened in the US. So, it is very difficult to gauge. We have also had that in emeralds. We have also had that in rubies. But the same trend in play out, like it played out in pearls, I don't know. Emeralds continue to be natural emeralds, and rubies continue to be very important.

Moderator: Thank you. Next question is from the line of Saurabh Patwa from Quest Investment Advisors. Please go ahead.

Saurabh Patwa: Thanks for the opportunity Sir. I just wanted to have your thoughts on the rising gold prices and lack of commensurate pricing increase in diamonds, in fact which has been falling. Do you see rise of 18 carat and below kind of jewellery to make the products more, in terms of most of the Titan Company Limited
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jewelers, making those products affordable as well as maintain their margin for the studded jewellery. Could this be a trend we could see as we move ahead?

C. K. Venkataraman: You are asking only for studded?

Saurabh Patwa: Yes, largely for studded, Sir. That is how you will make the jewellery lighter as well as the mix for your diamond and gold. Mix could be the proportion in terms of value could be maintained?

Saumen Bhaumik: There is actually, this is Saumen from CaratLane. There is actually enough evidence, especially in the northern region and the western region, the high-value jewellery of diamond has moved to 14 carat and it has happened over a period of time and it is actually a substantial segment of the higher end of diamond jewellery.

Ajoy Chawla: So, typically, also I will clarify, most of the studded jewellery has been in 18 carat. There is a small segment of 22 carat studded jewellery only in the South, which is a closed setting, which it is called. That continues to be what it is. And 14 carat is the other bit which, in fact, most

of

Mia is 14 carat and a good part of CaratLane is also 14 carat. And now what Saumen mentioned.

So, whether 18 kt will become 14 kt as we go forward for the bulk of the market is difficult to say, because there are enough people who say, if I am buying a diamond jewellery, and especially if it is in the ₹5,000,00 plus ₹8,000,00 plus, in certain markets, they are okay. If it is 14kt, in many markets, they are saying, no, it has to be 18 kt. So, it is not a very clear trend. It is a mixed bag.

C. K. Venkataraman: Customer segments, like the point that Ajoy was making about emeralds, there is something to be said, 18 carat is closer to it being pure, in a sense and therefore, when I am buying something expensive, exquisite, I would rather have that. It is partly psychological, partly color, and all that. So, we are so much into 18 carat diamond jewellery and not 14 carat.

Ajoy Chawla: To share with you, we keep experimenting in different markets and we keep learning from it. And there is a geographic preference/ difference that Saumen also pointed out.

Saurabh Patwa: And Sir, just second question, when you highlighted there is a price fall in the solitaire, how does it work for the smaller diamonds that we use for our studded jewellery? How has the pricing been there? While selling you may not be explicitly mentioning that, but from your buying perspective, those diamonds, how has the pricing been?

Ajoy Chawla: Pricing has been fairly stable. In fact, it has gone up post the Ukraine war because of Al-Rosa sanctions, etc., and therefore, there was a certain shortage of supply. Thereafter, it has been pretty stable. There will always be deals going on here and there. In fact, we have not seen any

softness in that price in the smalls. Though Rapaport keeps publishing all kinds of data, but at the very small ones, their data reports are not really relevant. It is mostly in the solitaires where the reports are relevant. So, it is stable I would say.

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Saurabh Patwa: And lastly, just a quick clarification, you highlighted that you expect around ₹280 crores of inventory loss because of custom duty. Is this included in your margin guidance?

Ashok Sonthalia: No, margin guidance is always normalized. We have always clarified that this is one-time event. Margin guidance, normalized guidance. So, you have to account for, adjust this ₹280 crores in quarter 3.

Moderator: Thank you. The next question is from the line of Sheela Rathie from Morgan Stanley. Please go ahead.

Sheela Rathie: Sir, first question was actually just in connection to the previous question. So, what was the key reason for the EBIT margin improvement for CaratLane this quarter? And should we expect the trend to continue to improve?

Saumen Bhaumik: This is Saumen. Part of the reason is about the sales growth that has been significant. Second reason is also we have been able to hold the adjusted margin and there has been also some marginal gain that would have come through the price of procurement, etc., all these three. And the cost front, I think we have managed to contain our cost. All put together, we would have seen about 1% plus delta over last year and it is expected to be better.

Sheela Rathie: And second, Ajoy, for you, historically, you have guided us in terms of what the gold exchange for Tanishq jewellery as well as non-Tanishq jewellery has been. So, if you could update us on that number for this quarter and additionally, if you can tell us if there is a similar number which we have with respect to diamond exchange and if we have that number for this quarter, it will be very helpful?

Ajoy Chawla: I don't have a number for diamond exchange, though it is an integral part of the Tanishq exchange number which I have historically given. First on the gold exchange, which is non-Tanishq gold,

this quarter we saw a lower gold exchange, probably because I suppose people saw a good amount on gold and wanted to hold on to gold as much as they could. So, it is 3% points lower contribution than usual. And that is what it looks like. But if I discount the sale of coins, because that is like buying coins, then it is a very marginal drop in contribution, then it is only a 1% drop in contribution. So, it could be a very temporary Q2 specific phenomena. And in Tanishq exchange, significant part, not immaterial part, the material part of it comes also from solitaire exchange. That has certainly reduced, especially at the higher end. I don't have a number to give you on that. So, I am not able to share with you. But still, ballpark, we are in that 8% - 9%, sometimes it may swing to 10%, it may be 8% or 9%. I don't have an exact figure right now.

Sheela Rathie: And if I may ask, can a customer who owns diamond jewellery, studied diamond jewellery, or a solitaire, can they exchange it for gold jewellery?

Ajoy Chawla: Yes.

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Sheela Rathie: And just one final question, with respect to inventory, you attributed the customs duty related inventory loss, but will we have any inventory loss with respect to solitaire in the upcoming quarter?

Ajoy Chawla: No.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I now hand the conference over to Mr. C. K. Venkataraman for closing comments.

C. K. Venkataraman: Thank you very much everyone. So, like I started, it has been a very satisfying quarter for us from our growth point of view. And across businesses, it has been quite satisfying. We have already spoken about jewellery and the analog watch business and just spending a minute on the analog watch business, I think what the team has done and the division has done is actually focus substantially on product innovation, retailing, branding and premiumization and we expect to push the envelope on this and continue this great trajectory for many many years because this is actually a product with limitless appeal. So, that is the long-term comment on watches.

As far as EyeCare is concerned, there was no question, but I want to clarify. I want to tell you that the strategy that we started executing about 8-9 months back continues to be in full swing and the customer acquisition rate continues to be at a very satisfying level. People are so excited about the Titan Eye+ offering products, affordable fashion on the one hand, affordable progressive lenses on the other, premium frames and sunglasses on the third. So, across the spectrum, we are delivering exceptional, refined product value and building a solid foundation of growth over the next many quarters. And you will hear about all this and the results in the

quarters to follow.

The foundation of Taneira has become stronger and stronger and stronger. And we expect certainly FY26 to be a sort of blockbuster year for Taneira. We aim to take it to its rightful place in the ethnic wear industry and make it a very prominent, very respected name in that market. We are an established name in the perfume s business and doing very well in H1 . The first exclusive brand outlet of IRTH was launched in October. It is a fabulous store. All of you who live in Mumbai, please go to the Palladium Mall and take a look at this, an idea which is waiting to explode and you will see the explosion of that across the country over the next many months. And combined with the omni -potential for that category, we aim to make a big mark in the organizing, formalizing , right serving of tha t category as well. The international business continues to be on a roll . First half as well as the October season were very very exciting. We are opening stores by and large as per plan and everywhere hitting the ground running to exceptional custo

mer acclaim. And even the engineering business as one of the investors had messaged me about a week back , TEAL is also doing very well. So, overall the portfolio of Titan Company is in a very good place and thank you very much for all the Titan Company Limited
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support and confidence that you have put on us over the years and we hope to keep you delighted in the quarters to come. Thank you very much.

Moderator: Thank you. On behalf of Titan Company Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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Dear Sirs,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter and nine months ended 31st December 2024 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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Sensitivity: Internal Moderator: Ladies and gentlemen, good morning and welcome to the Titan Company Limited Q3 FY25 Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is now being recorded. I now hand the conference over to Mr. C. K. Venkataraman, Managing Director of Titan Company Limited. Thank you, and over to you, sir. C. K. Venkataraman: Thank you very much. Good morning, everyone, from this beautiful campus on a beautiful Tuesday morning in Bangalore, and it's been a very good quarter for Titan Company across the board. And we can straightaway jump into the questions that you have. Moderator: Thank you. Ladies and Gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on your touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking the questions. Ladies and Gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Aditya Soman from CLSA. Please go ahead. Aditya Soman: Hi, Good morning. So, two questions from me. Firstly, on jewellery, can you give us a sense of how you expect sort of margins to pan out? We've seen sort of a significant bump up in studded growth in the quarter. But if I look at the margins relative to the growth, at least the EBIT, growth still remains a little bit lower. So, I'm wondering if we see a further aspiration in the EBIT growth in 4Q normalized for this one-off inventory impact of the customs duty? And the second question on the Analog watches, I think, again, a very strong growth here. Do you see yourself sort of also building out sort of more lower-end Analog watches to drive faster and sort of more broader growth in that category? Ajoy Chawla: Yes. I'll go first. I'm Ajoy, I'll go first on the jewellery margins. Yes, it's been a very good quarter and for studded as well. Now what happened in this quarter is that the rate at which gold is growing, is kind of exceeding significantly the rate at which studded is going. And in our minds, we see them as two independent opportunities, and therefore we maximize growth on both fronts.

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Sensitivity: Internal As a consequence, the ratio kind of swing here and there, and that plays up in the way the GC (Gross Contribution) and EBIT margin percentages start looking like, though in absolute crores and growth in absolute dollar terms in terms of GC or EBIT is something that we are very happy with. Gold coins, particularly in Q3, which is normally very high in that festive quarter, but this time it was even further, perhaps reflective of the high gold -- interest in gold as an investment instrument given the way gold prices have been going. So that's one big factor. This is beyond the custom duty one-time impacts of -- in the quarter. The second big factor that is playing out is, there is a certain dilution in the GC percentages for studded, largely because of this unprecedented rise in gold price. I had explained this earlier in our previous call, maybe previous couple of calls I think, that when the relative weight of gold versus diamonds in the studded product category by itself changes, thanks to the price rise in gold, given the differential margins we earn on gold or stones, there is an impact of this gold price on the overall GC studded percentages. As a consequence, with spiralling gold prices, there is likely to be some impact on the line-item level GC studded. And therefore, that also shows up. So, these are the

two main factors which have played up in quarter 3, and we believe this could continue to play. It's very difficult to predict, given the way gold prices have been swinging upward even in the month of Jan and Feb, thanks to whatever is happening in the US and the dollar is going up. So, there's a lot of volatility, and therefore one can't rule out GC dilution. But we have been trying to make up some of it through other initiatives. Some of those take time to catch up, whether it is on material cost or also on overhead management. But yes, therefore, long story short, I think we can expect to be anchored around the current levels of EBIT margins. And for an annualized basis between 11% to 11.5% is what I think we are likely to realistically achieve. The absolute growth in profit and absolute growth in EBIT and GC is something that we constantly target. And we should look at that perhaps more than just the percentage. Aditya Soman: Understood. Very clear. And maybe just a follow-up on that, sorry. Ajoy Chawla: Maybe, do you want Suparna to answer your other question before that? Aditya Soman: Yes, sure. Suparna Mitra: Yes. So, your question was that, would the mainstream, the middle end of the market of watches, would it be growing? So, we are seeing, of course, very good growth in the premium segment. In our premium brands like Edge, Nebula, Xyls, we have seen

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Sensitivity: Internal more than 50% growth. But I'm also happy to note that we are seeing very good growth in brands like Fastrack and Sonata, which are in the more affordable space. And in Q3, for example, we've seen 33% growth in Fastrack and 24% growth in Sonata, which is about a lot of product and restaging and new products. So, the product strategy is working well in terms of the value and the fashion offered at those price points. Titan, which is the flagship brand, and Raga continue a very good growth. So unlike maybe a year – year and half back, when we were seeing good growth in the premium, but the economy ranges were not performing well, now we are seeing both the engines, premium continuing to do very well and even our more affordable brands are doing better. Aditya Soman: Thank you. That's very clear, Suparna. And just one follow-up, Ajoy. So, the diamond prices on your own wouldn't have come off, right? I mean, on diamonds specifically? I mean I understand the gold mix going up and the price of gold going up? Ajoy Chawla: No, we have not seen that. Whatever has happened, has happened in big stones, that too at the wholesale price level. So, we are not seeing any diamond price dilution per se. Aditya Soman: That's very clear. Thank you. Moderator: Thank you. The next question comes from the line of Abneesh Roy from Nuvama Wealth. Please go ahead. Abneesh Roy: Thanks. My first question is on the Emerging Business. Ideally for any company, emerging business should be the fastest growth. And unfortunately for you, it seems to be the slowest growth. And we have seen only 1 store addition in Taneira, and Taneira growth is flat. So, is Taneira the only reason

behind the slow growth? And in Taneira, do you need to go back to the drawing board in terms of pricing, design, etcetera? And would you go slow until you figure out what's happening there? Because in marriage season, ideally Taneira should have seen a good growth. Ambuj Narayan: Hi Abneesh, thank you for that question. Ambuj, here. Yes. So, you're right. Taneira's sales growth was flattish. But if you look at our retail growth, we grew by 30% and our buyer growth was 38%. The reason why it looks flattish is because last year we had opened seven L3 stores in quarter 3, and whereas this year we opened only one L3. And we also allowed for some inventory correction in some L3 stores. Having said that, we have also introduced a lot of new products at accessible price points across sarees and non-saree segment, which was received very well by our cu

stomers, both existing and new, and that actually brought down our AUCP (Average

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Sensitivity: Internal Consumer Price), but it delivered the required buyer growth, though I think we could have done better if we had gotten more new buyers. So that's what we are working on right now. We opened only one store in this quarter, but we are continuing to -- we'll continue to open stores. Now we are focusing more on metros and Tier-1 cities, and not going to smaller towns. So, there has been a small change in our strategy, and we would like to populate more stores in the existing and operational cities. Abneesh Roy: One quick follow-up on watches. So good numbers. So how much of these good numbers in terms of double-digit revenue growth and margin expansion is because of the marriage season? And next two quarters, also marriage season is strong. And second is, would you see the wearables declining sharply for you and industry as a blessing in disguise, because there was no big right to win there and clearly customer fatigue is also very high. And your right to win in Analog and premium is much, much superior and much stronger. So, do you see that as a blessing in disguise? Suparna Mitra: So, I'll take the first question first. Yes watches, Analog watches are very large component (in gifting). Our estimate in retail is more than 50% is for gifting. And we know a large part of that is for wedding. So, weddings do have a direct correlation, especially in the higher-priced watches. In fact, interestingly, you would imagine that watches bought for wedding / gifting are lower priced than for self, but we have actually seen there is no difference. So, wedding season does have a good correlation, and I think that, along with a slew of very attractive new products, should work in our favour. The second question is on wearables. So yes, the category was led by a certain paradigm, and of course now we see a very big correction in the category. And we are actually at the place when we are re-looking at our strategy and playing to our strength, which is a lot of consumer centricity, design, product, trust, assurance, quality, access of customers through our channel and higher price points. And I think that strategy has already started seeing some green shoots. We should be able to implement and see the results in the next, I'd say, 6 to 18 months. Abneesh Roy: So, thanks. That's all from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Avi from Macquarie. Please go ahead. Avi: Hi, team. Thanks a lot for this opportunity. So, I just wanted to kind of follow up on the studded jewellery margin aspect. So where are we in the journey for normalization

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Sensitivity: Internal of the studded jewellery margin? And how long do you see that kind of taking to kind of reach there? Because you did allude towards making adjustments in the product portfolio, and where I'm trying to get to is this 11.0% - 11.5%, when do you see it kind of moving to 11.5% to 12.0%, which is historically the margin range that we've been able to achieve on a steady state basis? That's my first question. And I'll come back to the watch segment for the second question. Ajoy Chawla: Sure. Thanks, Avi. So, I think it's actually becoming very difficult to predict how the gold rate will continue moving and how much it will continue to move. If it accelerates at the rate at which it is going, sometimes 5% within a month itself, it becomes extremely challenging. Overall, if you see over the last 1 year, it's a 25% jump in gold price. And diamond prices have remained where they are. So consequently, the weighted average material mix, material cost mix, is swinging quite a bit. And all initiatives that we can take, it's not going to swing it overnight like this. It takes time. And the product mix is also -- one is what we put out there; t

he other is also what customers prefer. So many complex forces. And I'm sorry, I'm probably giving you a roundabout answer, but GC on studded, where it will stabilize, when it will stabilize, is slightly difficult to predict. What we do look at is how the total GC growth in studded is happening or how the total GC growth for studded plus gold plus coins is happening quarter-to-quarter, year to year, and over the next 2 to 3 years. So therefore, these percentages, which perhaps play a significant role in your predictions, hold lesser weightage in our workings because we have to maximize on all fronts. And therefore, whether it's 11.0% to 11.5%, when it will move up on account of operating leverage, that question also becomes difficult because we are constantly also investing back in growth, because we are prioritizing growth given the headroom and the opportunity and the single-digit market share that we have and the formalization forces in India opportunity. We think it would be appropriate to chase growth over margins. And in a way, that has been our enduring strategy. C.K. Venkataraman: Also continuing to deliver exceptional customer value, defending and increasing share in individual cities and states and delivering a really leading class shareholder returns. So, it's actually that is the combination that Ajoy is referring to while growing. So that's the perspective you should have on that. Ajoy Chawla: And just one more element. We focus also a lot on two other aspects of growth. One is buyer growth because that is volume for us and that's very critical top of the funnel.

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Sensitivity: Internal And the second, buyer growth again by gold and studded independently. And the other thing that we focus a lot on is same-store growth because that's what really gives the kicker in many ways, even while our expansion plans continue. C.K. Venkataraman: Because one of the unusual things in this category it may not be that apparent, that while everyone by and large, at least the people that we compete with are all marked in the making charges for example in gold dissolved in percentage terms, but as the price of gold keeps rising, a 5% difference between us and another leading player, let's say, in Delhi, the 5% translates to a higher and higher amount every day or every month, every week. And it's not -- customers don't simply see it only as 5%. It is now ■ 200, ■ 500, ■ 1,000 and so on and so forth, that difference. And

therefore, we have to do a lot of juggling to continue to deliver to customer. So, it's quite a complex type of work that the business has to do to deliver to multiple stakeholders. Moderator: Thank you. Ladies and Gentlemen, we request you to restrict to two questions per participant. The next question comes from the line of Devanshu Bansal from Emkay Global. Please go ahead. Devanshu Bansal: Thanks for taking my questions and congratulations on a very good quarter. Ajoy, jewellery SSG has clearly improved from 15% in Q2 to 22% in Q3. We have not seen a secular uptick in SSG trends for other listed peers where they are either similar or slightly lower versus Q2. So just wanted to check on what corrective actions have you taken to see this growth improvement and how sustainable are these growth initiatives? Ajoy Chawla: I think we focused a lot on, as I said buyer growth is one story. And in this quarter particularly if you ask me what has helped is ticket size growth, particularly in gold because of the upswing on wedding-related purchases and occasion purchases. Even in studded while we saw healthy buyer growth -- in fact, the buyer growth in studded was healthier than that in gold, much healthier rather I would say. But the value growth in studded has also got an additional kicker, thanks to a lot of high-value studded sales, where we are seeing very good traction. We did a lot of exhibitions of special collections, red carpet, etcetera. We also did a

lot of activity around wedding collections. We had the launch of Tarun Tahiliani and Rivaah collab 2.0. And a lot of exhibitions and customer outreach, especially to these high-value customers has happened which has resulted in fairly good ticket size growth, which comes typically from repeat customers. So yes, how sustainable it is? Well, our efforts

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Sensitivity: Internal are sustainable. We will continue to put efforts, how much the customer response is also not entirely in our hands, but we continue to push both on buyer and ticket size growth even in this quarter and the quarters ahead.

Devanshu Bansal: Second, I wanted to understand this there has been a sourcing loophole that has been plugged by the government in the budget where gold was being imported in the form of alloy. Do you feel this was happening in pretty large quantities and which can lead to some reduction in competitive intensity from a gold pricing point of view? Ajoy Chawla:

Difficult to comment. C.K. Venkataraman: Since we are not part of that kind of activity, it's very difficult for us to comment.

Ajoy Chawla: Yes, difficult. I mean anything which helps prevent or reduce illegal flows of gold in the country is most welcome is what I would say. Devanshu Bansal: Understood. And otherwise, Ajoy, generally are you seeing some rationality in competition from a making charge perspective, given that gold is now being hallmarked and certain (as we discuss) major routes of gold smuggling are also being closed by the government. So, any general otherwise are you seeing some rationality from a making charge pricing perspective? Ajoy Chawla: Not so much making charge. I think in quarter 2 the gold rate -- price wars on the gold rate was quite intense. That seems to have kind of stabilized in quarter 3. And perhaps further cut on illegal imports, etcetera, might help in keeping the gold rates stable. Making charges, I think it is pretty much what it was. Devanshu

Bansal: Got it, sir. That's it from my end. Thanks for taking my question. Moderator: Thank you. The next question comes from the line of Videesha Sheth from Ambit Capital. Please go ahead. Videesha Sheth: Hi, I hope I am audible. Thank you for taking my question. The first one is on the studded -- sorry to harp on this again. But for Titan, the studded mix has been under pressure. I appreciate that it's a base effect that's playing out like gold price is driving this. But when we look at your closest peer, the studded mix has been stable for them. I understand that it might be difficult to comment on competition, but just wanted your thoughts on what could be driving this divergence. Ajoy Chawla: So, in Tanishq historically we have been

lower on the market share in gold vis-a-vis being the leaders in market share in studded. And for most of the other traditional players who are there who have been largely gold focused. And therefore, for them the

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Sensitivity: Internal market share is lower in studded, whereas relatively the market share may be better off in gold. I think these could be playing out. But we are well distributed across the country, North, West, etcetera, where studded plays a bigger role. So again, market mix could be playing a role. Very difficult to comment, but as far as we are concerned, we are very happy with the growth in both. And if gold is growing fast, which means we are gaining market share which is actually very good for us because it's playing out exactly the way we want it to play out. So again, the absolute growth in individual segments is perhaps more important to see than seeing the share as a percentage, which is a win-loss in our calculation.

Videesha Sheth: Understood. That helps. And second was just two small questions on CaratLane. First one was just a clarification that do you stick to the potential guidance for CaratLane which was given out duri

ng your annual investor meet and how do you see the trajectory moving along? Management: Hi, we will just open Saumen's line for answering it. Just a second. Hi Saumen Sir, you may please answer it. Saumen Bhaumik: Hi this is Saumen. I think last two quarters have been good. Last quarter in particular we had good revenue growth and that actually the single largest factor and we I think managed our overall cost quite well, despite the dilution in margin which is because of customs duty and gold rate increase. The impact of these two has certainly made our EBIT percentage a lot better. That is a bit of Q3 phenomena. It is not significantly different than previous year also. So overall the effort will be in that direction to keep EBIT percentage rise, but this is only one quarter. I think we'll look at quarter-by-quarter as it progresses. Videesha Sheth: And the second is on CaratLane. Is it possible to share the catchment growth for 3Q or the 9 months given that SSG could be depressed due to higher store density? Saumen Bhaumik: I didn't get your question, please? Videesha Sheth: Is it possible to share the catchment level growth for either third quarter or 9 months given that SSGs could be depressed due to the higher store density, the cluster level growth or the catchment growth? Saumen Bhaumik: Our overall growth in quarter 3 has been quite good. And I can give you some indication of our like-to-like store growth which is also very good, the 16% in quarter

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Sensitivity: Internal 3 and previous quarter is 21% which is significantly higher than what happened in the previous four or five quarters. Videesha Sheth: No problem. I will circle back. Thank you. That's all from my side. Moderator: Thank you. Ladies and Gentlemen, we request you to restrict to two questions per participant. The next question comes from the line of Sheela

Rathi from Morgan Stanley. Please go ahead. Sheela Rathi: Thanks for taking my question. So, my first question was you sounded very optimistic on the trends which we have seen this quarter. So, any callouts here in terms of geography-wise performance and Ajoy you also mentioned that buyer growth is important for us. So, what is the mix of new buyer and existing buyer growth? And is there a diverging trend in studded and gold jewellery buying for a new buyer and existing buyer and is it fair to say that when you buy gold coins, it's generally the new buyer who is buying more of these gold coins because you also said that we had some very strong trends there. That was my first question? Ajoy Chawla: Yes. So geographically for the quarter, South and East have grown faster than the national. North which was a little subdued in quarter 2 has bounced back very strongly for us. And West has been even, I would say, because there are some markets which have done very well and some markets are still a little subdued. So broadly that's the region wise split of growth. We are seeing Tier 2, Tier 3 towns do better than the top metros, but then that has also been a thrust for us over the last several years and so much expansion have happened across all these markets, but yes overall that is there, aspirations are high. In terms of new versus repeat for the quarter 3 that was -- that we declared results for, 48% new and 52% repeat. That's pretty much the pattern which was there even last year in quarter 3. Typically, in festive quarters there is always a lot of new buyer activity because many more buyers enter the brand for us. Now gold coin is not necessarily a new buyer oriented (phenomena). I would say gold jewellery has been because that's where we want to gain share by going deeper into regions or by simply seeing so many people are already gold buyers. So, they -- it's easy for them to migrate to Tanishq from an unorganized space into gold first. Studded is something which happens later, but of late, if I were to look at the last 1 - 1.5 years, among

st a certain segment of customers, let's say, younger, modern, maybe more urban, top towns we are seeing enough new buyer growth even in studded, though largely under the sub ₹100,000 price band and segment.

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Sensitivity: Internal And this happens across Tanishq, CaratLane and Mia. And perhaps the many players which are there now in this new age space, new age competition I'll call them, which are mainly studded everyday wear, that is something which is emerging as well. So, in a way new buyer growth comes from both studded, but mostly in studded on the modern everyday wear jewellery and in gold it is more in the traditional space where we are gaining market share. I mean, broadly, that's way to look at it. Coins is something which is investment buyer. It could very well be an existing Tanishq buyer. There is no such pattern of new and repeat. Sheela Rathi: Understood. And my second and final question is, I mean, Venkat made the point on how on a monthly basis the trend change on the pricing side and currency. I just want to understand how should we think about the competitive landscape? Is it a monthly affair, a quarterly affair, in terms of the trends which you see especially from the independent and regional jewellers or is it more like a regular phenomenon where you can see a trend and that doesn't change very quickly. And also, if you can just guide us on how the landscape has been especially in the recent quarter? Ajoy Chawla: Competitive activity, yes, of course, I mean all of us know and you would also obviously have it in the back of your mind is a daily affair. I mean everyday things can change, but we review it. So operating teams review it weekly to see what's happening. It's fairly dynamic. I look at it monthly. And perhaps at Venkat's level and at the Board level it is a quarterly review. So, we tend to review it at certain periodicity. It's difficult to answer whether it remains stable. It depends on so much activity. But as we see it right now at an aggregate level, I think the high levels of competitive intensity have been continuing for a while now, and we see that to continue. Okay. player A may get replaced by player B, player C may come in. Some new unorganized guy may suddenly become very active, or a new player may get launched in the market while an existing player may run into some trouble, etcetera. Those are just incidentals. We watch them, but frankly, we focus a lot more on the customer and see what we can try to win the customer. The competition is incidental. Moderator: Thank you. The next question comes from the line of Jay Doshi from Kotak. Jay Doshi: Hi. Thanks for the opportunity. My first question is on demand. You've had a good 25% growth for the past 2 quarters. Do you think that kind of growth rates can sustain for a few more quarters, especially because gold prices are up 25% - 30% Y-o-Y. That's my first question. Second is on this 11% to 11.5% EBIT margin guidance. Is it at a consolidated level for jewellery business or a stand-alone level?

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Sensitivity: Internal And third is, although you did mention about that your focus is on driving the absolute EBIT growth in the jewellery business given that gold price increases are much ahead of expectation, so you are overshooting on the growth plans versus what you had given guidance at your investor meet. But at the EBIT level, EBIT growth, what is that target in your mind that you sort of are internally sort of thinking? What's the right EBIT growth now that one assumes that margin seems to have settled or stabilized at a level? So those were my 3 questions. Thank you. C. K. Venkataraman: I'll start answering the first question. Amidst all the consumption pressure -- private consumption pressure that we see all around company results what is getting covered a lot, if you were to sort of separate the upper middle class, t

he upper classes, and the really affluent versus the middle class and below in that, we see both, if you see sector performances, those of you who may have aggregated sectors and seen. That points to a marked difference in sector performance. Those which are catering to the upper middle class and above, like Titan company is, is performing better than typically mass-market volume kind of sectors. Why is that? If you look at the long-term trend, which is sort of visualized by FY30, so top 2 income segments are expected to grow from 13% share in, I think, FY21 to 26% share in FY26. So, it's a secular trend that is reported that will underscore the per capita GDP moving to the US\$5,500. And the real concrete stuff relating to that is if you just see calendar 2024, there is a ₹75 lakh crore increase in the market cap in the country. I mean that's a hell of a lot of crores of -- lakhs of crores of market cap, which is obviously in the hands of a few crore people. And of course, FIIs and all that, but certainly a few crores of people, the wealth effect of those people is certainly one aspect. And if you look at, for example, the change in the number of income tax payers, below ₹5 lakhs between 2014 and 2024, it's about 2x, whereas the number of income tax payers from ₹5 lakh and above, it is 4.2x. So clearly, I mean, the inequality rising is one consequence of that. But clearly, from a consumption point of view, these classes of households are in a much better position. And the role of inflation, which is substantially staples, grocery, to some extent rent maybe, the role of those in the

total income is low. So their incomes are rising very highly. The costs are not rising to that extent. And wealth has risen substantially. Therefore, both abilities to spend as well as the safety net the wealth effect provides. So, these are the reasons why companies like Titan continue to do well. And of course, on top of that, we have another advantage of being a strong jewellery industry company, and the price of gold is another reason for people to -- even people with less

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Sensitivity: Internal money -- to actually convert money into gold. So, these are the long answer, but these are the significant factors. Jay Doshi: Thank you. Sorry if I may... Ajoy Chawla: And just weighing in on the gold -- you said gold price and this thing -- currently there is a fair amount of volatility on gold price. And therefore, during a very volatile period, consumers also kind of become a little cautious. But other than getting caught in the noise -- see, this year, quarter 1 was subdued. And we saw the bounce back in quarter 2 and then there was a Shraddha effect quarter 2, quarter 3, a lot of quarter-to-quarter volatility. My suggestion is look at the last 3 quarters consolidated level, and then you will probably get to a more normalized understanding. Similarly, even on studded, look at how Q2 plus Q3 played out, it gives you a better understanding of how things could play out, because very high growth rates may not be so easily sustainable, but rolling basis, it might be good. C. K. Venkataraman: The other thing I forgot to share; Titan is one of those few companies which has got an exceptional 'tech touch' aspect with respect to its customers. Our total customer database exceeds 4 crores today. And a very good part of these 4 crore customers are personally known to our staff, their milestone events in their lives, their purchase history, all that is known through our CRM system. Therefore, our ability to connect the customer with the right trigger at the right time is really benchmark level, which many other companies lack, and therefore we end up getting that share of wallet a little more easily than others may be able to. Jay Doshi: Sure. And sir, my question on margin? Ajoy Chawla: Yes, margin is on a standalone basis what we gave, 11% to 11.5%. Consol I am not giving. Moderator: The next questi

on comes from the line of Amit Sachdeva from UBS Group. Amit Sachdeva: Hi. Good morning and thank you for taking my question. A good set of numbers in jewellery. My question is, I mean, alluding to your conjecture on that, there's a price war of some sort which emerged in gold price. And given that context, I think 28% in secondary growth, and you know, 25% kind of jewellery growth seems very impressive. And so, congratulations for that. The next question is that is it -- if the market is now in new pricing equilibrium of some sort that you're comfortable growing in that context?

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Sensitivity: Internal Or incrementally as the gold price is very volatile, now this frontier of so-called price war can shift into making charges? Because as the gold price increases, somebody can obviously theoretically offer discounts on making charges and this results in another reaction and another reaction. So, I just want to understand, as we grow at the margin in the marketplace, the linked question is that do you feel comfortable with pricing equilibrium that exists between the organized players? And regional players which are sort of -- compete with you? That's question number one. Ajoy Chawla: So, a tough one to answer. Our attempt is always to keep that premium between us and competition. It is not just unorganized. Even with organized players, we have a premium over them. And it's a perennial push. I think a lot of that has to do with what we do on the ground as well as the investments we do in the brand as an air cover. So, it's an ongoing thing. I don't think there is anything -- Amit, I don't know whether you can say there's stability in competitive intensity on pricing. I think it is an ever-increasing spree, and therefore our efforts are also in that direction to see what we can do between product mix, between better sourcing, between working on minimising gold loss, GC max, a lot of execution, which kind of helps us stay afloat, including even good strategies on hedging and spot buying versus gold metal loans. So, there are many variables at play, and that's what helps us to try and keep -- so our aim is to try and keep GC stable on a longer-term basis, but competitive intensity, there is nothing like stability, I would say. C. K. Venkataraman: Just -- I don't know whether we would term it a price war. A very, very dynamic price situation, yes. And because of multiple types of competitors across the country, the complexity of that, apart from the daily fluctuation, has also risen. And therefore, our ability to remain agile, that has increased -- has to increase, even continue to be there. But it's not a war, because a war would mean you're actually fighting with somebody every day. I think it's the gold prices, because it is changing every day. Amit Sachdeva: So, in that sense, can I ask for how the Q4 is evolving so far, and studded to gold, and could you comment on that a bit? And...? Ajoy Chawla: So, we started very well in the first few weeks of January, first 2 to 3 weeks. And then suddenly after many exciting developments in the international, especially US, has created a lot of excitement on gold price again and dollars. So, everything else is dynamic. I think there's a lot of noise right now. I mean it's actually very difficult to predict how Q4 will go because the next few weeks and how much is posturing, how much is real.

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Sensitivity: Internal Then the gold moved from London market to Comex because of anticipated tariffs, suddenly there was gold shortage in the market last 1 week. And gold metal loan price -- interest rates are also fluid. Banks themselves don't know what to do. So, this is a little bit of mice. Difficult to predict how this quarter will go. It started off well, then it kind of hovered somewhere. And right now, I think a lot of customers are also thinking, let's see where this gold pri

ce stabilizes. But if it doesn't come down at all, then people may think it's better to buy right now rather than wait. So difficult to predict. We hope that we are able to sustain some kind of growth rates that we have seen between -- cumulatively between all the quarters put together, or at least quarter 2 plus quarter 3, but slightly difficult to predict. But longer term, we are more confident. C. K. Venkataraman: And what I would add, Amit, is that what the division has done in the last 4-5 months, particularly, to stay on top of the game in all parts of the business is what is actually also in delivering the kind of growth that we got in quarter 3. And therefore, from a customer value point of view as well as a competitive point of view, to the extent we need to compete like that, I think we are in a very good place. What Ajoy is talking about is completely outside our control, outside anybody's control, frankly, of an external situation, which is early days and it's playing out with so much intensity because it's just a week, 10 days into that situation. I think in other 10 days, 2 weeks, a lot of dialogues are going on across

the world between various people. I'm sure all that will settle. And the intrinsic competitive advantage of the brand and the division will start extracting the natural value that we deserve. Amit Sachdeva: Got it. Thanks so much for taking this. My second and my last question is basically -- is a business model question. Given so many moving parts are there, studded mix, diamond pricing, customers' willingness to pay diamond, to gold price volatility and competitiveness, all forces are sort of coinciding at the same point. But the question then is that as you look to maximize revenue growth and keeping the margin in a respectable zone, which is now 11% to 11.5%. My question is, would you have sort of threshold margin that, at a business model level, we will not go below, say, 10%, and that's the margin is the lowest for us and we design the economics around that? Or is it something that threshold doesn't exist and you will maximize it. But how one should think about what could be floor of that strategy and what could be the cap on that strategy? Ajoy Chawla: Yes. So okay, I'll take that one. So, first of all, we don't look at margin at the quarter level. We look at annualized because of the seasonality shifts, etcetera. And frankly, Titan Company Limited February 05, 2025

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Sensitivity: Internal in my mind, at least, to me, 11% is a little bit of a threshold that is going below 11% would not feel right to me, unless it's a very extreme situation, what we had during COVID or something, totally wild and unpredictable. But by and large, not going below 11% on an annualized basis is for sure my threshold. I don't know how much leeway the Board or Venkat will give me. Amit Sachdeva: Got it. Fair enough. That's very helpful. Thanks a lot. Moderator: Ladies and Gentlemen, in interest of time and fairness to others, we request you to restrict to one question per participant and rejoin the question queue. The next question comes from the line of Tejas Shah from Avendus Park Institutional Equities. Tejas Shah: Hi Good morning. Thanks for opportunity. Couple of questions on jewellery. So, in our channels, we are seeing that a new competitor is securing good locations near our stores. Now our store performance in this area is in line with division's average or weaker. And I just wanted to check, Ajoy, on your previous comment? Have we tested removing our gold price premium? And wherever we would have done that, does our consumer or customer recruitment actually goes much higher than the average? Ajoy Chawla: So, I'll answer the second question first. Yes, whenever we have brought down the premium on our gold prices vis-a-vis our, let's say, most relevant competitor in the market, we have seen customer acquisition becomes much easier. Takes out 1 question out of the equation. And we've seen

en that in certain regional markets. We've seen that in certain other markets wherever we've done that. And in a way, over a period of time we have rationalized gold rate markup premiums in the last 5 years. It has been a sustained year-to-year effort and quarter-to-quarter effort, and we've migrated those towards either making charges or product mix. The first one, wherever a new competitor has come and has opened a store next to us, it's difficult. There are pluses and minuses. There are gains and losses. What we do is we also have a pre-emptive strategy, the competitive strategy, in which we know when the competitor is opening, and therefore we go out of the way to strengthen our product mix. We do a lot of work on repeat customers. We up the presence and amp up the visibility of the store in that market. And by and large, we feel that we've been able to blunt that. But there are stores which might be, let's say, intrinsically needing a bigger location

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Sensitivity: Internal or, let's say, the operational effectiveness of the store has been a little question mark. In those markets, in that particular store, we do see an impact. But by and large, we've been able to actually grow well, better than what we would have grown, whenever we put in the right investments and proactive approach. That's been our approach and that's a separate part of our on-ground competitive strategy. C. K. Venkataraman: The other aspect we need to keep in mind is not all the players in the jewellery sector are competitors to us. There are many in the news, not all are competitors. We know who our competitors are because the customer conversations, the customer value proposition, all that tell us that, and we keep an eye on them, not an eye on everybody. Tejas Shah: Got it. And second and last, one source of volatility coming from Trump tariff is also that we picked up from media news item that gold lease can actually get impacted globally. So, any early read through there? I know it's volatile, but any read through there? Ajoy Chawla: Vijay, you can answer. Vijay Govindrajan: Yes. So, one of the things that we are seeing is in the last 1-month phenomena is a slight increase in the gold on lease rates indicated by the banks. But again, there is also a supply situation that they are also trying to address. So, we need to see, therefore, over the next few months how the supply situation of gold plays out and, in that context, how these rates finally stabilize. But definitely the initial indications are that the gold on lease rates could go up. It's just that we need to wait for a month or two to understand how the supply, and therefore the pricing, will play out. Ajoy Chawla: And just to add on to that, even if they do play out, we have other levers on hand to kind of manage it between spot, and we are also operating through GIFT City, and many other levers are there for us to kind of manage that mix between gold on lease and spot, and exchange, of course, continues to be a very strong driver for us. Tejas Shah: Got it. Clear and all the best for the coming quarters.

Moderator: The next question comes from the line of Kunal Vora from BNP Paribas. Please go ahead. Kunal Vora: Are you seeing any impact of the LGD stores which are coming up? I know on a national level there will not be any impact. But like in specific locations, for example, Borivali, I see that there are 8, 10 stores, LGD selling within kilometers from Tanishq

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Sensitivity: Internal and CaratLane. So, are you seeing any impact on those stores in terms of studded business of Tanishq or on the sales of CaratLane? Ajoy Chawla: See, one way for -- the way I look at it is I see it as a portfolio play between Tanishq, CaratLane, Mia and the rest of the market. And as far as we are concerned, we are seeing fairly good buyer growth continue in studded in the sub-100,000 se

gment, which is where most of the LGD players are playing. So as of now, we have not yet seen that impact. But in specific markets like Borivali, I'm not able to answer right now whether in Borivali market we are seeing some impact, because I'll have to see a portfolio play for Borivali market for all our brands, because we've also expanded with a multiple portfolio play. But so far, even the spot checks that we do at Mia store, CaratLane store and Tanishq store, customers at least have not commented, "Why are you not keeping LGD?" Many of them continue to say, I hope your diamonds are all natural, and by

any chance do you have LGD, or it is only natural? There's more clarificatory questions that we are getting. But you're right, we can't be sure how these things play out. So, thanks for sharing this sharper question. We will -- I will identify certain markets and keep a close track on it. Kunal Vora: And second quick one on the new income tax change, there will be higher disposable income, and it also looks like more people will be willing to disclose slightly higher income, maybe instead of 7,8 lakhs, like 12 lakhs. Do you see this benefiting the organized jewellery? Do you think showing PAN card has been an issue for certain customers? C. K. Venkataraman: I think it will benefit the whole consumption sector, not just the jewellery sector. Of course, we will get our due share of that. It is certainly a welcome move from multiple angles. And I'm sure our confidence in the FY '26 growth got another additional boost four days back. Ajoy Chawla: And PAN card, who don't want to show PAN card are really the very, very rich. I'm not sure how this plays out. But I hope what Venkat said is benefiting us. Kunal Vora: Understood. And like many would not be having much of reported income. So at least the reporting level also could go up from the business class? C. K. Venkataraman: They are betting on that, but even the ₹1 lakh crores becoming ₹2 lakh crores in total because the multiplier and all should flow. The due share should flow to us. Moderator: The next question comes from the line of Harit Kapoor from Investec.

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Sensitivity: Internal Harit Kapoor: I just have two quick ones. One was on -- so if you look at all your format performances this quarter, so it's probably the first quarter in 7, 8 quarters where everything in terms of sales value growth has been in double digit, and even the 7, 8 quarters back had a low-ish kind of COVID base? Apart from your internal initiatives that you've articulated on this call, I mean, do you believe that this -- the segment price points that you're operating at in jewellery, and even some of the mid-premium, etcetera, on Analog watches? There is demand trends have -- I won't say inelastic, but they have been significantly more stable and likely to continue to be so as compared to a lot of other consumption spaces? Because this dichotomy of double-digit growth across your formats is something that you're not seeing in most other consumption spaces? C. K. Venkataraman: Very much so. So, the one big thing is this segment of sort of premium to the inflation, low wage growth, maybe even job losses and all that. And that's in our favour. That's the first. The second is, in multiple categories we have low market share. And the formalization acceleration is to our advantage, which many other companies across sectors may not have. The third is overall strategy as well as execution has improved, particularly in some of the new businesses. And you saw a Ambuj clarification about Taneira that was reported actually hides a rather better picture on the ground in terms of offtake. And even internationally, I mean we didn't speak at all to the question, but if you look at the international growth, it's exceptional in GCC and North America, so I think it's a combination of segments which are in our favour, and the growing in income as well as

the numbers, the market share opportunity continues to be strong for virtually all our categories. The assets on the ground, because we are a unique company with more than -- our 90% of our sales is EBF. That's a very rare situation and a very strong brand, very strong partners. We have 1,000 partners across the length and breadth of the country. No company can boast of 1,000 people with fire in their belly as well as in their hearts, and actually driving the performance of the company that we all boast. That is -- we can't even gauge the power of that, right? And of course, the 'touch tech' things that I spoke of, the customer relationship, knowledge. Therefore, certainly we see a long runway on this thing.

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Sensitivity: Internal Harit Kapoor: Second was CaratLane. On last 2 quarters, on a Y-o-Y basis, the margin expansion has been very strong. Would you attribute this largely to strong same-store sales growth, strong like-for-like growth which has come back, which is driving operating leverage? Or what are the other factors kind of play into this? C. K. Venkataraman: Yes. Saumen, you can now answer. Saumen Bhaumik: Last 2 quarters, I think we tried a lot more on the sales growth, and there are very many things that we did in the space of product newness as well as some tweak in the way we reach out to customers and talk about the marketing media mix, but little experiments that we have done. All that has worked in our favour when it comes to the revenue. On the other hand, we also kind of looked back at productivity, and we kind of managed our multiple elements of cost quite well. I think these are the 2 things that I would say the key factors that has expanded our performance in terms of profitability, profit margin and so on and so forth. Moderator: The next question comes from the line of Vivek Maheshwari from Jefferies. Vivek Maheshwari: Just one question. When -- you mentioned about diamond prices being stable, but when we talk to industry players, my understanding, and correct me if I'm wrong, but through the course of the last year and second half of this quarter, the diamond prices actually continued to slide down. Is that understanding not correct? Ajoy Chawla: I think the players we are speaking of are talking about wholesale prices in dollars, and largely for the U.S. market and big stones. Mostly, they are all big stones. So, when it comes to small stones, which is, by the way, the bulk of our studded jewellery, there is a very different outlook and reality. The other piece here is, as far as we are concerned, any efficiencies in buying at reasonable prices, etcetera, helps us. But from a retail price point of view for what we are selling to the market, it has been stable. So, a lot of that gets covered in narratives and by diamond players and many other things they're talking about, they're really talking about their selling prices of the rough, and -- or -- sorry, they're buying prices are rough and they're selling prices of big stones at wholesale level for international and domestic markets. And the things they quote Rappaport, Rapnet, etcetera, frankly, the reality is at the price you buy from them versus -- and the price you set in the market. So, it is from that context I was saying as far as we are concerned, we are seeing fairly stable prices in diamonds.

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Sensitivity: Internal Vivek Maheshwari: Got it. And just a follow-up. So when you talk about in the last few years you have taken efforts to, let's say, bring some level of clarity with the -- on the gold side, in case of diamond, is there a micro market need to also look at, because there aren't that many players in the market on the diamond side? So how do you ensure that you are competitive? Or, given that you are, like your -- you face very little competition, you in a way determine the price of the jewellery, the studded

jewellery? Ajoy Chawla: No. Nothing like we determine the price. Market is full of players, there are enough players today in the market, new age as well as existing traditional players who are doing strong work on studded. All I would say is I think our focus has been on continuing to build brand desire for Tanishq diamonds and newness of designs and all the things that Venkat spoke about, just in the preceding answer. So really, it's a question of maintaining an edge on product and brand superiority and customer experience that really helps us. Vivek Maheshwari: Got it. And last bit on this one only. So, Sir, is -- so with a particular piece of studded jewellery, will it -- the price will be the same across the country, or it can change based on the micro market and the competition in that market? Ajoy Chawla: No. It's the same across the country. Moderator: Thank you. Ladies and gentlemen, due to time constraint, we take that as the last question, and we conclude the question-and-answer session. I now hand the conference over to Mr. Ajoy Chawla, CEO of Jewellery, for his closing comments. Ajoy Chawla: Yes. On behalf of Venkat, who had to step out for an urgent call, I would like to thank all of you for all the challenging and exciting questions that you'll keep asking us. Until we see you next time, bye. Moderator: Thank you. On behalf of Titan Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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Dear Sir/ Madam,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Audited Financial Results (Standalone and Consolidated) for the fourth quarter and year ended 31st March 2025 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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MANAGEMENT: MR. C. K. VENKATARAMAN – MANAGING DIRECTOR, TITAN COMPANY LIMITED MR. ASHOK SONTHALIA – CHIEF FINANCIAL OFFICER MR. SWADESH BEHERA – CHIEF PEOPLE OFFICER MR. AJOY CHAWLA – CEO, JEWELLERY DIVISION MS. SUPARNA MITRA – CEO, WATCHES & WEARABLES DIVISION MR. RAGHAVAN N S – CEO, EYECARE DIVISION MR. KURUVILLA MARKOSE – CEO, INTERNATIONAL BUSINESS DIVISION MR. AMBUJ NARAYAN – CEO, INDIAN DRESSWEAR DIVISION MR. MANISH GUPTA – CEO, FRAGRANCES & FASHION ACCESSORIES DIVISION MR. SAUMEN BHAUMIK – MANAGING DIRECTOR, CARATLANE

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Moderator: Ladies and gentlemen, good day and welcome to Titan Company Limited's Q4 & FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand over the conference over to Mr. C. K. Venkataraman – Managing Director, Titan Company Limited. Thank you and over to you, sir. C. K. Venkataraman: Thank you very much. Good evening, everyone. It's wonderful to meet at the end of a wonderful quarter. Performance very satisfying across segments, across countries. And clearly, when despite the surround being challenging, whether it is gold rate on the one side or pressures on discretionary consumption, I think the innovation engines of Titan Company, execution

excellence on all fronts, assets in the air, on the ground, partners of exceptional caliber, deep and wide across the world now, and the tens of thousands of what we broadly call Titanians putting their heart and soul into everything that they do has delivered a very good performance, very satisfying and over to you for the questions. Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Manoj Menon from ICICI Securities. Please go ahead. Manoj Menon: Hi. first of all, good luck to Venkat for all the future endeavors and good luck to Ajoy as you take on the new role. Good luck and God bless to both. Couple of questions from my side on the jewellery business. One, given the incessant sort of price increase which you have seen in the gold commodity, just some snippets from you in terms of your research as well as anecdotal evidence on what the consumer telling you, right? So is the consumer cutting back on the volume side of it, is the consumer asking for more 18 carat? And more importantly, how do you see this evolving and what are the plans in place? That's the first one. Ajoy Chawla: Thanks, Manoj. Just reminding you that this is effective 1st Jan. So we have still way to go. But, thanks for your good wishes. And answering your question on what the consumer is saying, so 2-3 things are coming out and I am seeing this now for the last several months. As gold prices have kind of clipped up so sharply, we are seeing in the sub ₹50,000 price band, very specifically, more in gold and little bit in studded also, there is an impact on the consumer sentiment there. Now some of it is us vacating price points because simply gold price goes up, the same product goes into a certain higher price band. That is one part of the story. But there is

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continued, let's say customer sentiment in that lower price band where we are seeing some buyer being a little reticent. Second piece is yes, customers are more open to 18 carat gold, though we don't really have the full information as yet. We have just launched some collections in 18 carat gold in certain parts of the country for traditional customers as well and we hope that we will see good response. And I know that in CaratLane, we have launched something in 9 carats as well. So there is early traction and I think more and more customers are going to be open to lower caratage simply because the price point has become quite a bit. On the higher price bands, while there is buyer growth, we are seeing some of the customers actually scaling down the complexity of product they are willing to buy. So it means that if earlier they were open to buying a higher making charge product, they are sliding down a bit, but they are still buying a certain quantum of gold and a certain value. So there is some indications there. And if I were to answer your question on what are

customers telling us in terms of our conversation, they certainly are feeling the pinch and therefore they are looking for solutions both on terms of lightweight jewellery, lower caratage jewellery as well as probably lower making charge jewellery. So, you know, they still want gold but they're looking at how they can manage it within their budgets. Manoj Menon: Understood. Thank you, Ajoy. Just one quick follow up and then I will have a second question. So the quick follow up here is if let's say in a hypothetical scenario because end of the day gold is just a commodity, if gold corrects 20%-30% and probably stays there, I know that it may not last for long. I am not taking a commodity view here. In the interim consumers may have moved from 22 (carat) to 18 (carat). Does it have some sort of, let's say an impact on your medium term, absolute revenue situation? Ajoy Chawla: Actually, we would welcome any gold price correction because a lot more customers will come in the market. Evidence of that was seen when the Finance Minister had reduced their duties last year and so many fence seaters kind of just jumped in. So it's the best situation to be in. It also helps us improve margins actually on various fronts. So actually we would welcome it and any value or ticket size drop being compensated by a jump in number of buyers is a fabulous situation to be in because we can cultivate them. Manoj Menon: That is fair one, sir. And quickly on the second one. As I understand the diamond prices, let's say in the wholesale market has declined materially over the last few years, whereas in the retail market, it is probably flat. Now I am thinking from a consumer point of view who let's say bought diamond from any jeweler 2-3 or 4 years back with an explicit or implicit understanding that I can actually come and exchange it at the market price. Now, is there a situation where consumers are coming and looking for an exchange and realizing that my diamond prices are not inflated at all, where gold and does that have any implication for let's say what he or she is buying today in an exchange? Is he preferring more gold over studded or diamonds rather? Ajoy Chawla: So one clarification that there are different behaviors in the Solitaire segment and specially the bigger sizes, 1 carat, 2 carat plus and then smaller carat sizes in Solitaire and then the small. More than 90-95% of studded business is non-Solitaire which means they are small. Have the

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prices really come down in wholesale market or in retail? No. In Solitaire, there's a different story. One carat plus, two carat plus in the wholesale, they have come down. But if I were to go back five years ago, somebody has bought vis-à-vis 5 years ago, the price has not really, I mean, it went up and it's come down. So the index, it's really difficult to kind of mathematically conclude it because it's to do with the type of diamond - fancy shaped, big, small spec, VVS, there are simply too many elements, but I am just giving an index feel to it. So this is at the wholesale level also and in retail certainly anybody who's bought diamonds from us from five years back is not going to experience a drop. They may say okay it's not really appreciated much. But somebody who's bought it 2 years back may think that the price has come down but actually that is more narrative in the media that he might be reading whereas when she comes to the store she may say there may be a 5%-6% impact. But coming to the question you asked because of this, let's say narrative or otherwise, if this perception exists are people saying let me go to gold, there is a bunch of people who are saying especially the high carat Solitaire buyer and there's a very small number by the way in the entire year that we sell to them. That customer has become a little wary of using the Solitaire big stone as a means of investment and therefore because the price volatility thing let's see

where this settles and let's see if it starts firming up. So they are holding back. Are these guys going and buying gold? Some of them may be doing so. I don't have exact data to correlate. But we do know that some of our high lifetime value customers are all feeling gold is certainly the flavor at this point in time. And they have no hesitation in buying gold, whereas they may have some hesitation in buying the Solitaire. On Studded, small stones, I don't think this story is at all playing out the way we might be imagining. And that is more than 90% of the studded. So different stories sitting here and different kinds of segments

and very, we are also leveraging that. And by the way, on the Solitaire side, smaller stone sizes, we are seeing a whopping increase in buyers. And at overall level, studded buyers is outpacing gold buyers, whether Solitaire or otherwise. Not now, but the last two quarters and it carries on into this month. April month also it has been that way. So actually, at a buyer level the story is different from the value level that we are seeing. I don't know if I answered you or confused you but I am just giving you 3-4 different insights. Manoj Menon: And I will have to listen to the transcript once again, sir. Thank you and good luck. Moderator: Thank you. The next question is from the line of Avi from Macquarie. Please go ahead. Avi Macquarie: Hi Yes, I just wanted to spend some time on the jewellery margin. Could you please help clarify this overhead management which you carried out this quarter and how sustainable are these gains? Essentially, the context is that despite a weakening mix, you have seen almost 12% standalone EBITDA margin and hence is there an upside possibility to that 11% to 11.5% range that you were indicating in prior to this quarter? Ashok Sonthalia: Avi, Ashok here. Actually 11.9% if you think about domestic jewellery business, it's kind of 11.6%. You can see in our disclosure that there has been higher primary for international Titan Company Limited May 08, 2025

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business and they had some positive impact on the reported number. But 11.6% nevertheless had element of, small element of operating leverage as well as some hedging gains sitting it. Whenever robust growth happens, some element of operating leverage coming in the jewellery business is quite normal and which has happened. So it is not that extraordinary effort to squeeze out the normal cost which we need to invest for the growth of the jewellery business. It is just the scale going up for last 2-3 quarters has given that benefit. Of course, we have been mindful of what cost we are incurring and how we are incurring but it is combination of operating leverage as well as some hedging gain which you are seeing that studded ratio is slightly lower but still we are able to deliver. As far as coming to 11% to 11.5% margin guidance, I think that stays. We are not guiding you for any upside. Considering the uncertainty of gold prices and many, many uncertainties for future, 11% to 11.5% seems to be more reasonable to think about. Avi Macquarie: Got it, Sir. Fairly clear. Sir, and the second and last bit is on the demand side. Now, you did clearly allude towards the consumer behavior asking for more value, more making charge, and we have been able to deliver that in this quarter as well, it seems like. Now if I were to kind of look at this going forward for FY'26, how would you parse the growth? Are you in a scenario where the last year is giving you confidence of upwards of 15%, if you could give some sense on how should we look at the next year? That's all from my side. Ajoy Chawla: Sorry, what is 15%? Avi Macquarie: I mean, sales growth, sorry, jewellery sales growth. If you were to look at your earlier mid-year targets and what kind of is expected for the next few years on a simple average basis, it does imply the upwards of 15% to reach that 2.2x-2.5x. And that's the context where I was coming from. Ajoy Chaw

la: That's the derived figure. Okay. So I think demand outlook has been driven especially in this last quarter and even to an extent in Quarter 3 by the average ticket size growth which has certainly been influenced by the increase in gold prices and therefore buyer sentiment and buyer growths have been rather muted. Now how this will play out as we go forward very difficult, but certainly from our end we continue to target high double-digit growths, whether it comes in value, whether it comes out of buyer or ticket size or a combination of the two that is a very quarter-to-quarter fluctuating scenario, very difficult to predict. But certainly, we are targeting and we are preparing and aiming for these high double-digit growths. What turns out, of course, depends on the situation. Avi Macquarie: But, do you see international at risk because of this tariff talk, etc. or is that not anything to get so much to be bothered about? Ajoy Chawla: Diny will try and answer that for you.

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Kuruvilla Markose: Hi, this is Diny here. Tariffs, as of the way we are seeing things now in both in the US market, it's not really cost any significant thing, but that we have not taken any price increases as yet. We're waiting. We will watch how the whole situation unfolds and then basis that depending on what competition also does, it's quite likely that if tariffs go up, then we will take price increases. How that's going to play out? Will it mute demand? At this point in time, the view would be that it doesn't look likely. And it also looks like between India and the U.S. the bilateral trade agreement is progressing well and it looks that we will reach some kind of an agreement on that. Trump has just announced that he struck a deal with UK first and since India has already done a similar deal with UK, India and the US doing a deal looks quite likely. Avi Macquarie: Got it, fairly clear. I will come back in the queue for the other questions. Thank you. Moderator: Thank you. The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead. Videesha Sheth: Hi, good evening team. Thank you for the opportunity and congrats on numbers. My first question was on the competitive landscape. Last quarter you had mentioned that the element or the competition element on the gold pricing had stabilized, but on making charges it was still elevated. So given the increase that we have seen in the fourth quarter, can you comment on how the landscape has changed? That was my first question. Ajoy Chawla: I think it is broadly in the same zone as what I said last year. Competitive intensity continues to be very high. Price warriors are there. On gold rates, we have not seen that much activity. Making charge continues to fluctuate but by and large I would say remains what I said last time. Videesha Sheth: Got it. And the second question was on the studded jewellery part of things. As a category leader, how would you think about reviving consumption in this segment going forward? While the De Beers partnership is a step in that direction, but any other, have you identified any additional initiatives on this front that could stimulate demand? Ajoy Chawla: Actually on studded, as I said, there are 2-3 segments. You think of it was Solitaire, within that there is lower sizes and bigger sizes. Lower sizes the demand has already revived and we have in fact aggressively pushed forward using our distribution network as well as our ability to source and supply. So that we are seeing very good growth. So that's been one lever. We have pivoted in a way from larger carat sizes to smaller ones. And it's showing up in numbers very well. In terms of jewellery, studded jewellery, if I think of our portfolio across Tanishq, CaratLane, Mia, and if you were to look at it in the sub ₹50,000, sub ₹1 lakh range, I think we have still been able to clock in maybe early double-digit growth in that area. Thanks to the

portfolio play. And therefore pushing that portfolio play, including network expansion across CaratLane, Mia, and distribution depth, even in the Tanishq stores, I think that is the second lever. Third lever that we are really looking at is reducing the price points for customers by looking at lower caratage. So if people have been used to buying 18 carat studded, they're also now

beginning to get

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comfortable with 14 (carat) and in case of CaratLane they have also introduced 9 carat. So these are 3-4 different levers, but nevertheless desire creation and excitement by each brand continues to be at the heart of it all because finally it's an adornment product and she's wearing it to experience an emotion. So I think that continues to be a very big lever. Videesha Sheth: Understood. That was helpful. Just a small follow up to this on the CaratLane and you launching the 9 carat, I mean jewellery under 9 carat as well. But given it's not hallmarked in nature, how do you expect consumers to react? Saumen Bhaumik: Hi, this is Saumen. We launched this 9-carat jewellery sometime around valentine and we saw good response. This is not hallmarked. We are not claiming it is hallmarked. But it is stated as 9 carat diamond jewellery, it is sold as 9 carat diamond jewellery. But it is also quite likely that 9 carat is going to come under hallmarking very soon. It is in advanced stage. So I think that will settle down very soon. Otherwise we saw a decent response and if the gold rate increase, I think it is an alternate option for customer who are also looking an adornment other than just an investment. Videesha Sheth: Got it. Understood. Thank you. Moderator: Thank you. The next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead. Arnab Mitra: Hi, team, and congratulations on a great performance across all the businesses. My question, again was on studded. And where I am coming from is when you anecdotally speak to a lot of people who historically have owned diamonds, they are from rich families, that segment seems to almost suggest anecdotally that we are not going to buy diamond or they are going to buy much lesser of diamonds going ahead. But your growth rates, buyer growths are all very good. So are we like dealing with completely different sets of consumers here? Are you getting the growth from people who are buying diamond for the first time in your view? Just trying to understand this disconnect that, a lot of people feel between when you speak to anecdotally and versus actual numbers, which shows good growth for you. Ajoy Chawla: Yes, actually there are many segments and frankly some of us anecdotally speak to only some other people like us and they may be all, already diamond buyers and fairly well off and very evolved diamond buyers. And again, if you happen to be speaking to the type who's seeking Solitaire as an investment buy, then that's another sub-segment within them. So I would say that there are simply too many different segments and the segment whom you are referring to, the ones who buy diamonds for investment is a rather small percentage of the total studded buyers existing or even if I think of the penetration of, I mean amongst new of course, new studded buyers, there's a vast ocean out there. So I am not even saying, certainly there are new people coming in, but even existing studded segment, this is a rather small percentage of people that we may be anecdotally receiving such pieces of information from. And even they might be

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fluctuating in their behavior. When it comes to adornment, they may have no qualms in buying smaller stones etc. And when it comes to investment they may be having a different point of view. Arnab Mitra: Right. So from the data that you gave which is buyer growth being pretty strong that the fact that the value growth is not keeping up is purely a function of the

fact that gold is a smaller component of the jewellery and therefore the unit price hasn't gone up as much as gold. Ajoy Chawla: No, buyer growth is higher in studded than gold. But gold has been rather, rather dull because of the sub ₹50,000 segment. Okay, now that's the only piece here. At the high value end, is there a customer for studded jewellery? Certainly. Value growth will come. It's a mix of both, I don't think, I cannot conclude that growth will come only in the lower end in studded and higher end in gold, nothing like that. There is opportunity in both, in fact India is premiumizing and there are lot more Indians who are happy to spend on high value studded as well. So, this is not a commentary of this piece at all. There is opportunity in both. I was just making the point even in the sub one lakh studded we are seeing, because of portfolio play we are seeing an early double-digit growth which is not a commentary on what is happening on the higher value studded. Arnab Mitra: Got it. And my last question was just on this, we had obviously a lot of news around (gold) lease costs going out, going up during the quarter due to tariff speculation. So has it impacted the quarter in any way for you? And is there any lingering impact going forward on that? That would be my last question. Ashok Sonthalia: Of course, you are right that as a knee jerk reaction, gold on lease rate (GOL) has gone up almost doubled and more than doubled and it is settling down now. But more than that even gold price, you know, gold rate also impact our financing cost because now the same quantity of GOL is far more expensive 30%-40% and I have to pay interest on that 30%-40%. So just the rate increase had a small impact, but overall gold price increase has a larger impact for the full year as far as GOL interest cost is concerned. But the good news is that after that GOL rates have been settling down and I think they are now about 75-80 basis points above the historical number and we will see how does they play out in FY'26. Arnab Mitra: Okay, thanks so much. That's it from my side. All the best. Moderator: Thank you. The next question is from the line of Kunal Vora from BNP Paribas. Please go ahead. Kunal Vora: Yes, just one question. I hear from the market that wholesale price of LGD have again crashed in recent months. What are you picking up about the state of LGD retailers and is LGD coming up in your conversations also, if you can update us on your latest views on entering the LGD space?

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Ajoy Chawla: So, I can share with you what I have picked up about the retail and wholesale prices of LGD. Most certainly the wholesale price was anyway coming down continuously and it continues to drop. And I think that will not stop because even automation will happen and many other tech developments and productivity developments will push costs down like any tech product. But interestingly, even on the retail side, many of the players were retailing LGD products at roughly ₹60,000 to ₹50,000 a carat. Now, this is to be taken with a pinch of salt because the caratage is not exactly straightforward. That has now come down to ₹30,000 for many players, barring 1 or 2 players who are continuing to retail it at ₹60,000. And there are new players coming in all the time. So our estimate is that the market will continue to drop the retail price of LGD per carat and that will make it much, more affordable. And I am not sure how the unit economics is going to play out for a bunch of these players. Unless, we see a large number of totally new buyers coming in to studded, which of course, if it happens, great news for the industry overall. So it is a choppy situation. But nevertheless, even at ₹30,000 a carat retail price, the markups

are quite healthy. So, I suspect there will be more price warriors who may come. But this is just to give you an overall narrative and where this will end, very difficult to predict.

Kunal Vora: And what about your thoughts on entering this phase? The drop in prices, does it make it completely unviable or would you give it a thought at some stage? Ajay Chawla: We will keep thinking about it, is the best I can say because the stability has not been reached and it's not that everybody is coming and asking for LGDs etc. and many players are jumping in anyway so I think it's too premature to comment. Kunal Vora: Okay. Thanks that's it from me. Moderator: Thank you. The next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead. Percy Panthaki: Hi Sir. I just wanted some clarity on this hedging gain. So my understanding was the purpose that we hedge is that the EBIT margins of the business remain unaffected by any volatility in the gold price. But you're saying that the reason why margins are higher is because of some hedging gains. And the second question related to this is that when the gold price is going up, we should actually have a hedging loss because we are recovering higher from the consumer and to offset that inventory gain, actually we are entering into a future contract. So that contract should give us a hedging loss. So can you just address these two issues, gaps in my understanding, please? Ashok Sonthalia: Gold is volatile at this point of time and we have, if I can use the word contango gain, when you are doing forwards in gold thing, when you do the future, there is a different economics. When you do the forwards with the gold on international exchanges, then there is a different economics. And we have been able to do some of that transactions in Quarter 4, which gives us contango gain. And that is what the reason is. And it's not so, because every time it keeps moving and there are thousands of transactions which get squared up on everyday basis from our side, so

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overall basis when I compare that we have a small hedging gain. We are not and your idea is correct when we move from cash flow to fair value if you remember idea is to not disturb P&L through hedging actions but we have contango gains because we are able to do forward transaction on international exchange. Percy Panthaki: Understood, sir. Sir, this contango gain is a one-time permanent gain or will it reverse next quarter? Ashok Sonthalia: No, so there is a part which is a timing wise, the period of forward will kind of keep accruing and then there could be a part which can reverse also depending on the gold price. Percy Panthaki: Okay, so part permanent and part phasing, is that how I should take it? Ashok Sonthalia: Yes. Percy Panthaki: Understood. Sir, second question is on the outlook for jewellery growth next year. So see, while the gold price inflation has definitely dampened the buying sentiment, number of buyers are coming lower etc., but still there is some amount of inflation which is sort of at least partially benefiting us because the gold price has, let's say, doubled in the last 3 to 4 years almost. So the person will not cut down his volume by half. He might cut down his volume, there is still a net-net gain in the overall outlay per customer. And that has benefited and you have done close to about 25% kind of topline growth this quarter. So my question is that if we assume that the gold price remains where it is currently, then should we expect this 25% kind of topline growth to continue for the next 2 to 4 quarters? Ajay Chawla: So Percy, this is Ajay here. The 23% or 24% growth that you talked about, I am not sure it's 25%, maybe domestic, primary sales growth reported NSV is showing up as 23 point something percent. But that percentage is because there was also some amount of up stocking that happened in the year end because of an early Akshay Tritiya here, right? So, if I go down to the secondary growth actually the retail growth, it is around 20%. So I just wanted to correct you there. Certainly, what you said is true. When go

Id prices are going up sequentially there is a benefit there is a value growth and therefore there's a ticket size growth that we see. And in our mind, as I mentioned in an earlier question, we are certainly planning and targeting and also hoping for a healthy double-digit growth, either driven by ticket size or by buyer or by both. So the outlook for jewellery continues to be positive. If I may pick up 1 or 2 other threads, while we have spoken a little bit about the headwinds on price of gold. See this year there is a very good wedding season in Quarter 1. Last year there were elections in Quarter 1 and there were no wedding dates. Infrastructure spending by government has continued and will continue for the first 4-5 months, which was not there last year. There is also the largesse from the finance ministry on the IT for a large number of people in the country. Maybe not directly, but at least the secondary and tertiary, second order, third order benefits of that will start flowing into the economy. There is also lot of liquidity being injected, so a lot of positive tailwinds are there

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despite the uncertainties that exist in the market. So our outlook for jewellery not just for the year but for the next few years continues to be bullish and we are committed to driving healthy double digit growth year-on-year. Percy Panthaki: Got it Sir. If I might just push this a little bit, can we say that the growth rate trajectory has possibly, at least in the next couple of years, moved up from a high teens to slightly higher than 20%? Ajay Chawla: I can't say that because that would be getting ahead of myself. We happen to have delivered a 20% growth in one quarter. We have to be a little bit more careful in making those statements. I would still say it is healthy double-digit growth whether it is going to be 15% or 20% or something in between the two, we would still leave it at that, between 15% to 20% is a fairly good rate I would say. Percy Panthaki: Okay, Sir. That's very helpful. Thanks a lot and all the best. Moderator: Thank you. The next question is from the line of Vishal Gutka from ASK Investment Managers. Please go ahead. Vishal Gutka: Hi team, congrats on the good side of numbers. Sir, I have one question on the franchisee format. My channel checks are suggesting that that you are piloting a format where capital is provided by franchisee and you will be running the store. I think peer Kalyan runs similar kind of store. Is this true and if it is true then historically capital has never been a challenge for us. Just wanted to get your comments on this. Ajay Chawla: So, we have an exclusive format. One is of course we are always learning because we respect competition and what they do and there is obviously something to learn from them. So we study what they are doing and what a few others have done also in a different way. The second piece is we have also many associates and partners who may not have the succession planning in their own firms or in their family and many of them have been with us for a long time. So we also start thinking about how do we kind of ensure some continuity? And yet, you know, they have an ownership because they have a relationship in that neighborhood, in that catchment. There's a lot of respect. And we also have a lot of care, because they have been with us for

25-30 years. So that's another factor that we're keeping in mind. And therefore, yes, we will continue to experiment with formats. It's not so much from capital scarcity, but also from the point of view of, is there some merit and advantage in doing so, because increasingly the business is more complex also and many franchises may not have that level of organization depth to be able to manage some of these things. So we are also looking at it from that perspective. But having said that as an organization and as a brand we are not wanting to run too many stores on our own, and especial

y not beyond the top 10-12 cities in the country because it's more complex for us to manage. Whereas our presence is across 300 odd towns. So we will still be a largely franchised

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network with limited cities where we will do (ourselves). And that too only stores where we have large turnovers at stake.

Vishal Gutka: Got it. Sir, have one bookkeeping question. What is the store opening guidance for Tanishq for FY'26 domestic business? How many stores are we planning to open? Ajoy Chawla: 40 to 50 stores. But more importantly, we are also looking at 50 to 60 stores of existing stores being either renovated or relocated or adding additional space. When I say additional space, it's like adding an entire store. So a transformation program is underway in the last 2-3 years and it will continue in the next 18 months and the headroom on that front is rather more high compared to even the headroom on the network. While we will continue to grow the network into new catchments and cities, even this is a big piece of our growth.

Vishal Gutka: Got it. And the 50-60, most of them will be L1 format, right, for you? Ajoy Chawla: No. Most of the, in fact, new ones are likely to be franchised L2 or L3. Very few will be L1. Vishal Gutka: No, Sir, I am talking about the renovation part.

You told that 50-60 you are planning to renovate, refurbish? Ajoy Chawla: No. Those are also mixed L1, L2, L3, all formats.

We have in fact transformed 160 odd stores in the last two years, which are a mix of franchise and company. Vishal Gutka:

Great, Sir. Wishing you all the best for future projects. Thank you. Ajoy Chawla: Thank you. Moderator: Thank you. The next

question is from the line of Devanshu Bansal from Emkay Global. Please go ahead. Devanshu Bansal: Hi, congratulations on a great performance and thanks for taking my question. Sir, from balance sheet perspective, there has been an increase in our working capital and that has sort of led to some fall in our return ratios also. This is obviously due to increasing gold price and related volume consumption. How do you plan to deal with this as gold prices are continuing to increase? So there is a significant working capital increase. So how do you plan to deal with this? Ashok Sonthalia: Yes, so largely you are right. This is all on account of gold price increase. And of course, some investment of inventory is done in some of the catchments. If gold price continue to rise like this, while we have some levers of increasing our GOL level, etc. etc. but it would certainly require some more capital investment from our side and for which our balance sheet can be leveraged, it is capable, but idea would be then to leverage GOL more. And it is very unpredictable, what would be the gold price trajectory going forward. We will wait, watch and

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see and kind of keep responding to the evolving situation. But yes, you are right, in the current context, a little bit of strain on working capital has come in. And the year end number which you see which Ajoy already spoken about, Akshaya Tritiya being early there has been up stocking towards the end of March. So the balance sheet number which you see is a point number that's not the story for the full year. Devanshu Bansal: Understood. Ashok, also if you are open to sort of call out the exact quantum of the hedging gain this quarter, you are calling that out? Ashok Sonthalia No it's not that significant that we should call it out, it is not that significant. But it is one small factor in that marginal EBIT margin which you see. So nothing so significant that we start calling it out. Devanshu Bansal: Understood. Sir, last question from my end. The overall jewellery you said is 20%. Can you call out the secondary growth in studded sales? So reported it's 12%. What is secondary growth in studded sales for Q4? Ajoy Chawla: Yeah I will tell you.. its around 10% - 12%. Al

most similar. Devanshu Bansal: Okay. Very nice. Thanks for taking the question. Moderator: Thank you. The next question is from the line of Jay Doshi from Kotak. Please go ahead. Jay Doshi: Hi, thanks for the opportunity. My question is on industry practice of exchange and cash back in case of studded jewellery. Now, in a hypothetical scenario, if the consumer behavior changes and if consumers start exchanging more studded jewellery in future and buys gold jewellery, or basically take cash back. So that could have a significant impact on profitability for overall industry. So, I was just wondering, is this something that comes up in Board discussions or industry association discussions? As an industry leader, how comfortable are you with this policy that you have today, where basically anyone who has potentially bought any studded from you in the past 10-15 years can always come back and give it to you at 10% lower price or 15% lower price versus the current pricing. And that's because, you know, partly there's a big gap between your procurement costs for diamond and your retail pricing for diamond. So, want to understand from a risk management perspective, is this something which you think about? C. K. Venkataraman: Yes, Venkat here, just some perspectives. In India, the category of jewellery is so much about store of value and in a way the exchange policies reflect that customer need and therefore even the lower, relatively lower gross margins in this industry in India because of the store of value concept because customers don't want to lose when they exchange. I am talking in general, I will come to your diamond jewellery point in a minute. So that depresses the markup potential in India versus let's say in the US, it's not a store of value, it's an accessory. The markups are like other accessories. Now in a way related to the store of value concept, because also of the

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connections to culture, tradition, and feeling of wealth, people don't like to sell jewellery. They exchange jewellery, but unless there is a calamity in the family, they don't sell their jewellery. And it's in a way related to the store of value and of course also related to the 'dhan' aspect of jewellery. And therefore, like we have had this policy for, you can exchange gold as well as diamond jewellery for cash. That policy has been there for more than two decades, but the incidence is really, really in the decimals, in the small decimals because of this. So unless generational views on the subject changes, which may be 20 years, 30 years, 40 years, and that's a very long time for us to talk about here, this is not a, because it, it does not materialize

in its actual incidence on this. And even what you're asking, which is people coming in with diamond jewellery, exchanging it for gold, you know, that incidence is very, very low. Jay Doshi: So basically exchange proportion is broadly similar and that has not changed whether it is for gold or diamond in the last 2-3 years. C. K. Venkataraman: Gold to Gold, Gold to diamond, yes. Because diamond is an upgrade product for those who never had diamonds. Ajoy Chawla: Yes and just to add a little bit, I have personally seen many customers be extremely delighted when they come back after several years and say, wow! my diamonds, my gold, everything is appreciated, that feel good factor is so much that she is very happy to in fact upgrade and add a lot more and therefore the upsell we see on exchange out of that goodwill and in fact the statement they make is only a Tata Company like this would give me such appreciation I see. So actually, we are we see a lot of positivity and the risk factor hypothetically does exist but it hasn't yet played out like this so far and we hope it doesn't. Jay Doshi: Very helpful, very clear. Second question is, in FY'25, your standalone jewellery growth was 21% and EBIT growth was 12%. Now with you maintaining your EBIT margin

guidance and the ballpark expecting growth to be in 15%- 20%, do you think FY'26, even notwithstanding the volatility in gold we have seen and the (product) mix changes that we continue to see, you think that that gap will now narrow? I mean, your EBIT growth also will be ballpark in that range, 15% to 20% or maybe a couple of percent point short of topline growth. Ashok Sonthalia: If we are going to maintain an EBIT margin then it has to be. Otherwise there is no way, we will be able to maintain EBIT margin. So that's the expectation. But the market is very, very and while this is the current view and if circumstances change dramatically then we may have to get back to you guys talking about it, but right now whatever we see with that we think yes we be able to grow at the similar pace. Ajoy Chawla: I will just add one more piece. Our priority to continue to grow topline and acquire customers is the highest and sometimes we may be willing to invest some of that margin into growth. And that's been the outlook and that's also been the guidance from our Board and everybody. So

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margins may sometimes come down if the competitive situation or the consumer sentiment is adverse. Jay Doshi: Thank you so much and congratulations Ajoy on your appointment as MD. Ajoy Chawla: Thank you. Moderator: Thank you. The next question is from the line of Harit Kapoor from Investec. Please go ahead. Harit Kapoor: Yes, good evening. I also had a question on competition. There are two aspects to it. In an environment of sharp increase in gold prices, are you saying that, we have not seen a pickup from say, regional, private, smaller guys who probably would be sitting on higher inventory gains on schemes, etc. They had that intensity not accelerated. And the second part to that was, you explained gold metal loan quite well. I just wanted to understand is the availability of the gold metal loan and the fact that it is stretched because of the higher gold price is also a source of competitive advantage for you because you're Titan and you can kind of get it at a lower rate as well as have probably, you know, infinite kind of capital and so on. Just could you shed some light on these two aspects? Ashok Sonthalia: So gold on loan, your observations are right. We are in best position in the industry as far as India is concerned. To leverage gold on loan, get the best rate and substantial amount of limit without any concern from the banks compared to other where they would kind of beyond a point will not like to extend. So that gives us a competitive advantage and ability to invest in inventory at higher gold prices. The first question was... On the demand side, competitive intensity. Ajoy Chawla : Yes, those who don't hedge do sit on inventory gains and they are willing to let go of margin and they play it out in the form of heavy discounting on making charges. And it is not just restricted to small players, it is also even larger players. Not every large player is hedging 100%. So it does play out. So yes, but we also then respond in whichever way is appropriate for that market. And therefore, it's a complex, constant gain share, invest in providing value to the customer in some form. Brand, customer experience, product design, making charges, everything comes together as a value proposition. Harit Kapoor: My question is this, why again this question was because the pace of gold rise has been so sharp this time. Maybe there could be more investment by large private, small private, regionals, you're saying it's a manageable scenario right now? Ajoy Chawla: Yes, I think it's not new now. I think it's, if you asked me last 12 months to 15 months has continued to play like that and we just got used to this. Harit Kapoor: Got it. And the second part was on couple of data points on the World Gold Council data. One was it said that exchange as a percentage has not dramatically gone up in spite of prices go

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up so sharply, which means that the new buyer growth might have been a little bit more surprising. It should have probably fallen off a little bit more in the industry. And the second was on the fact that the overall demand growth is in value terms is 3%. So on these two points, you are growing far, far faster as you have been historically. Has the shift kind of further accelerating in this rising gold price environment towards organized players and are you surprised that you're still seeing by a growth in spite of this dramatic increase in gold price and exchange is not dramatically gone up. Those are my questions. Management: So exchange has gone up somewhat. If I look at this Quarter 4, the contribution exchange has gone up by a couple of percentage points. That is one. New buyer growth specially in gold has flagged off. And certainly, as I said in the lower price bands. So, it's not that we are blazing away to new buyer growth in gold. In fact Quarter 3-Quarter 4, it has been very muted. And therefore higher growth in ticket size which usually comes from higher repeat, so the skew between repeat and new has been there. Some of the overall new buyer growth percentage figures you're seeing is true with the overall portfolio because Mia has opened a lot of stores etc. and that is giving us some benefit in the new buyer growth, so but if I dissect it by brand and go into by store and channel there is, and by category, there is a similar point as what World Gold Council has said. But exchange has gone up certainly in contribution by a couple of percentage points in Quarter 4. Harit Kapoor: Thank you. Wish you all the best. Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark. Please go ahead. Tejas Shah: Hi team. Thanks for the opportunity and congrats on good set of numbers. So just one question to the team. So you mentioned that our wait and watch stance on the LGD continues. But just to clarify, is the focus on assessing long term customer relevance of this offering? Or are we still evaluating the economic viability of the business model here? Ajoy Chawla: I think it's both. The first one is certainly very important, what do customer's think. And

customers are not that clear. They are pretty confused and many others, there are people who would like to experiment. There are people who are getting a little worried about the prices. There are many new customers who come into diamond jewellery and what the authentic piece. They are not so confident. So right now, I would say, in the balance, there are many more people who are already diamond buyers who may be buying LGDs. And many new to the category are still a little hesitant. And I think the store of value that Venkat talked about pretty much plays up high in their mind. But definitely the customer piece is more important. Economic piece, we can figure out once we know what the customer really wants and how it plays out. Economic piece is how we manage the business.

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Tejash Shah: Is this read through same across our engagement with customers here and abroad or it changes because the store of value understanding also changes? C. K. Venkataraman: Sorry, what is the question? Tejash Shah: Is this read through on customers, is it same across in India and abroad or abroad because the store of value dimension is different? Over there, it is slightly different than how we are reading customer in India and LGD. C. K. Venkataraman: At the moment, and Diny can add, at the moment, our focus in the US, the most evolved market in overall situation. Indians are more Indian in the US than in India. And the store of value is quite pronounced there as well. Tejash Shah: Lastly, are there any regional nuance that we would like to call out in this quarter's numbers in terms of North, South, or any read through there on demand? Ajoy Chawla: I thi

nk East and South continue to lead the growth and West and North have been a little more sluggish and within that again West maybe a little bit more than North, has been sluggish. But that seems to have been the trend of the previous Financial Year that just ended 31st March. Tejash Shah: Thanks a lot. Thanks and all the best for coming quarters. Ajoy Chawla: Thank you. Moderator: Thank you. The next question is from the line of Vivek M. from Jeffries. Please go ahead. Vivek M.: Hi team, good evening. Three questions from me. First on LGD again, one more question. On the LGD side, is your worry more about given you are the market leader in jewellery, you do not want to let's say create or create is the wrong word, I think expand the market because we have seen someone like let's say retailer like Trent, who has also entered into this. So is it more about you don't want to in a way cannibalize your own business of existing diamond business by creating more awareness? Is that the hesitation, the reason for hesitation? Ajoy Chawla: We are trying to understand what the customer wants and frankly that is what guides us. And how is the customer thinking about it. And we are still seeing customers are a little unsure. Trent has got into it as purely an independent decision and it's not something that, that is not playing in our mind at all. We need to be clear what is the value proposition we need to offer to the customer. And at a next level, we need to be clear what will be the source of differentiation and continued competitive advantage in a category which could get very easily commoditized because of price. So these are important considerations for us. And I don't know whether you should call this hesitation or examining and reflecting as to what is the right thing to do.

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Vivek M.: Okay. And is your internal view also that that LGD will have no impact on let's say natural diamonds or where you are on that bit? Ajoy Chawla: Very difficult to answer that question because how it plays out will depend on whether new customers will... Will the market expand? That's the big question. And if the market expands and penetration of diamonds which is as low as 15% in our country goes up, even by a few percentage points, it can bring many new customers and it can be a win-win. In the short run, there may be lot of ups and downs. The dust will settle somewhere. Very difficult to predict. Some pluses and minuses can happen. But I think we need to look at it over a slightly longer period and see where the dust will settle. Vivek M.: Got it. My second question is, know, there are obviously at least globally whatever and I have admittedly very limited understanding on this, but I hear that part of the reason why natural diamond prices actually went down were because of LGD. But what we, there was a recent media article which said that natural diamond prices actually moved up 10%. I think this was in the month of March or end of March I think. Do you have any insights as to what drove this change and is that something more, I don't know secular is the right word or not but I would still use that. So is there something which is happening which is why natural diamond prices moved up? Ajoy Chawla: Again, I think this reflects the wholesale prices of roughs and again on the higher caratage. It is probably on the back of Chinese demand perhaps coming back. I don't have more insights on whether it will go further up or that was the bottom and from here on it's up, difficult. Only the rough suppliers and what happens in international markets will really determine the price on that. Very difficult, I don't have an answer to your question, sorry. Vivek M.: No, I appreciate. Thank you for that. My last question is on the sequential basis, we have seen jewellery margins actually moving up and Ajoy clarified that there is no major hedging impact because of which the margins have moved up. And our channel

checks actually indicated in the last few months given how gold prices moved up, especially in the 4th Quarter fiscal. There was a lot of, let's say, discounts or making charges, promotions given by regional players, local players. Why is it that this has not shown up in your numbers? What am I getting wrong over here? Ajoy Chawla: See, the gross margins have been impacted because of the product mix. No question. I think Ashok did share fair amount of observations on the fact that there is a mix of operating leverage and some hedging gains, contango etc. So those pieces have played out in the EBIT margin percentages that you have seen. Gross margins have certainly got impacted on two counts. One is product mix, the other is the price of gold itself playing a role in the studded margin line-item level as well. We explained that earlier before when prices of gold go up relative to diamonds, there is an impact on the gross margin for the studded jewellery line item itself. So the combination of these two has impacted gross margin. Sorry, and the sequential piece that my

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colleague here reminds me is also because the studded ratio in Q4 versus Q3 is different. Q3 is a rather more gold season. In Q4, we have a lot more diamonds. So that could be another factor. Vivek M.: Right. When I said sequentially, I was looking at all the rolling 4 quarters, for example, the only thing was what Ashok mentioned was there is no big impact of any one off on

the EBIT side except the operating leverage, right? So in that context, basically the discounting or whatever we saw on the ground, it was miniscule compared to or you did not face that pressure as much except for a slight impact on gross margins which got offset at the, let's say, due to operating leverage. Is that a fair understanding? Ashok Sonthalia: Yes, I think you are right. Vivek M.: Got it. Thank you very much. Very useful. Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now hand the conference over to Mr. Venkataraman for closing comments. C. K. Venkataraman: Thank you very much for all those piercing questions and the encouragement as always. See you in the next quarter and good night. Moderator: Thank you. On behalf of Titan Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Scrip Code: 500114 Symbol: TITAN

Dear Sir/ Madam,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the unaudited Financial Results (Standalone and Consolidated) for the second quarter and half year ended 30th September 2025 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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"Titan Company Limited

Q2 FY '26 Earnings Conference Call "

November 04, 2025

TITAN MANAGEMENT :

MR. C. K. VENKATARAMAN – MANAGING DIRECTOR , TITAN COMPANY LIMITED

MR. ASHOK SONTALIA – CHIEF FINANCIAL OFFICER

MR. AJAY CHAWLA – CEO, JEWELLERY DIVISION

MR. KURUVILLA M ARKOSE – CEO, WATCHES & WEARABLES DIVISION

MR. RAGHAVAN N S – CEO, EYECARE DIVISION

MR. MANISH GUPTA – CEO, FRAGRANCES & FASHION ACCESSORIES DIVISION

MR. SAUMEN BHAUMIK – MANAGING DIRECTOR , CARATLANE

MR. N P SRIDHAR – MANAGING DIRECTOR , TITAN ENGINEERING & AUTOMATION LIMITED ('TEAL')

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Moderator: Ladies and gentlemen, good day, and welcome to Titan Company Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. C.K. Venkataraman, Managing Director from Titan Company Limited. Thank you, and over to you, Mr. Venkataraman.

C.K. Venkataraman: Thank you, and good morning to everyone all over. It's good to be talking to you at the end of a very satisfying Q2 FY '26. The growth in virtually all our businesses, markets, subsidiaries have been very satisfying, and the deck has been with you for a little while now, so we can move directly into your questions.

Moderator: Shall we open the line for questions?

C.K. Venkataraman: Yes, please.

Moderator: Thank you. The first question comes from the line of Manoj Menon with ICICI Securities. Please go ahead.

Manoj Menon: And first of all, thanks for hosting the call early in the day. So just I have only one feedback what you're seeing on the ground, what the customers are telling you in the context of the parabolic rise in gold prices on three aspects.

One, what the customers, let's say, the willingness. You mentioned last time about customer buying an 18 -carat or less than 22. And importantly, what the activities which you are undertaking directionally, let's say, what proportion of your inventory is non -22 in plain gold or anything like that. And then how sustainable it is.

Point number two, historically, we have noted that, at least, I've observed that whenever gold prices increases beyond a point, it becomes relatively easier across the counter to upgrade the consumer to stud it because consumer probably believes that studded is far better aspirational rather than gold.

So are you -- so when I look at the studded mix, it largely remains flat, 1% here and there. And -- but having said that, I can't see the flow -through into the GP also. So how do I read that? So yes, so that's one.

And the third is yesterday Thangamayil had put out an exchange release saying that they have actually seen a very good October in volumes. So how do -- I mean how are we to interpret? Is it an industry trend? Let's say, the typical volume price elasticity, is that holding out? How do we read that? Not Thangamayil, I'm talking about industry and particularly you.

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Ajay Chawla: Good morning Manoj, Ajay here. I think the first one about how are we seeing consumer behavior on the ground. I mean, there's been a certain holdback which consumers had during the meteoric rise of gold. But then when they didn't see it come down and continue to remain high during festive, a lot of fence -sitters jumped in.

Having said that, that was mostly to do with people in the mid - to higher price bands. In the lower price bands, there continues to be sluggishness in terms of number of buyers and -- especially for gold jewellery .

Your point on how is the response to 18 -carat jewellery . It has been good, whatever we put out there in the first half. Having said that, it is not material enough yet as a percentage of our inventory to be able to come to a conclusion. We certainly hope to increase that share substantially as we go forward based on the initial pilots that we have seen. Third point you asked about that whenever gold prices are high, do people go in for studded, well, the studded buyer growth is marginally higher than the gold jewellery , if I exclude coins. Coins kind of skews the color on the overall product mix. Coins, of course,

is growing very well,

exceptionally high. That shows strong investment demand.

But if I just compare studded growth of buyer level and gold jewellery buyer growth, we have now been seeing this trend consistently over the last several quarters that the studded buyer growth have been better, not very high, but certainly better than the gold jewellery buyer growth. Still early single digits, I would say.

But in general, when gold prices are high and if customers are holding back, they don't -- they hold back for gold as well as studded. It's not that -- the walk-ins itself drop. And when they came in during festive season, the interest in gold has been so high that we are not seeing a very big material movement towards studded at this point in time. But yes, there is a marginal difference in studded buyer growth. It's higher. And gold jewellery growth in terms of buyers, it's lower. It's negative, whereas in studded buyer growth, it's positive.

Manoj Menon: Just one follow -up quickly, and I'll come back in the queue. So one hypothesis or assertion which I made was based on historical observation that across the counter, it's relatively easier to convert a gold consumer or a customer into a studded where for the like -to-like revenue your GP pool is far better, right? I mean so is that assertion right? I mean, or is there something like let's say you need better incentivization or some activity from your side to ensure that your conversions are, let's say, appropriately captured?

Ajoy Chawla: I -- no, I don't have any such -- I can't confirm your hypothesis because I'm not sure if we are seeing that kind of natural movement. And for conversion, I don't know, again, it's not about sweetening it. I think it's just the fact that there is a natural consumer for studded and there's a natural consumer for gold.

Some of the studded people in the higher end have opted for gold because they feel that they are seeing some better investment value there. But I can't say the same for any other segment, lower

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price, mid -price. It's not that the gold customer is suddenly buying studded. So it's difficult to draw any correlation.

Manoj Menon: All the best to both Venkat and you in the future endeavors.

Ajoy Chawla: Thanks. Manoj, I think you asked about how October has been. It's been good for the industry overall. I don't know how much volume growth has happened for the industry, very difficult to gauge because let's wait for World Gold Council to kind of release some data exactly on festive season to festive season. The timing difference is also there.

But overall, I think October and generally festive to festive, given the timing difference, has been quite good -- very good, I would say, for the industry and certainly very good for us as well. And this is not in correlation to Thangamayil's figures. The ir base may be very small and they are at an expansion. I'm talking at an overall level.

Manoj Menon: So, Ajoy, just one last thing. Is it fair to then conclude that the consumer or the customer seems to have accepted, which is what you alluded to, higher gold prices, at least in the large -ticket consumer and that the volume pull back or cut back or elasticity is not as per historical standards, and they are willing to actually, let's say, redirect, let's say, spends from other categories or other aspects into jewellery ?

Ajoy Chawla: I can only say for ourselves that our buyer growth have improved in festive to festive of 32 days like-to-like period, compared to, let's say, quarter 2. But how much of that is because they are naturally now comfortable, yes, they are comfortable with gold prices, but I think we also ran a very powerful exchange offer, which might have swung it significantly, besides, of course, the Diwali collection launches and campaigns.

But I can only say this for ourselves. I don't

have really a deeper industry level insight that, yes, now the volumes are back. I think buyers -- many more buyers were in the market for festive having seen gold prices now , you know, not coming down.

Moderator: Next question comes from the line of Mihir Shah with Nomura.

Mihir Shah: So my question, again, is on the buyer growth. It has been about flat to decline since a couple of quarters. Can you highlight steps taken by you, which are materially different from your past steps, to bring back buyer growth apart from the normal activation, marketing mix or the 18 carat that you're trying to do?

Any other material steps you think that will bring back buyer growth? So that's one. And any quantitative range for October festive or October sales that you can share will be very helpful. So that's my first question.

Ajoy Chawla: So on buyer growth, we've done a lot more work in terms of populating price points in the sub INR1 lakh if I look at Tanishq and Mia as well has done a lot of work. We've been doing a lot more introductions in lower caratages, certainly 14 carat offering in the stores has gone up.

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Third piece is that to really stimulate buyer growth, we unleashed a very powerful gold exchange campaign, not just an offer. Offer was, of course, there, which was a never before offer. But we provided a very strong emotional hook to customers saying how when you exchange gold or unlock your lockers, it's good for you and good for the country using Sachin as the spokesperson. I think that has been a significant game changer because customers have really been moved by the messaging and the prominence of the messaging. So these are some of the things we've done. Besides, of course, reaching out to customers and informing them about all these activities and campaigns and offers.

The other piece that we did differently this time is during festive, specifically, mid-September onwards, is instead of doing making charges of kind of offer, we directed all of that towards certain rupees per gram benefit on the gold price since gold price was very high on their minds. And that's the other piece that we did.

The rest of them, strategically the lower caratage and lighter weight products continue to be a secular trend and effort that we are continuing to push aggressively on. A lot of studded product in the sub INR 100,000 was introduced and will continue to be introduced to drive buyer growth, which is happening.

C.K. Venkataraman: One other perspective here, which is that given the macros, both the price of gold as well as the middle class economic pressures, which have been around, the buyer growth challenge is not going to go away that easily, notwithstanding how the industry actually creates new innovations. But in this particular industry, in this particular category, because of this huge stock of gold with households, we can get -- as the division has got, we can get a huge growth in times where buyer growth is a challenge through ticket size growth, where you get people to bring in their gold and actually buy more, and thereby grow by value rather than by wallet.

So this is a pivoting that may happen from time to time. And we'll not be worried about the absence of buyer growth in such times because these are very complex macro challenges also.

Mihir Shah: Understood. Venkat, just on continuation with that and Ajoy also, so if I recall correctly, the exchange gold has a bearing on the margin and will put some pressure. If the saliency of gold exchange scheme keeps rising or that may pivot towards that, how should one think about the margins going forward on the back of this insight? And again, on the 18 carat, does that have any bearing on margins if you -- saliency of 18 carat goes up, so both on margins?

Ajoy Chawla: On the second one, there is no saliency. 18 carat will not have any bearing

on margin. If at all,

it can slightly improve only, but a lot of that depends on the quantum that comes in, like materiality of it. Let's see how that progresses.

On the exchange, yes, there is a certain impact on margins, but we've been able to work it out in our business model in such a way that it is not impacting us much. Yes, some investments have gone in. We took a conscious call to say it's important to stimulate buyer demand, and it's also important to do what is right for the country.

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Here, the Prime Minister was painting out a vision of an Atmanirbhar Bharat, and we really thought what can we do to really contribute because all the jewellery is made here, but gold is imported. So we went ahead and decided that it's good for the country, it's good for the customer, it's also good for the planet. So in the long run, it's good for us.

So margins may have some small implications, and that too, in certain quarter-to-quarter situation. But secularly, we would actually like it if exchange keeps going up because it's a great way to unlock the locker as Venkat just pointed out.

C.K. Venkataraman: Also, this is a lever. There are multiple levers that the business has to grow. And each lever comes with a cost. So you optimize the levers and stay with what we want to deliver.

Mihir Shah: Understood. No changes in margin guidance? So hence, we remain at those band that was shared earlier by --

Ashok Sonthalia: The way gold prices are going up unabated while our endeavor is to be consistent with our margin delivery, Ashok here, really it's becoming increasingly difficult to kind of project gold

price trajectory and consequently, its impact on margin.

But yes, we would still be pretty consistent, if stable, some pluses and minuses can happen because of this. So let's see how gold stabilizes and get back to its historical growth trajectory rather than what's happening these days.

Mihir Shah: Understood. Lastly, on store openings, there has been store openings especially for Tanishq has been on the lower side since the past, I think, a couple of quarters -- a few quarters now. Can you share any indicative store opening targets that one should keep in mind? Or are you visiting any of them? Any change in the store opening targets versus what was shared earlier? That's all from my side.

Ajoy Chawla: No, there were some execution delays in the first half and in quarter 2 as well. So some spillovers happened in the period. In October, we saw more open. So as we speak, we've added I think in the first -- while it shows 6 in the domestic in quarter 2, but YTD is 9. September, but in October, we've added some more. So I think we are at about -- yes, we added 8 more in October. But I think overall, for the year, our target remains 40 barring -- I mean, subject to some execution. We've also been focusing a lot more on actually revamping, transforming and substantially expanding our existing stores. So we've done quite a lot of that. And in fact, some of those are much larger projects as well. So we've actually expanded and renovated close to 35 stores in the first half of the year. And that is giving us very good results.

So we look at it in totality, but purely from new stores on Tanishq, I think 35 to 40 is a reasonable range to expect. 40 is the target. And overall, for the renovations, etcetera, 70 to 80 may be the orders that may happen for the year.

Moderator: Next question comes from the line of Avi with Macquarie.

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Avi Mehta: Just wanted to look beyond the near term a little bit. While current gold prices are where they are, as this trajectory starts to become a little more benign, would love to hear your thoughts on how do you see growth and margin behaving and whether the historical levels that we have seen in jewellery, are they

even achievable because maybe the competitive intensity has changed? So

would love your thoughts on how do you see both growth at the sales front and margin behaving once all this whole elevated level goes off.

Ajoy Chawla: I think growth certainly will continue to be good. In fact, we continue to be a high-growth business, even compared to historically, we have grown pretty well, and the CAGR continues to trend upwards. Let's see where we end ultimately with quarter 3, but I think growth certainly. And if gold prices stabilize, in fact, we think growth prospects improve because more buyers will come into the market.

Margins will also hopefully become stable because then that whole impact of high gold prices on margins, particularly on the gross margins of studded, et cetera, will stabilize. So -- and even the pressure of making charges, et cetera, which tends to become a little more skewed when gold prices are high.

So I think the margins will also stabilize. Now whether we will hit the historical high EBIT margins that we might have seen, let's say, 3, 4 years back, that I'm not so sure. I think we would like to maintain and focus on growth. And if the margin remains in the range that Ashok has given a guidance on, that's what we will aim for.

So because the headroom for growth is high, headroom for market share gains is high, and we would certainly like to focus on absolute growth in profits as opposed to percentage profitability improvement.

Avi Mehta: Very clear, Ajoy. And I just had two bookkeeping questions. One, if you could just give us a sense on how should we look at watch margins now that they've done 2 quarters of relatively healthy performance?

And second is, if I remember, 1Q had some benefit of 50 basis points in the jewellery margin, which was one-off because of inventory rebalance that should have reversed. So has that happened? And hence, what is the like-to-like number that we should look in jewellery?

Ashok Sonthalia: So on watches, last time also, we have talked and that they will gradually revert towards 16%, 17% band. And on a long term, I would say the kind of investments are required, mid-teen is a good number to aim for, 15% to 16% for the business, at least in the 1-year, 2-year time frame. Beyond that, we can see how scale and operating leverage would work for that business.

As far as jewellery is concerned, yes, we did speak about 50 basis points last time onetime, which was expected to reverse over the next 2 quarters. But I have also mentioned simultaneously new things kick in. And I think that's what has happened. So in quarter 2, we didn't see any net impact of reversal and accrual. So yes, that is where we are.

Moderator: Next question comes from the line of Devanshu Bansal with Emkay Global.

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Devanshu Bansal: Congratulations on strong execution despite a high base. Sir, I wanted to check, there has been an increase of INR 9,500 crores in consolidated inventory, which is a significant number. So how should we see this? Is this purely basis the rising gold price on existing inventory? Or there is a component of higher stocking in anticipation of a strong festive plus new store additions as well in this.

Ashok Sonthalia: So it is a combination of both because as business is growing, to that extent, inventory has to go up. But on -- it is largely driven by gold price, if you look at the overall number. Certain kg amount with the expansion of business, expansion of the store has to go up. There is nothing to talk about. It is not out of our normal turn or normal trajectory or number of days. It is the rate of gold which has impacted substantially this number and the scale of business.

Ajoy Chawla: And also I think, you're right, there is also a earlier season start this year. So there were some amount of seasonal upstocking, which would -- which has also

played a role. So that would be a secondary factor.

Devanshu Bansal: Understood. So my intent of asking this question was to sort of estimate the interest paid on GML, right? So now that festive is over, so have we seen some deduction in our inventory levels, which should sort of reduce the interest component? Or the Q2 run rate is a good run rate to sort of bake in?

Ashok Sonthalia: We will certainly see in quarter 3 stock coming down from the present. And to that extent, minor correction in interest can happen in the interest rates. But GOL cycle is -- doesn't follow exactly all the time stocks. So there could be some mismatches, but I do expect in quarter 3 to slightly come down.

Devanshu Bansal: Understood. Second question, sir, there is a big listing expected to happen in the eyewear space. For them vertical integration and their virtual solution with regards to optometrists are emerging as the key differentiator. So what is our outlook for this space as we have been growing slower, even less than the industry growth of about 13%, 14%. So I just wanted to take your views here.

N. S. Raghavan: This is Raghavan here. Thank you for the question. So in terms of the industry growth, I mean, there is no audited number. So our estimate of the growth is anywhere between 7% to 8%. So if you look at the 7% to 8% industry growth, we are maybe slightly higher than the industry growth. In terms of investments, I think when we approached FY '26, we have factored certain investments in terms of transitioning from a brick-and-mortar to an omni channel building the digital funnel and also leveraging our marketing investments to create more a spiration for the brand.

So as far as our growth outlook is concerned, we believe that we should be closing this year at a slightly higher number than what you are seeing, anywhere between 13% to 14%. So that is what our outlook would be.

And in terms of the competition this thing, I think it was anticipated. So it is not a surprise, and it was already factored in our FY '26 plan. So we will continue to do what we are doing, and we believe that will take us to the desired growth levels, what we had earlier planned for.

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Devanshu Bansal: One just small follow-up here to better understand the model. So from a back-end perspective, what all processes in terms of, say, manufacturing of frames, manufacturing of lenses, fitting of lenses, putting power into the lenses, so what all -- which all processes are we sort of doing it internally as of now? And maybe any thoughts if we want to backward integrate our supply chain?

N. S. Raghavan : I mean we are a fully integrated organization, vertically integrated. So we have our own lens-making plant. We have two plants in fact, one at Bengaluru and one at Kolkata. And from a volume standpoint, almost 90% of the volumes what we sell at retail, very happy to state, is locally produced in our factory.

We also have a frame manufacturing plant in Chikkaballapur and the frame manufacturing plant can do injection, acetate as well as metals. And from a fitting lab standpoint, what we do is -- service is a very critical part of our industry. So we have close to 11 to 12 in-house fitting labs pan India to ensure that we are able to deliver a spectacle anywhere between 2 to 3 days' time across.

So we are very well covered from a back-end standpoint. And this investment has been there over the years. It is not that everything has happened now. In fact, Titan Group made this investment on the lab 12 to 13 years back, and on the frame manufacturing almost 7 to 8 years back. So we are well equipped in terms of the back end.

Devanshu Bansal: Sure, sir. Just one small question. So you've indicated from a press release perspective that there has been a strong start to the festive. So in recent periods, we have seen that there is some modera

tion in discretionary categories after a big sort of pick up towards occasions. So I wanted to check if you can throw some light on your growth expectations for the upcoming wedding season as well, that would be helpful. This is for jewellery space.

Ajoy Chawla: Yes, yes. So I think post festive 10 days also that we have seen post the Diwali action, the sales growth has continued to be in the same vein as we saw in festive. And we believe this could be largely due to a good wedding season and the continued exchange that we are running because we feel that during wedding season, again, exchange is a big driver.

So, so far, so good. I think how quarter 3 will end as a number, I can't give you. But certainly, at a very broad level, I think by the time we end -- we come to YTD December, our growth rates should have become better than the first half growth rates. That's as much as I can share with you right now.

Moderator: Next question comes from the line of Nitin Jain with Fair value Advisory Private Limited.

Nitin Jain: Congratulations on a good quarter. So I have just one question, and that is on TEAL, the Titan Engineering Automation -- Automotive business. So does this business have any synergies with the consumer businesses that we have? If yes, if you could elaborate them? And if not, is there any reason why we are not demerging it and/or listing it out separately?

C.K. Venkataraman: Sridhar, shall I take this?

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N P Sridhar : Yes, sure.

C.K. Venkataraman: Yes. So no, there is no real synergy between TEAL and the consumer businesses. Titan TEAL is global tech manufacturing B2B business, whereas the rest of Titan is becoming global but B2C. There is no synergy. It was born 20 years back, and we have scaled it substantially, realizing that even within the sort of neighborhood of a very large B2C successful company, there is a place for it.

And by adequately staffing that company, adequately creating the right capability for the Board which manages -- which governs TEAL, we have created a kind of planetary system, if you will, which maximizes the opportunity for TEAL. And that's how it is going and that's how it will go. And there is no plan to demerge, as you said, at the moment.

Moderator: Next question comes from the line of Aditya Soman with CLSA.

Aditya Soman: And firstly, Venkat, thanks for your insights, we will miss them, and I look forward for many more. Best wishes for the rest of the team. So my questions, first on jewellery. I mean, just given the unprecedented gold prices, can you throw a little more light on how trends differ regionally within India? And obviously, given your increasing global scale also in other markets, are we seeing sort of clear differentiation in trends? That would be sort of an interesting insight.

And second, on the watch business, you've made a sort of concerted effort on the analog watches side. We've seen new launches over the past 6 months as well. From here, should we continue expecting a sort of a significant growth in the analog space? And any sort of insights from the festive season on growth in that category?

Ajoy Chawla: So on trends regionally, if you are asking geographically, we have gained share in East and South -- or rather we continue to gain share in East and South driven by our regionalization strategy, which is becoming sharper and better by every quarter, even as we invest more. We think this playbook can be extended to other states as well, and we are planning so in the near future as we go forward.

In terms of North and West, we were a little concerned about how Bombay, Delhi consumer sentiment is, and it was a little sluggish. But I think a lot of the work that we put in as well as maybe some improvement in overall sentiment, we've seen a good revival in those markets. And even the studded growth in those markets is beginning

to now, once again, start improve. Of

course, some internal factors as well. We had some stores under renovation, et cetera, in certain markets.

Internationally, I don't think there are any trends that are different, but the North American market continues to power ahead much faster. And there, I think we are the early movers as well.

And whereas in the Middle East, we are, in a way, challenger because we've come in late, but we've nevertheless seen healthy results. And the studded play in North America is particularly heartening. Diny, you want to add anything on international?

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Kuruvilla Markose : So North America, despite the gold prices and, in a way, some of the price increases that we have taken in that market, continues to grow very, very well. And like Ajoy said, the studded performance there has been very heartening. Customers are clearly more involved and, let's say,

purchasing into higher price points as well. So that story has been really good. But even in the Gulf markets, we've seen a very, very strong comeback for the business in terms of people actively buying higher price points. Their studded ratios are relatively lower. So overall, I think, very, very good and very strong trends. The recognition of the brand in both the Middle East, Singapore and the U.S. markets increasingly are becoming very strong given the number of stores are also increasing.

Ashok Sonthalia : And on watches?

Kuruvilla Markose : On watches, the question on festive growth has been high compared to a quarter where we grew about 12%, the festive period sort of saw a 16% growth over last year, same similar period. So that's been good for us.

And to your point about new launches and the direction that we've been taking, there's been a lot of work that the division has put in, in terms of premiumization. And what you're seeing is, in a way, the output of all of that work with the Jalsa launch and the Stellar launch and the Edge Ultraslim launch. And certainly, you should expect more of that.

We're seeing across all the brands, even in Fastrack and Sonata, a need to premiumize, and customers responding to that. So as we have launched more interesting and more exciting products in even our lower-priced brands, there's been a great response to that. So we'll continue to do that for Titan. We'll continue to push to increase the presence of Helios stores and Helios Luxe stores, which we have started adding.

Moderator: Next question comes from the line of Kunal Vora with BNP Paribas.

Kunal Vora: On the competition in jewellery, are you seeing any difference in behavior from jewelers who might be owning own inventory versus those who are like using gold on lease because some of them might be sitting on large inventory gains and might be willing to operate at lower margins and can be more aggressive? That's my question number one.

And second one is, can you update us on the consumer response to LGDs? With income pressures, is that something which consumer is looking at more closely? And how large is the solitaire and high-value studded jewellery business for you? And are the trends there like at par with what you're seeing in overall studded?

Ajoy Chawla: So first question, yes, when jewelers see inventory gains on gold, unprecedented inventory gains on gold, they tend to use it effectively by reducing making charges or passing on significant offers. And certainly, therefore, it becomes a competitive intensity going up. And therefore, we have to deal with it as it comes.

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On the studded side, you talked about the LGD. I think the market in LGDs has, of course, been developing slowly and steadily with many players coming in. We understand that -- and they are expanding as well. We understand that some of their unit economics may be under stress

, but

nevertheless, they are hoping for a swing and therefore, a lot more stores opening up, a lot more capital going into all of that.

So there is -- and of course, from the diamond grower's perspective, U.S. market has been rather, rather sluggish. So they have to look elsewhere. And India is possibly the most convenient market because other markets are not really going anywhere. China is also not going anywhere with LGD. So we can expect increased investments in LGD.

Now how is that showing up on consumers? So far, we've not really seen demand in our brands, whether it's CaratLane or Mia at our stores, et cetera. It's not that people are coming and asking us give us LGDs. But we think there is a growing interest though it is yet to show up in the numbers per se. And we believe it is still early days in the sense that the -- perhaps the more accomplished diamond buyer is playing with LGDs as an early adopter, not necessarily the new entrants as we were thinking.

Now the last piece that you talked about is the performance on high value and solitaires, it's been good. In fact, the contributions have gone up in this quarter. And we are seeing a steady gain in that area. The solitaire correction that, in a way, happened last year is now behind us, and we are seeing continued growth at buyer level in solitaires as well as high-value studded. High-value studded has, in fact, gained in contribution by 1 percentage point over last year quarter 2.

Kunal Vora: Okay. That's very clear. Just one follow-up, sir. Like there seems to be multiple headwinds on margins right now. Are you comfortable with the 11% floor? Or is there some risk there?

Ajoy Chawla: I think gold prices, if they continue to shoot up further, then there will be a certain -- further headwind. But so far, I think we've been able to manage. And we are hoping to keep it within that range-bound kind of margin. Let's see, unless something new and big turns up, we can't say right now.

Moderator: Next question comes from the line of Arnab Mitra with Goldman Sachs.

Arnab Mitra: I had a couple of questions. First was actually on CaratLane where your margins have expanded 250 bps to 10%. I wanted to understand, do you see -- I know there's some seasonality in

CaratLane margins, but on a year -on-year basis, do you think this trajectory of margin expansion is sustainable and what has driven it? That was my first question.

Second is generally consolidated jewellery EBIT growth has been running much higher than the Tanishq EBIT growth, CaratLane as well as International. So should one expect that broad trend to continue? Anything on international, which was lumpy in terms of the growth which may not sustain? So just had one question on CaratLane and one on international jewellery .

Ajoy Chawla: Saumen, you could answer the first.

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Saumen Bhaumik: On the margin front, I think there are multiple things that we have done in terms of dealing with variation, the share of gold in the overall product. So therefore, we saw the improvement between quarter 1 and quarter 2 compared to last year. But at the rate gold prices have gone up, frankly, it is difficult to forecast what would happen to the margin going forward.

C.K. Venkataraman: On the international front, there are two factors. One is the size of the international business and its share to total Titan jewellery is climbing substantially, even though it's small, but climbing substantially, or rather climbed substantially.

The second is we are also -- we've also moved from a loss in the previous year to a profit in the current quarter. And therefore, that transformational change in the margin also has a bearing on this consolidated figure. But as we go forward, we will see more secular thing happening here rather than what happened Q -on-Q.

Arnab Mitra: Sure. Just one follow -up on CaratLane. So

just from what I understood, Saumen, you're saying that gold price could be a headwind, but that's generally a headwind for the entire industry. Otherwise, whatever initiatives would have led to this margin expansion, those you think are sustainable? Or there were some higher -than-normal margin this quarter because of some other factors. That's one thing I wanted to understand.

Saumen Bhaumik: No. Some of the things that we have done will certainly have sustainable impact. Assuming the gold rate remains, let's say, stable, we would see that line continuing. But if gold rate dramatically changes, it is very difficult to sort of address some of these things given the inventory can't be altered immediately overnight, right? In the quarter 2, there were some marginal gains, but that I would not think is really material in the overall margin.

Moderator: Our next question comes from the line of Gaurav Jogani with JM Financial.

Gaurav Jogani: I have just one question with regards to the reversion of the hedging gain. So if I get it clearly, the 50 bps gain that you have done in the Q1, that's kind of reversed in Q2. Is that the right understanding?

Ashok Sonthalia: No, I think last time also, we spoke that it will gradually reverse over Q2, Q3. And also simultaneously, we said new hedges can again have a compensating effect. So in quarter 2, actually, there is no net impact on account of reversal and further accrual .

Moderator: Next question comes from the line of Nihal Mahesh Jham with HSBC.

Nihal Mahesh Jham: Two questions. First is, Ajoy, when you mentioned high -value studded, if you could just define is it above, say, INR 5 lakh? What is the definition of that? And if you could just give the contribution of that and the solitaire portion in your studded?

The second one is that we are looking at a large share of store rehashing, around 70. I'm guessing all of it is Tanishq. So can you quantify if that leads to quite a substantial increase in the store productivity? What are the reasons for it? Maybe it's an increase in the area? And if that could also be an incremental trigger over the next 6 months for growth to be better than what it's already at?

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Ajoy Chawla: So on high -value studded, historically, we've defined it as above INR 2 lakhs, and for consistency, we've kept it at that level across the years. So in Quarter 2, it was contributing around 14% of the overall business, and that was 1 percentage point higher than last year Quarter 2. Of course, Quarter 2 also has The Festival of Diamonds. So to that extent, the contribution in this period goes up relative to other quarters. But I think we will see a Y -o-Y benefit for the year as well.

Solitaire currently contributes to about -- I'm trying to just do a math here. So it's about 4% of the total -- 3.5% to 4% of the overall business. And it has been growing. I don't have an immediate response on last year's figure. Certainly, the contribution has gone up in the current year as a percentage maybe by 0.5%, 1%. So that has also gone up. The last question -- the second question, I didn't -- I forgot. Can you just repeat that quickly?

Nihal Mahesh Jham: Yes. On the store rehashes, 70, all of them for Tanishq. What leads to the increase in productivity and can that be an incremental driver of better growth than what it's already at?

Ajoy Chawla: On the store...

Nihal Mahesh Jham: Renovation.

Ajoy Chawla: Store productivity.

Nihal Mahesh Jham: Yes.

Ajoy Chawla: Store productivity, I don't have a figure right now to give you a response. We have been expanding many of our stores. So I don't have a revenue per square foot kind of comparison from before and after. But maybe we'll get back to you on that. I mean that's the best way for my mind to measure productivity.

Moderator: Next question comes from the line of Sheela Rathie with Morgan

Stanley.

Sheela Rathie: My first question was, Ajoy, you gave a good flavor on how the demand trends have been like - for-like festive and also the ongoing wedding calendar. I just want to get some clarification because last year in Q3 and Q4, we saw a surge in gold coin and bar demand. Just want to hear from you how that trend has been this time around.

Ajoy Chawla: It continues unabated. And it looks like the appetite for gold coins and bullion is very high. Naturally so, given the gold price is going up. So it's leading, it's continuing to lead. And as we see now, the contribution of gold coin has certainly gone up significantly over the last several years.

Sheela Rathie: Just a follow-up here. Is it aligned versus your expectation? Or is it just trending in a similar pattern, similar to what we have been seeing in the last 12 months?

Ajoy Chawla: It's continuing to climb in contribution. It's trending up and both buyer, KG, value, everything growing much faster than what we might have imagined, but it's not difficult to understand why.

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Sheela Rathie: Right. The second question is, to one of the participant's question, you said that the competitive intensity remains given how the gold prices are there, particularly from the independent jewelers.

Just want to hear from you is that the exchange program has become more of a -- all around your reality, maybe the intensity varies through the year, but that's our way to offset the kind of competition we see from the independent jewelers.

So just one side question to that is also how are the trends for the L3 stores for us because they would be competing much harder with the independent jewelers also. So how are they kind of playing this game? And do they hedge their inventory? Yes, three questions to that.

Ajoy Chawla: So firstly, it's not only the independents who don't hedge. Many organized players also don't hedge, at least not fully. And competitive intensity is not linked only to small players, but also from many organized players, sometimes even more so from the bigger chains. Therefore, the last question, in a way, there's not -- L3, L2 everywhere, we see the same competitive intensity. Some L3s hedge, many L3s don't. But we recommend them to hedge as much as they can. So far, they take their own calls.

But overall, exchange is not -- I think we see it as a strategic method to acquire customers and to, in a way, because anybody who goes through a Tanishq exchange, they become evangelists and customers for life because the transparency, purity and everything clear and clean with absolutely no strings attached and no fine print thrown in, makes a huge difference.

And customers go back feeling visibly happy, having seen the gold melted in front of them, a trained karigar out there, first a karatmeter check, then an actual melting check, I think the whole process leaves them feeling extremely comfortable. And they know we are here for the long run, so that anything they buy from us can always come back.

So we believe exchange is a strategic customer acquisition and trust-building tool. And therefore, I would request we don't see it as an offer, and it is -- exchange is there right through the year. The offers may vary tactically quarter-to-quarter.

Moderator: Next question comes from the line of Amit Sachdeva with UBS.

Amit Sachdeva: One small question. Ajoy, you mentioned that buyer growth has been weak and buyer growth has been weak for a while because gold price has been rallying really hard. I'm just linking it to think from a studded angle as well because studded maybe a considered purchase but it's many times a converted purchase. So is it that as the buyer growth builds up, you would see much more tailwind for studded growth, which has been also lackluster for a while, although it has gone up this quarter a bit from the last one?

So is there a buyer growth deterrent for that growth, number one? And given your INR 1 lakh and below lot of product introductions, do you expect studded growth to increase in the coming quarters from what we have seen in the last, if assuming gold price stabilizes and what you're seeing on the ground? That's question number one. And because margin is an issue that I think you'll be grappling with as coin sales increase, et cetera. So it is -- question is linked to that.

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Ajoy Chawla: Sure. So I think, just to put things in perspective, since we're talking all over on buyer. Buyer growth overall has been minus 2% for the quarter. Gold was minus 11%, largely driven by the sub INR 1 lakh. Studded was plus 3%.

So I think this gives a perspective that studded is actually doing much better than gold. I'm keeping coins aside. Coins was a much higher number. So -- and studded buyer growth has been trending in the positive territory and leading the gold jewellery buyer group consistently over the last 5, 6 quarters now. It is not a one-off in this quarter.

The sub INR 1 lakh introduction and particularly even in studded, we are certainly hoping to continue pushing the studded buyer growth. And certainly, through the portfolio play, Tanishq, Mia, CaratLane, we think we will want to continue to aggressively push for studded buyer growth, certainly in the INR 1 lakh space, sub INR 1 lakh space as well because that's where we see a lot of new customers get recruited.

So what we will end up with, we don't know. But so far, we've been able to keep pushing that envelope, and we hope to take it upwards. We have seen an improvement in festive. So hopefully, by the time we end December, YTD we should be seeing a further positivity on that front.

Moderator: The next question comes from the line of Jignanshu with Bernstein.

Jignanshu: Two quick questions on jewellery -- one on jewellery, one on eyewear. So on jewellery, while the gold price till end of September has -- had only one direction, in the last 3 weeks, it has changed direction a little bit, right? And the correction has been as sort of fast as the ramp-up was.

In this slide, how has this impacted your inventory planning, sales planning, both from supply of gold, physical supply of gold, as well as the kind of SKUs that you are planning to supply? Do you think it's at a place where it changes or it's more of the same?

And second was on eyewear. I think that one of the other questions was also on what your strategy is. I don't think that was really answered. I would love to understand what your approach is to grow this business.

Ajoy Chawla: So gold prices have moderated by about 6% or thereabouts in the last 10 days post the Diwali festive season. And we are happy because I think customers are also happy about it. And those who are still waiting to buy in for wedding jewellery, they'll come in.

Our planning doesn't change dramatically. We try to ensure a good optimal product mix and with a good -- across category price bands, we try to ensure. So we are not seeing any significant changes in inventory planning.

Bullion buying, yes, it was a little bit under pressure in the October first couple of weeks, there were some bullion shortage. But otherwise, I think our bullion team is well on top of all projections. And we've been able to ensure that we don't cut inventory despite the rising gold prices.

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N. S. Raghavan: Jignanshu, this is Raghavan here. I think you asked a question about eyewear. So if you look at this particular industry, the headroom to grow is tremendous. So we estimate the market to be around INR 30,000 crores, and growing at almost 7% to 8%, and the Titan's share is less than 12%. So the headroom to grow is tremendous.

So in terms of our go-to-market strategy, we believe

we are well covered. In terms of the retail

footprint, what we have, we have close to 900 stores. And we are also, as I mentioned in the earlier call, we are transitioning into omni-channel because for a consumer, the first touch point is always your website and then on whether he wants to transact or go to the store.

In terms of overall strategy, we believe this is a business where both vision and fashion is equally important. And we need to do a good job in both. And it's an aided business, right? So when somebody comes in for an eye check up, we need to ensure that we do a fantastic job in terms of bringing out the right prescription.

And at the same time, ensure that we give him a right pair of eyewear because dispensing is also equally important. So from that standpoint, we will continue to invest in having the right kind of people at the stores so that we do a great job in terms of consumer satisfaction.

As far as investing for growth, yes, we will continue to invest in terms of creating more awareness for the brand and thereby driving the consumer footfall, which is what is the case that is happening in FY '26 also. So we believe we are well placed to grab more share in the coming quarters.

Moderator: Next question comes from the line of Jay Doshi with Kotak.

Jay Doshi: My question is on jewellery EBIT growth. Now you started the year with a certain expectation of jewellery sales growth. And given rising gold prices, you're likely to be much ahead of that

expectation. How should we think about EBIT growth from the same context? At the beginning of the year, you were expecting EBIT growth to be at least in line with revenue growth in jewellery, if not better.

So do you still think that, that thesis plays out? On a percentage margin basis, things could be a little different. But should you be delivering better EBIT growth than what you are expecting at the beginning of the year? And second is, will this year be a year where consolidated jewellery EBIT growth will be ahead of standalone jewellery EBIT growth? That's it from my side.

Ashok Sonthalia: Jay, like I don't think that -- so the pressure on margin or headwind on margin continues. While we are trying to compensate, offset through various levers, et cetera, but over the last 6 months, also gold prices were where they are and now where are they, while there is a minor correction, but we don't know going forward which direction they would go. So I would expect EBIT growth, absolute amount growth might be slightly slower than the revenue growth for the full year.

Jay Doshi: That is understandable, but it will still be better than what you were expecting before this maybe 3, 4 months back, right? So look, just to put some numbers, if you're expecting 15%, 17% jewellery growth or 15% to 20% of your guidance for the year, now with the rising gold prices, if you end up at 20% to 25% jewellery top line growth, will your EBIT growth also be at least Titan Company Limited

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slightly better than what you were expecting at the beginning of the year? Percentage margins could be lower, that is understandable, but that is -- that's the primary sort of...

Ashok Sonthalia: Indirectly, you are asking whether revenue growth guidance we are changing. So I don't think we are -- we...

Jay Doshi: You've already called out, right, 9 months will be better than first half. So that's kind of directionally for you.

Ashok Sonthalia: Yes. So directionally, yes, so the EBIT will keep in line with revenue, but the margin pressure, which we have talked about. So it's the outcome of various things which will play out, Jay. And as we said in the beginning, we are trying to deliver consistent, stable range, but it could be slightly pluses and minuses, not significant variations we are expecting.

Ajoy Chawla: So Jay, I will -- as a business head, I would simply say, we will aim fo

r that. We will aim to see

that EBIT growth also is better than what we might have imagined. But what Ashok is saying is depending on what kind of further headwinds you come across and how gold prices further behave, it's difficult to give you a guidance in an accurate sense. But yes, we will aim for it. And principally, what you are saying is something that we also, as management, would be interested in.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Venkataraman for closing comments.

C.K. Venkataraman: Thank you very much. We are signing off from this call, and I'm signing off from these calls. It's been a fabulous -- I've lost count, maybe 50th or 60th call over the last 12, 15 years. And each one of you has been a pillar of support for the company, always constructive in your approach and very probing often, keeping us on our feet and helping us to perform better and better over the years, over the decades. Thank you so much. God bless.

Moderator: Thank you. On behalf of Titan Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

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Symbol: TITAN

Dear Sir /Madam ,

Sub: Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby inform the exchanges that the transcript of audio call recording of the Company's Analyst Call to discuss the Unaudited Financial Results (standalone and consolidated) for the quarter and nine months ended 31st December 2025 is attached herewith.

The transcript is also available on the website of the Company: www.titancompany.in

Kindly take the same on record and acknowledge receipt.

Yours truly,

For TITAN COMPANY LIMITED

Dinesh Shetty

General Counsel & Company Secretary

Encl. As stated

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Sensitivity: Internal

"Titan Company Limited

Q3 FY '26 Earnings Conference Call "

February 11, 2026

TITAN MANAGEMENT :

MR. AJAY CHAWLA – MANAGING DIRECTOR , TITAN COMPANY LIMITED

MR. ASHOK SONTHALIA – CHIEF FINANCIAL OFFICER

MR. ARUN NARAYAN – CEO, JEWELLERY DIVISION

MR. KURUVILLA M ARKOSE – CEO, WATCHES & WEARABLES DIVISION

MR. RAGHAVAN N S – CEO, EYECARE DIVISION

MR. MANISH GUPTA – CEO, FRAGRANCES & FASHION ACCESSORIES DIVISION

MR. SAUMEN BHAUMIK – MANAGING DIRECTOR , CARATLANE

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Moderator: Ladies and gentlemen, good morning, and welcome to the Titan Company Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Ajay Chawla, Managing Director, Titan Company Limited. Thank you, and over to you, Mr. Chawla.

Ajay Chawla: Thank you. Good morning, everyone. Thanks for being on this call so early in the morning. Sorry to put you through this, but unavoidable. It's been a great quarter, certainly a festive quarter on a high base. We are delighted to have seen this kind of uptick in demand. And I must also say it is coming on the back of a lot of volatility, competitive intensity, and I must compliment all our teams across all the brands and divisions and subsidiaries, who have risen up to the challenge and delivered a good quality execution to kind of take advantage of this. So it's the team effort that has helped.

I now hand over this for a few opening comments to our CFO, Ashok Sonthalia. After which, we'll start the Q&A.

Ashok Sonthalia: Thanks, Ajay, and very good morning to all of you. Thank you for joining this call. I just thought there are 3, 4 important points related to quarter or going forward. I will just point out so that you may please take a note.

We are very happy to announce that we completed 67% stake acquisition of Damas. And the accounting of that, you will see from 1st January, consolidation of Damas books into Titan consolidation will start from 1st January. So quarter 4 results, you will have Damas consolidation.

With CaratLane international business, which is primarily jewellery business, TEAL and now Damas, also, the consolidated view of Titan is becoming increasingly important. We have also made sizeable investment as well in these businesses. Therefore, I urge you to start looking at consolidated performance as well because that's going to be increasingly important.

From the beginning of this financial year, we have started providing business view of domestic and international market performances. We also provide reconciliation between statutory reporting and the business we're reporting in our IR presentation. I do hope this will help you to get a complete picture of business performances.

One more important point, which we find sometimes people don't account for, we always disclose amount of Bullion and Digi-gold sale through a note in our IR presentation as well as the statutory accounts. And we always exclude them from any performance-related metrics. So as these amounts are sometimes significant, I request you to pay attention to these notes while kind of assessing our performance.

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The other important development, which all companies have faced in India, that labour code impact has been accounted for in our quarter 3 books. The impact on a consolidated level is INR152 crores, which has been shown an exceptional item in the consolidated as well as INR138 crores in stand-alone financials. So these were some of the important points, which I thought I'll point out today. Now we can open the floor for question and answers. Thank you.

Moderator: Thank you. We take the first question from the line of Videesha Sheth from Ambit Capital.

Videesha Sheth: So my first question is if you could briefly touch upon the growth trends that you've seen in fourth quarter till date, especially in context of further sequential gold price inflation?

Ajay Chawla: This is addressed to any particular division or over

rall?

Videesha Sheth: I'm sorry. I meant from a -- from the jewellery segment's perspective?

Ajoy Chawla: Arun will answer.

Arun Narayan: Okay. This is Arun Narayan, CEO, Jewellery. Thank you for your question. For the fourth quarter, we've just seen a month gone by and I'd like to leave it by saying it's been a good month. The real difference, what we have seen in January versus the month leading up is that the gold rate has been volatile. Right through this year, we have seen a secular rise in gold rate, and that leads to a certain behavior. When gold rate is volatile, it's difficult to call.

So I wouldn't want to leave you all with anything that is indicative of how it may play out in the rest of the quarter but only to say that the month of January has been good. But now we are seeing a bidirectional movement of gold rate. So it's too early to call out or give you a guidance or say anything that could guide you on where the rest of the quarter could kind of move.

Videesha Sheth: Okay. Just a follow-up on this, Arun. So the old-gold exchange campaign intensity has sustained. I mean the old -gold mix has sustained at higher levels, which you would have probably seen in the third quarter. Or would that have come off?

Arun Narayan: Yes. It's sustained and our own investment and efforts behind that call-out also sustains.

Videesha Sheth: Got it. My second question was more from an industry perspective for jewellery. Is there any indication of consolidation happening either on the retail side or supply chain side due to higher gold prices? I mean, are you -- I mean is there any indication of winding up of operations of small contract manufacturers or even mom-and-pop retailers, which could ideally benefit the overall organized industry?

Arun Narayan: Nothing. Nothing to really call out as something new, which we are seeing. And of course, formalization continues, but beyond that, nothing to call out or report.

Moderator: We take the next question from the line of Manoj Menon from ICICI Securities.

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Manoj Menon: Great performance. My questions are actually slightly beyond the quarter or the short term. Look, I think the sort of unprecedented gold move, which we have seen, the previous participant spoke about possibly hypothesis of formalization. But my question is more inward looking. When the sort of, let's say, material, let's say, beyond the demand planning changes, which actually happened, particularly to the supplier side, gold price, et cetera, if you could talk about, let's say, any behavior in consumers, for example, we would have discussed the 22 carat to 18 an possibly even 14 earlier.

But there are practical challenges for consumers to buy anything beyond 18 on the lower side because as I understand it, it can be pledged, et cetera, or from a supply chain point of view, let's say you manufacture a 10-gram chain, which had a certain lead time under certain, let's say, time for, let's say, in the stores, et cetera, and then suddenly, the price is materially higher. Sir, could you talk a little bit about how nimble you actually handle these in the last 6 months, let's say, and which is a competitive advantage?

Arun Narayan: Okay. Thanks, Manoj, for that question. I think the agility perhaps is only on responding to the need to be accessible in jewellery and the need to keep price points clearly in mind so that we offer choice as close to what we offered in the past at certain price points and therefore, the pivot to lightweight jewellery across the board, introducing 18-carat traditional gold jewellery also in certain parts of the country where we have seen a greater openness to it.

We are seeing parts of North and East being more open. But in West and South, we are seeding the thought. And similarly, we had stated jewellery at lower carats. We always had 14-carat jeweller

y in both CaratLane and Mia, but now we've also introduced that in Tanishq and also up to 9 carat in CaratLane and Mia. So these are the ways in which we are responding to keep jewellery accessible.

That being said, of course, when there is a changeover or when you have to give sufficient choice across multiple caratages, there is a bit of complexity and there is a bit of transition that the system undergoes, which is where -- what we've been through last couple of months. But we think we'll be able to tide over that. And early signs also are quite positive for these changes that we are ushering in.

Ajoy Chawla: Manoj, I'll comment on your supply chain piece. It is not that lead times dramatically change or complicate life. It is simply the changeover and ensuring that you're able to have segregated lines internally, that matters. And as far as we are concerned, even when we work with our vendor partner ecosystem, we supply the gold, et cetera, to a large extent. So that doesn't really impact us, the concerns you might have had in terms of either lead time or volatility in price, et cetera, because it's mostly our gold.

Manoj Menon: Okay. Understood. Just one quick follow-up on the first one, is that these making charges in India is a percentage of the gold price. Now what I'd broadly observed from most of the branded players who advertise listed, unlisted put together, it's an X percentage discount on the making charge. Is that now through-the-year sort of phenomenon given that the gold prices are higher?

Because from a Tanishq point of view, I observed that you had pockets or seasons or windows in which you used to have it. Would that be necessary now to have this through the year?

Arun Narayan: What would we need to have, Manoj, I didn't catch that.

Manoj Menon: No, no. The discount on making charges given that the -- it's a percentage and it would have gone up 70%, 80% in blended gold inflation. Historically, provision is that Tanishq actually had those discount windows, but given the gold prices where it is, would you either have to relook at the percentage making charges or have an all-year sort of a discount? I mean -- or maybe you're able to manage it better as well?

Arun Narayan: So far, I think we've been able to manage it across both the gold as well as the studded portfolio. And we have windows, pre-Akshaya Tritiya and pre-Dhanteras, where it's across the board. And rest of the year, it's uncertain on certain grammage or price bands largely catering to the wedding customer. So there is a playbook that we have, which is continuing. We have not seen the need to kind of alter or change that despite the conditions that you are alluding to.

Manoj Menon: Just a second, if I may one -- make one comment. Beyond the L1, L2, L3, the franchising model, which Tanishq had over a long period of time, are you looking at any other franchising models at this point or you're already there in the market?

Arun Narayan: Well, we keep exploring various models, but nothing really to significantly alter the franchising model that we currently have.

Manoj Menon: Okay. Okay. So no FOFO model for now actually?

Ajoy Chawla: Not really.

Moderator: We take the next question from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: Congratulations on a great quarter. My first question was on buyer growth, where you mentioned buyer growth is flattish this quarter, but there's also a mention of 45% new buyer contribution, something that, I think, was not mentioned last couple of quarters. Are you seeing any improvement in that metric? And how does the square of difference between not having buyer growth but 45% new buyer contribution -- does it mean that your existing, let's say, loyalty members, that's where the frequency reduction has happened?

Arun Narayan: Yes. Thanks for that question. The new buyer

share has more or less stayed consistent, and I

thought maybe it's just more or less in the ballpark, I would say. However, we do have many ways of keeping our existing customers warm and bringing them back to the store, initiatives, which happen at the store level as well as CRM centrally as part of our Encircle program and now also with Tata Neu.

So yes. So it's a lot of existing customers who continue to come back but new pretty much being in the broad ballpark. And I think also perhaps we are blessed to be in a category where, despite

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such significant increases in raw material costs, we are still able to kind of hold a certain buyer -- buyers in our hold. So that's really credit to price elasticity and our ability to kind of hold, that despite inflation in gold rates.

Ajoy Chawla: So I think the -- one second. The specific question you had was has it gone up or down. Vis-a-vis last quarter, it has improved. Last quarter, new was 42%. This quarter, it's 45%. But vis-a-vis last year, same quarter, which was 48%, it is lower. So it's an improvement sequentially, but a small reduction compared to the previous year.

Arnab Mitra: Got it. And one follow-on question on this was is there any different trend in studded buyer growth in terms of that trending better than overall buyer growth?

Arun Narayan: Yes, it is a few percentage points better and has been also the case last many quarters.

Arnab Mitra: Got it. My second question actually was on jewellery margins. So given what's happened with gold and the mix, which you cannot really control, I mean, if consumers want more gold coins, do you, beyond a point, essentially focus internally more on EBIT growth as a jewellery business? Or do you still hold on -- try to hold on to those lines on the margin range that you want to hold? Just wanting to understand how you think about it in this very high revenue growth environment. And also if in the -- just specifically for the quarter, if Ashok could highlight if there were any one-offs in terms of inventory hedging gains or losses that were there.

Ashok Sonthalia: Thank you. Ashok here. You rightly pointed out with the rising gold price environment that getting a good fix on margin outcome is becoming challenging. And margin remains an outcome.

So in the way we keep prioritizing growth, customer acquisition, market share, et cetera, but at the same time, we have always said that we are very mindful of margin. So you are right. The EBIT profit growth in absolute amount is becoming more and more important than profitability margin because profitability margin increasingly is becoming challenging in the rising gold

environment. So that's what -- what was your second part of...

Arnab Mitra: Were there any one-offs in terms of hedging gains or losses in the quarter?

Ashok Sonthalia: No, in quarter 3, there is no one-off. Last year quarter 3, custom duty gain was there, which you remember, which we normalized. And 50 basis point drop is there in quarter 3 compared to last quarter 3. And that we have called out -- yes. Okay.

Moderator: We take the next question from the line of Sheela Rathie from Morgan Stanley.

Sheela Rathie: Again, my question is with respect to the jewellery business. You referred to that buyer growth has been flat. And at the same time, when we look at the studded growth, it has been lower than the jewellery business growth. How should we think about the transaction value of customers?

I mean, logically, if buyer growth is slow, it would mean that -- if transacting buyer growth is slow, we would believe that the transaction values are going up. Of course, there is a gold price increase also. But at studded, it's lower. How is actually the consumer behaving because this

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was a quarter which was a high wedding calendar quarter

also? So are new consumers who are

buying for weddings not coming to Tanishq? Or is there some real change in how consumer is behaving?

Arun Narayan: Okay. I'll just set the record right on this. Our buyer growth on studded has been a few percentage points higher quarter-on-quarter, not only this quarter but also many quarters leading to quarter 3. However, the ticket size growth on gold, because of the gold content being higher, is much higher in plain gold than it is on studded jewellery because diamond prices aren't going up, but gold is going up. So we are seeing ticket size -- bigger ticket size jump in gold versus diamonds. And that's why the buyer growth translating into revenue is much higher in gold compared to studded jewellery.

That being said, it is also true that we are seeing a greater traction at higher price points in gold jewellery and in studded, and there is pressure at lower price points on account of inflation and rise in gold rate. Plus, of course, a certain profile of customers seem to be accepting this price versus others who may be waiting and seeing if gold rates kind of cooled down.

In general, wedding buyers are the ones who -- where it is not discretionary, and they are the ones who -- therefore, we need to give a lot of comfort to -- from an exchange standpoint. And we are seeing wedding buyers stay obviously invested as a consequence.

Sheela Rathie: Okay. Just my second and final question, again linked to the first question. What would be now the average transaction value of a new customer, studded jewellery customer and a gold jewellery customer?

Ajoy Chawla: So I think the total ticket size is hovering closer to 1.7 lakhs at an overall level approximately.

1.9, sorry, for the quarter, 1.9 lakhs. We may not be able to give you this by studded and plain gold. But I think the question you asked, the studded ticket size has also gone up by 15% in the quarter 3, while plain gold ticket size went up by 44% or something like that. So there is a differential in the ticket size growth. In both of them, I've seen ticket size growth.

Sheela Rathie: So 1.9 lakh. And new customer, what is the transaction value?

Ajoy Chawla: I'm sorry, we won't be able to give that level of depth.

Sheela Rathie: Understood. Understood. And this 1.9 lakh would be the highest we have seen ever?

Ajoy Chawla: Naturally. Yes. Yes.

Moderator: We take the next question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on a good performance. Sir, first question is on jewellery gross margin. The comparable gross margin, so that we report in our stand-alone financials, has dipped by about 200 basis points in Q3. While operating leverage and other cost efficiencies has offset 150 basis points of this impact, why I'm sort of checking on this, because we have not seen such kind of a

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gross margin dip in previous quarters. I wanted to check the nature of these growth investments that we're making in the business. What happens if sort of growth profile of the business takes a dip? Are these sort of investments reversible in nature? Or we may see some margin challenge if growth doesn't show up?

Ashok Sonthalia: So I guess that you are looking at Titan Company performance slide and alluding from there what has happened to jewellery because you are right. Largely, Titan Company stand-alone numbers reflect jewellery number, but the drop in GC is. He is doing normalized, so 1%. Okay? Okay. So normalized, yes, you are right, 1% drop. And we have been talking about that. In rising gold prices, there are 2, 3 ways margin gets impacted. One is, of course, gold coin salience has gone up quite a bit.

Studded jewellery margin, because of the gold content, goes up in terms of value. The studded

margin also goes down, while gold jewellery remains the way they are.

And this put together, I

think -- and you also need to check whether you are including bullion in your calculation. So please exclude bullion, which has been given .

Devanshu Bansal: Sir, I have excluded that. So in Q3 last year, there was no bullion reported by you; and this year, it's very small, about t..

Ashok Sonthalia: No, I just wanted to check that you are doing -- you might have done that rightfully. But all these things are leading to this kind of thing. And that is what we said. If gold prices keep rising like this, whatever we are doing, 14 carat, 18 carat, 9 carat , live jewellery , they would eventually catch up when gold prices stabilize.

In the continuously rising gold prices, jewellery margins will kind of exhibit this kind of pressure. But absolute -- because of the growth coming in, I think absolute EBIT or absolute PBT, whichever level you want to look at, have been growing nicely recently , but yes, not in the same percentage as revenue.

And business mix is another. When you look at the company level, TCL level, then the business mix also plays a role. Jewellery is becoming -- and in quarter 3, particularly, it has become more dominant because of 40% growth, while other businesses have grown nicely, but they are 17%, 18%, 14%, 15%. So because of 40%, now jewellery , which is a slightly lower -margin business, has gone up in the portfolio mix, and that also has suppressed TCL India or TCL consolidated margin a little bit.

Devanshu Bansal: Okay. Understood. Understood. And sir, we -- I also wanted to understand, there is a good component of sales coming from gold exchange and some of the installment schemes that we have, which is relatively immune to the gold price. So wanted to say what is the mix of these 2 currently for our business and maybe what we are targeting for the upcoming year through gold exchange and the installment schemes?

Arun Narayan: Yes. So I'll answer that. The jewellery purchase plan, we started with Golden Harvest many years back. But over the last almost 2 years, the program that gained traction is called Golden Titan Company Limited

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Advantage, which is a grammage program and very relevant solution for anyone planning to buy jewellery in this inflationary era that we are in.

And as you all are aware, anywhere from 20% to 25% of our business comes from our jewellery purchase plans, and that's kind of sustained even at this point in time. Although we are seeing more customers prefer the new Golden Advantage over Golden Harvest, which is very logical and probably a more appropriate solution for these times.

That being said, even the -- our sales through Golden -- our sales through the Gold Exchange program have gone up, both the Tanishq exchange program where people come back to upgrade their Tanishq jewellery as well as those who bring back gold from elsewhere. And almost, like we've been saying, more than 50% of our business today has an element of exchange of either type. And in quarter 3, we saw a good jump in that.

Devanshu Bansal: So broadly, can we understand that 70%, 75% of your business is relatively immune to gold price volatility? Is this the right inference?

Arun Narayan: There will be like a double accounting between these 2 because there are those who also -- there is a A intersection B as well. So I don't have a figure right now to give you. But our idea is to move in that direction that -- in the direction that you are alluding to because that's good for business, and it's also good for the consumer. So directionally, that's where we want to move, but it may not just be -- there will be an intersection between the 2 as well.

Ashok Sonthalia: And just to add one clarification that in gold exchange program, upsell also happens. So to that extent, the upsell element is having impact of gold price, but customer is taking it in stride. So all these intersections

are there. So straight deriving 75% is not right.

Ajoy Chawla: Yes. I think I would just add a comment here. The -- I think nobody can be immune from gold price increase, even if you may be exchanging 100% or you may be having a Rivaah Golden Advantage plan. There are enough people who may change their mind when they see gold prices have gone up substantially or they are not in a position. So I think it's a very -- I would stay away from making that assumption that you kind of alluded.

Devanshu Bansal: Sir, last small question from my end. So eyewear growth is 11% with ASP contributing about 5%, 6% of that. So the volume growth is still low at 5%, 6%, right? I'm talking about the customer -level sales in eyewear business.

Two questions here. One, we were working on the mass and mid -premium end of the market, right, as indicated in the analyst meet. So what has driven this ASP increase? And the subpart to is when do we expect the volume growth to pick up in this business?

N. S. Raghavan: This is Raghavan here. Thanks for your question. See, as far as Q3 is concerned, our domestic

growth was almost 17.5%, right? That was the overall growth. And in terms of volume, the volume growth was around close to 9%. But the way that we...

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Devanshu Bansal: Sir, you're referring to the UCP sales, right? So that is reported in the PPT.

N. S. Raghavan: Yes, the UCP sales is 11%. You're absolutely right. So the omnichannel sale, what we have reported, is 11%. That's the revenue growth. And this revenue growth has been reported by a volume growth of close to around 8%. So from a volume growth standpoint, it is more or less within our zone. This is what we have estimated, around an 8% to 10% growth. So this is what we will continue to deliver. So that is what it is.

Devanshu Bansal: Any shift in focus that we had indicated earlier? We were targeting value and mid -premium. So what has led to this ASP increase?

N. S. Raghavan: Yes. So in terms of our positioning, right, I mean, Titan Eye Plus is positioned as a multi -price, multi -brand destination. So when it comes to multi -brand, today, we offer anywhere between 15 to 20 international brands. So there is a kind of a tailwind for premiumization through our international brand collaboration.

And yes, quarter 3 has also been aided by a ticket size increase because, normally, November and December, we see an NRI season effect. And it has a direct correlation on the international brands. So we had the benefit of the ticket size also going up in November, December.

Moderator: We take the next question from the line of Siddhant Dand from Goodwill.

Siddhant Dand: Excellent set of numbers. I just wanted to ask which geographies have contributed to the international profit. And are there still new stores that are unprofitable? And what would be the average margin in the mature stores?

Ashok Sonthalia: So Siddhant, I will give you one color, that international margin had at least onetime this time, this quarter because we had some primary sales of INR200 crores, close to that, and that has -- the -- if you adjust that, the margins are about 5% to 6%. And then gradually, it is going up as we have always talked about from the loss to, gradually, it will improve, will reflect jewellery margin, which we have in India. But at this point of time, 5%, 6%.

We, of course -- all the stores, because of the high, more complex product and studded jewellery ratio being high in North America but operating costs also being high, more or less, margin profile remains same as you see in India. So there is nothing significantly different in international market.

Siddhant Dand: Okay. Could you just elaborate on the exceptional item?

Ashok Sonthalia: Okay. So we had INR194 crores of primary sales by our Dubai to Damas for some of these 2 stores, which we are getting Tanishq converted

into Tanishq. And because Damas consolidation is starting from 1st January, until that, it was not, so that is kind of sale of our Dubai region where this additional profit is sitting. But from 1st January onwards, when Damas starts getting consolidated, then these kind of transactions will get eliminated. But before 1st January because these transactions happened, they could not be eliminated.

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Siddhant Dand: Understood. Understood. Any update on what percentage of stores will be converted to Damas? Or what percentage of revenue will be converted -- sorry, will be converted to Tanishq from the Damas?

Ashok Sonthalia: No, there is nothing like that. Damas will continue to grow on the Arab segment, and they will continue to grow their retail network on that side. There were few stores, which were in the catchment, which was more appropriate for Tanishq kind of offering, and some of those stores are getting converted. You will see some of the quarter 4 also, and we will report that as -- when we present quarter 4 result. So some more stores will get converted apart from these 2. But it is store -by-store assessment, and we don't have the final number. But it is not a very, very major activity. So Damas will keep growing with the network on the Arab side of the segment. Yes.

Siddhant Dand: Okay. That's great. My second question was regarding the TEAL margins also. There was some exceptional seasonality that you mentioned. Just a broad range of what kind of margins could we expect that business to have, just a conservative number?

Ashok Sonthalia: TEAL is a project business where we do percentage of completion method on a part of business, which is automation solution because they do projects. And that margin will reflect nature of projects, which are getting executed in that quarter and some ups and downs can happen. Manufacturing services business, which is the second part, is more stable product kind of business. And combination of these 2 and TEAL is still not that scaled up entity. You can see these margin variations. But I can only tell you, TEAL is doing well with a good order book and

good visibility for the future, but quarterly margin ups and downs, you might expect in future also.

Moderator: We take the next question from the line of Jignanshu Gor from Bernstein Research.

Jignanshu Gor: Good numbers. I wanted to check on the jewellery business. We have, of course ramped -- seem to have ramped up our activity marketing efforts, both discounting, gold schemes, et cetera. And then as I think we discussed, the margin has taken a hit on a normalized basis. I think my question is, in the longer term, what do you -- if this gold price stability does not happen during the year, would you want to revise how you approach the problem you are solving? Is it a margin profile? Is it ROCE? Is it absolute margin growth? What are we really solving for? Or is it market share in revenue terms? And how do we think about your approach to decision-making here?

Ajoy Chawla: Jignanshu, this is Ajoy Chawla. I want to first make a few observations and correct you slightly. Firstly, our approach has not been to drive discounting to grow. That is part of par for the course for most festive season and other occasions, and it's been there. We have not -- in fact, our discounts have been slightly lower if you ask me then more.

In fact, our entire approach has been to create excitement in the customers minds on 2 counts: one is the freshness of products and product innovation and campaigns, which kind of appeal to Titan Company Limited

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them and showcase these; and the second piece is to leverage exchange as an emotional connect with customers. We have had offers in exchange all along. This time, what we did was make it a different kind of narrative, which is based on the fact that

we import a lot of gold in this country.

So I think these are the 2 fundamental shifts that have happened. And therefore, to that extent, will the -- is discounting or something that has driven down gross margins or something like that? No, that's not -- the honest answer is it's business mix, as Ashok said, because jewellery has become a larger share of the business. And within jewellery, the rising gold rate has impacted the studded margin as it is expected to, which we've explained earlier in terms of the material cost, relative weightage of gold and diamonds in the material cost.

And thirdly, it is to do with gold coin in a period like this of rising gold prices as well as festive quarter, where the product mix within jewellery also undergoes some change. So frankly, these are the only pieces.

Now whether the operating leverage will continue to kick in, it depends on the scale of the business. We believe it should, but I think, as Ashok pointed out, please start looking at absolute growth in our EBIT and PBT and compare it to the absolute growth in gross contribution or absolute overall growth. That might be more relevant. Once gold prices stabilizes, maybe we can come to some understanding of where it settles down.

Jignanshu Gor: Okay. That's helpful, Ajoy. Second question was on CaratLane. So we saw a significant margin uptick here, but there's no specific mention of any base effect here for custom duties or anything. So I just wanted a bit of color on how to look at the CaratLane margin performance, especially, as you rightly said, with studded sort of also going down a little given gold price. So what has really led to it? And how should we think about it in the future?

Ajoy Chawla: Ashok will respond to this.

Ashok Sonthalia: So CaratLane has a high proportion of studded, and that is where the last quarter, there was some impact of custom duty, but it was not so significant like Tanishq or Titan jewellery business that we needed to call out. There was some element of that for sure.

As you are aware that there has been operating leverage at play in CaratLane, which is available from the financials of CaratLane, the studded proportion has slightly come down because they also introduced 9 carat, 14 carat, modern gold jewellery, which is getting good traction and particularly in the online space and gifting space, et cetera.

So I expect that overall margin, we had -- if you remember, a couple of quarters back, we had said that, gradually, CaratLane with the scale will start inching towards double-digit EBIT margin. And I think they have reached -- they are maybe slightly earlier than what we expected, but I think they would stay there, low double-digit margin EBIT profile. That is, I would say. I think if Saumen is on the call, he wants to add anything. Saumen, are you on the call?

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Saumen Bhaumik: Yes, I am. Can you hear me?

Ashok Sonthalia: Yes. Yes, we can hear. You can add if you want to, if I missed anything.

Saumen Bhaumik: Yes, sure. No, I think you pretty much covered everything. I think our studded ratio is anywhere between 85% to 90%. We have been hit by the escalating gold rate in quarter 1 quite badly. I think we recovered a bit better in quarter 2 and quarter 3. That's one part. And I think revenue

growth was the single largest factor, and we have been consistently managing our cost over the last 6 quarters, if you look at our figures.

I think -- so revenue growth and cost management are the 2 main factors, and recovery from the margin drop that happened in Q1 are the 3 things that I would attribute Q3's -- the profit performance.

And in production of 9 -carat diamond jewellery, Shaya Diamond, which is silver and diamond combination, they are low in terms of contribution today, but they have a positive impact when it comes to margin.

Jignanshu Gor: Okay. T

hat's very helpful. Just a clarification on this. So studded growth in volume terms is broadly same -- is -- or studded share in volume terms rather is broadly same as last year. Is that a fair point?

Ajoy Chawla: Yes. I think we'll let that be. We'll give you more details in the Investor Day. Saumen will share a little bit during the Investor Day. Yes?

Saumen Bhaumik: Yes.

Moderator: We take the next question from the line of Harit Kapoor from Investec.

Harit Kapoor: So just 2 questions from mine. The first one was on domestic jewellery. So over the last 6 months, last 2 quarters specifically, have you been kind of positively surprised with the level of gross contribution you've been able to hold as well as the relative inelasticity, if I can call it that, on the grammages, while they obviously would have declined? But has both these elements kind of positively surprised you? And in that context, your comment on kind of consumer behavior and expected going forward also would be helpful. That's my first question.

Ajoy Chawla: So I won't answer the gross contribution. This is Ajoy here. I'll let Ashok answer that. But I'll just talk a little bit about the consumer and how we are looking at it. I think if you step back and see, the -- there was a lot of people on the fence if I go back to quarter 1 and quarter 2, waiting for gold prices to correct. That's my reading if I recollect right.

And the moment they saw that gold prices are only going up and there were enough rumors in the market that will continue to go up and then the festive season came followed by the wedding season, lot of customers really jumped in on account of this entire FOMO (fear of missing out), and I feel that is continuing even now. It remains now. Of course, with the volatility in gold

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price, maybe it might stabilize a bit or people may once again think, pause and wait. So I think that's the larger consumer story, which is why we are seeing that why we've been able to hold. The second piece, I think, is more internal to us. I think our teams have gone out on a limb and then extensive work on product, on retail, on customer outreach, on exchange. And I think it speaks volumes for the exchange -- for the execution that has really played out. So I think somewhere some credit also goes to the teams for having done that. On gross contribution, I'll leave it for Ashok to answer.

Ashok Sonthalia: Harit, I don't think we specifically and separately disclose jewellery gross contribution, but maybe you are taking Titan as a proxy for jewellery. And to that extent, we explained in the earlier question also that those elements are playing out, particularly last 5, 6 quarters, where gold prices are going up in a very, very accelerated manner.

And as long as this trend continues, except in January, first time, we saw really huge volatility and corrections, but again, it has started going up. And what we are told by people like you and economists, that structural things underlying gold bullishness is to stay. So one can expect that gold prices might continue to go up.

And in that environment, there will be stress on margins. Some parts, we've been able to mitigate through operating leverage. As long as we are able to deliver good revenue growth, we will get operating leverage and we will be able to maintain EBIT level or PBT level margin profile.

Harit Kapoor: Great. And the second question was on -- earlier participants have asked about formalization, but my question is from the perspective of in an environment where the cost of doing business, as far as inventory is concerned, dramatically goes up and the entire market doesn't have the balance sheet that you do, do you expect pace of expansion in the industry to kind of relatively slow down. Not for you but generally, to slow down given just the inventory cost is so high, is primarily

ly a COCO model ex your business. So just some thoughts on that?

Ajoy Chawla: It's difficult to comment on how the industry will behave. It will be very speculative. I think we should wait and watch how it plays out. It's been only a few months. To draw conclusions of a long-standing nature on that may be inappropriate.

Ashok Sonthalia: But certainly, it puts us, in a, I would say, a bit, not huge, but it's an advantage, competitive advantage for us because we are able to at least fund our inventory, I think, better than others.

Moderator: We take the next question from the line of Amit Sachdeva from UBS Group.

Amit Sachdeva: Congratulations on great set of numbers. Sir, my question is on the studded business and just wanted your comments in terms of how the consumer behavior in this segment is shaping up now that you own both the narratives of LGD, which is on one set of consumer value proposition and Tanishq diamonds on the other ?

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But I also know that higher -value segment is growing faster, but 1 lakh to 2 lakh was a bit under pressure, but you also launched lots of things in sub -1 lakh segment. So just wanted your kind of input here, how this business consumer behavior is shaping up and also the studded promotion in that context, how it is responding to some of the initiatives on price points that you have taken. So some color there would be very helpful .

Arun Narayan: Sure. Thanks, Amit. Arun here. You're right in saying that we have been seeing pressure sub -1 lakh, not 1 to 2, but sub -1 lakh in studded jewellery but also with gold rate behaving the way they are also in gold jewellery . Above 1 lakh is a different picture for studded jewellery . And a lot of efforts from our side, like I said earlier, to keep jewellery accessible has really been top of our mind. And what you see even in January with the 'Festival of Diamonds ' and with a new face to our daily -wear studded portfolio with 'Ananya Panday ', et cetera, are all efforts we are doing to woo that customer back into the store.

So as we said, continues to be high on our priority. I don't think -- I mean it will take lots more effort for us to do that. So I will only leave it by saying that, let's say, the trends that we are seeing, in a sense, maybe the slowdown in less than 1 lakh may be plateauing a bit. We're not seeing an acceleration there. And even in January, we are seeing some early signs of results from the efforts we are putting in. But to be honest, it will take a lot more than that to win that customer back given what we are seeing in terms of price inflation here.

Ajoy Chawla: So I have one additional comment to add here. As a portfolio of brand , between Tanishq, which has a substantial contribution of buyers in the sub -1 lakh, sub -50,000, Mia, CaratLane and hopefully, going forward in the future beYon , which is a different kind of play, I think we should look at the portfolio play eventually, and that's our game plan, to ensure that we own that customer in the sub -100,000 space and more importantly, bring in many more customers in the studded space in the sub -100,000. In fact, the stress on gold in the sub -100,000, buyers is far higher than studded, so -- which is fine. We understand and there will be different solutions for that.

Amit Sachdeva: Got it. Well, that's very helpful, Ajoy and Arun. So just a small one here is that, obviously, last year, we've seen studded being in the teens and then last quarter was a bit better. In this promotion cycle, are we seeing a similar growth in studded as the last quarter or acceleration or some sort of -- from a trend point of view, what so far we've seen in January? Is there a comment that you would make?

Arun Narayan: It's too early to call that, Amit. Having said that, I would say that quarter 3 has been better than the period prior to that, but quarter 4 , do

allow us to wait and call it out at an appropriate time.

It's perhaps a little too early. Also, our 'Festival of Diamonds ' is a longish campaign, so we'll have to wait and see how that plays out.

Amit Sachdeva: Congratulations once again on great set of numbers.

Moderator: We take the next question from the line of Mihir Shah from Nomura.

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Mihir Shah: Sir, firstly, one clarification on ticket size, assuming constant gold prices. Is there a material swing or difference in ticket size across quarters? So usually, third quarter is the highest saliency for you. So does wedding and festive quarter have a material difference and 1.9 can be material difference for the remaining 3 quarters? Just for clarification that first.

Arun Narayan: Yes. So I mean, there are 2 forces, so to say. One is the consumer mix and the need state mix, and second is the gold rate increase. So what we are seeing in quarter 3, we are seeing play out in quarter 4 as well because it is also a wedding quarter. And we have seen gold rates increase significantly even beyond December into January. So yes. So we are seeing quarter 4 begin to behave similar to quarter 3.

Ajoy Chawla: So I'll just add one more flavor for this. Typically during Akshaya Tritiya and Dhanteras, there are a lot more people who come in, many new buyers also come in because they buy small tickets. They buy coins. They buy all kinds of -- so actually, during those periods of 15 days, you normally land up seeing a slightly lower ticket size. But as Arun said, during wedding purchases, et cetera, you see higher ticket size. And during 'Festival of Diamonds ' or diamond activation, you see higher ticket size.

Mihir Shah: Higher ticket size, understood. So assuming the swings across quarters will not be as material is

predominantly the understanding, right?

Arun Narayan: That's correct. You're right.

Mihir Shah: Secondly, despite...

Moderator: Ladies and gentlemen, we have lost the line of the participant. We'll move on to the next question from the line of Jay Doshi from Kotak.

Jaykumar Doshi: Congratulations on great execution. The question is, in the past, you've indicated that passing on making charges to consumers in a rising gold price environment is gradual over a couple of quarters. And so you invariably saw some dip in margins. When I look at this quarter's performance on a Y-o-Y basis, despite all the margin headwinds, be it mix or in a volatile environment, your EBIT growth is exceptionally good and strong. So my question is are you positively surprised by the acceptance of making charge as a percentage of sales this -- in this upcycle of gold price. Or is this -- is it kind of behavior that you would have expected in any case at the beginning of the quarter?

Ajoy Chawla: This is Ajoy here. I'll take that question. What we are seeing -- so I think there are 2, 3 things at play. Firstly, there is a slight shift in the repeat and new buyer contribution. If you see buyer contribution compared to year-on-year is 3 percentage points down. And typically, they come in at lower ticket size, whereas repeat buyers come at higher ticket size. Secondly, because of wedding and the repeat buyers being high, we typically find a richer product mix that we are able to sell compared to new and, let's say, non-wedding.

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The third angle I would like to say, which is -- which goes in the opposite direction, because of higher gold prices, there is a tendency for customers to kind of slip down the complexity order, which I mean is that instead of buying very high making charge products, they may tend to slip to slightly medium size -- medium complexity products.

So these are 2 forward and 1 backward. And there's 1 more forward, which has helped us a lot in quarter 3, is the collection that we launch

ed was phenomenally successful. It so happens to be

we did exceptionally well with the Mriganka collection and the campaign, which the team put out. That created desire, what I would call is irrational desire. So I think all these 3, 4 factors combined have seen the outcome that you are seeing.

And the final point I would say, which is not related to gold but to do with studded, the team put in a lot of work in doing many high-value exhibitions across the country, that has helped a lot in the quarter, and I'm sure will continue to help us in this quarter 4 as well. So all these forces have come together to kind of give you the outcome. Many of them have added together to give us a big bumper quarter. Let's see how things go on as we go forward.

Moderator: We take the next question from the line of Vivek from Jefferies.

Vivek: A couple of questions on the gold price bit. One is not very long back, there was this concern that -- not concern, but there was this debate whether the younger generation prefers gold as much whether as investment class or as a consumption category. Do you think with the way which prices have gone up, so much excitement around ETFs, and I'm sure you would have seen gold ETF data yesterday, do you think that, that alters this behavior and the next generation will be far more geared towards gold versus what it could have been otherwise?

Arun Narayan: No, looking at the performance of CaratLane and Mia in our portfolio, we are actually seeing youngsters stay with us and continue to be invested in jewellery, both as an investment as well as for adornment more. And whatever we are doing to keep products exciting in terms of new collections across all our brands is also kind of keeping them excited in the category.

So we aren't seeing an adverse move here. We're only seeing a good response to the excitement that we are bringing in, both in terms of the store additions that we have done, which is quite significant for Mia and also in terms of the new collections and campaigns that we are bringing out.

Vivek: Okay. Sure. But from a medium-term perspective, how do you think about this behavior because Mia, CaratLane are still entry level? Do you think the interest level of younger generation gets much higher because of all the narrative around gold and the fact that it has come under the consideration set, whether it's ETF or gold jewellery? Do you think something changes or you don't think as much as you gauge today?

Arun Narayan: No, we are seeing -- I mean, we are seeing it stay positive, which is why our investments in store expansion continue to be fairly robust on both -- on Mia. So we are taking a positive view of the future.

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Ajoy Chawla: It's positive only. Even from what I gather, anecdotally, both CaratLane and Mia have had

enough inquiries for gold products. They may do different kinds of gold products, 18 carat or modern gold. Tanishq has seen good modern gold. So I think, by and large, I would stay on the track of what Arun said. Even younger customers are interested in gold and that may sustain. Vivek: Got it. And the second point on this gold price bid, and again, I'm not sure if -- because I have not at least come across anecdotally also. But in a scenario where gold prices are moving up, does that also worry, let's say, customers could go into a neighborhood store just from a gold purity perspective or otherwise or availability, sheerly, the availability with the jeweler and that benefits organized players including yourself?

Ajoy Chawla: Quite likely.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to Mr. Ajoy Chawla for the closing comments.

Ajoy Chawla: Thank you. It's been a very good quarter, and thank you for all the wonderful questions that keep us

thinking. Look forward to interacting with you soon. Bye. Take care.

Moderator: Thank you. On behalf of Titan Company Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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